

Crypto Digital Assets

Borderline Suitability Hypotheticals

25 scenarios | Question: Did the financial advisor violate suitability or best interest requirements?

Borderline Scenario 1

Topic: *high_fees_unsuitable* | Standard: Regulation Best Interest (Reg BI), Exchange Act Rule 15l-1, particularly the Care Obligation

Fact Pattern

In March 2022, Marcus Ellenbogen, a 58-year-old retired high school principal living in suburban Ohio, approached his financial advisor, Dana Whitfield, at a mid-sized independent registered investment advisory firm. Ellenbogen had accumulated approximately \$740,000 in a rollover IRA from his state pension buyout, held primarily in low-cost index mutual funds. He described himself as 'curious but cautious' about cryptocurrency after reading several mainstream articles about Bitcoin and Ethereum. He told Whitfield he wanted 'a small piece of the action' and could tolerate losing 'maybe \$30,000 to \$40,000 at most' without it affecting his retirement plans. He was four years from his anticipated full retirement and had a modest supplemental pension of \$1,800 per month guaranteed. Whitfield recommended that Ellenbogen allocate \$75,000, approximately 10.1% of his IRA, into a proprietary crypto-linked structured product offered through the firm's affiliated broker-dealer. The product, called the 'Digital Asset Growth Basket,' tracked the performance of a basket of five cryptocurrencies including Bitcoin, Ethereum, Solana, Avalanche, and Cardano, with a two-year lock-up period. The product carried a 2.85% upfront sales load, a 1.95% annual management fee, and an additional 0.50% annual 'digital custody and security fee,' bringing total annualized cost to approximately 3.80% per year inclusive of amortized load. The firm also received an undisclosed 0.75% annual revenue-sharing payment from the product issuer. Whitfield documented in her notes that Ellenbogen 'expressed enthusiasm for crypto exposure' and 'acknowledged the speculative nature of digital assets.' She provided a 47-page product disclosure document, which Ellenbogen signed. However, internal emails later showed Whitfield had discussed with a colleague that the product 'pays way better than anything in the index space' and that she had placed seven other clients into the same product that same month. Ellenbogen lost approximately \$41,200 within the first 14 months as the crypto market declined sharply in mid-2022. The \$75,000 allocation exceeded by \$35,000 to \$45,000 what Ellenbogen had stated he could afford to lose. Whitfield argued that the 10.1% crypto allocation was a reasonable speculative sleeve, that Ellenbogen was informed and consenting, and that diversification across five assets reduced single-coin risk. The product itself was not a security yielding a promised return; it was a market-linked note with no guaranteed yield component, distinguishing it from enforcement actions against yield-bearing crypto lending products. Whitfield had no prior disciplinary history. The firm had a written supervisory procedure permitting crypto-linked structured products for clients with at least \$500,000 in investable assets and a documented tolerance for speculative risk, both of which Ellenbogen nominally satisfied. However, the firm's procedures did not specifically address the total fee load comparison against lower-cost alternatives, nor did they require advisors to disclose revenue-sharing arrangements embedded in the product structure.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Whitfield violated applicable standards: First, under Regulation Best Interest (Reg BI), Exchange Act Release No. 34-86031, an advisor recommending a securities transaction to a retail customer must act in the retail customer's best interest at the time of the recommendation, without placing the advisor's own financial interest ahead of the customer's. The 0.75% undisclosed revenue-sharing payment, combined with Whitfield's documented comment about the product 'paying way better,' creates a strong inference that her financial interest influenced the recommendation, directly implicating Reg BI's Conflict of Interest Obligation under Rule 15l-1(a)(2)(iii). Second, the total cost burden of approximately 3.80% annualized on a speculative, illiquid asset is difficult to justify against liquid, low-cost crypto ETF alternatives or even direct crypto exchange exposure that Ellenbogen could have accessed at a fraction of the cost. The Investment Advisers Act Section 206 anti-fraud provisions require that investment advisers not employ any device or scheme to defraud clients, and charging fees that are not reasonably disclosed or justified in the context of available alternatives can implicate this provision. Third, the allocation of \$75,000 materially exceeded the upper bound of Ellenbogen's stated loss tolerance of \$30,000 to \$40,000. Even if the percentage allocation appears modest, the absolute dollar exposure above his comfort threshold is a concrete mismatch documented in his own words. Fourth, the two-year lock-up is a material liquidity constraint for a 58-year-old investor within four years of retirement, and Whitfield does not appear to have specifically analyzed what would happen if Ellenbogen needed emergency liquidity during the lock-up period. Arguments that Whitfield did not violate applicable standards: The firm's written supervisory procedures permitted this product for clients meeting Ellenbogen's profile, providing an institutional basis for the recommendation. Ellenbogen affirmatively expressed desire for crypto exposure and acknowledged the speculative nature of the asset class. The 10.1% allocation, while exceeding his stated loss tolerance in absolute terms, is a concentration level that many practitioners would view as appropriate for a speculative sleeve in a well-funded retirement account. The product was a market-linked structured note, not a yield-bearing lending product implicating unregistered security concerns raised in BlockFi, Celsius, or Genesis enforcement contexts. Whitfield provided a 47-page disclosure document, and Ellenbogen signed it, suggesting informed consent. The diversification across five cryptocurrencies does reflect some risk-mitigation intent. Regarding the Howey test analysis, the product's return was purely market-linked rather than derived from the managerial efforts of a promoter promising yield, making it less clearly an investment contract under SEC v. W.J. Howey Co., 328 U.S. 293 (1946), though this does not resolve the suitability question. CFTC jurisdiction is also relevant because several underlying assets including Bitcoin and Ethereum have been characterized as commodities under the Commodity Exchange Act, though the structured note wrapper likely routes this primarily into securities regulation. FINRA Notice to Members guidance on complex products and structured notes, including Notice 12-03, emphasizes heightened suitability review for principal-protected and non-principal-protected structured products, requiring firms to specifically evaluate liquidity needs, time horizon, and cost-benefit against alternatives. The failure to document a fee comparison against lower-cost alternatives is a procedural gap that FINRA examination staff would likely flag even if it does not independently constitute a violation.

Why Borderline

This scenario is genuinely ambiguous because the client consented and nominally met the firm's internal threshold criteria, the product was a market-linked note rather than an unregistered yield product, and the

10.1% allocation is within ranges that practitioners debate as appropriate for speculative sleeves. The violation, if any, turns on whether the undisclosed revenue-sharing payment and the fee load comparison failure rise to a best-interest breach versus a disclosure deficiency, and whether exceeding stated loss tolerance in absolute dollars by \$35,000-\$45,000 is a suitability failure when the percentage allocation appears modest and the client affirmatively sought the exposure.

Borderline Factors

- Client affirmatively requested crypto exposure and signed a 47-page disclosure, supporting informed consent defense
- 10.1% allocation is at the high end but within ranges some practitioners accept for speculative sleeves in a diversified IRA
- Absolute dollar loss exposure of \$75,000 materially exceeded client's stated maximum tolerable loss of \$30,000-\$40,000, but this framing is not universally applied as a hard rule
- Undisclosed 0.75% revenue-sharing payment creates a documented conflict but was embedded in product structure rather than an explicit kickback
- Whitfield's internal email comment about the product 'paying way better' is damaging circumstantial evidence of conflict-driven motivation but is not conclusive proof
- Total fee load of approximately 3.80% annualized is high but the firm did not have a written policy requiring cost comparison to alternatives
- Two-year lock-up presents a liquidity concern for a near-retirement investor but client had a guaranteed pension income stream reducing urgency of liquid access
- Product was a market-linked note, not an unregistered yield product, reducing the most severe regulatory exposure
- Firm's written supervisory procedures were facially satisfied, providing some supervisory defense
- Seven similar placements in same month by same advisor raises pattern concerns but each client's situation could be individually justified

Likely Outcome

A regulator would most likely find a disclosure and conflict-of-interest violation rather than a full suitability failure, centering on the undisclosed 0.75% revenue-sharing payment and the failure to document a fee comparison to lower-cost alternatives. Under Reg BI's Conflict of Interest Obligation, the undisclosed revenue-sharing arrangement combined with Whitfield's documented statement about superior compensation creates a strong basis for finding that she did not adequately identify and mitigate the conflict. The dollar amount exceeding stated loss tolerance by up to \$45,000 would likely be treated as an aggravating factor supporting a finding that the recommendation was not fully in Ellenbogen's best interest. However, a full suitability violation finding would be contested given the client's affirmative consent, the diversified structure of the product, and the firm's nominal procedural compliance. The most likely resolution would be a censure, disgorgement of revenue-sharing fees, and possible fine in the range of \$25,000-\$75,000, with enhanced supervisory conditions, rather than a license revocation or criminal referral. A private arbitration claim by Ellenbogen would have reasonable but not certain prospects of success given the affirmative consent documentation.

Borderline Scenario 2

Fact Pattern

In March 2022, Marcus Delgado, a 58-year-old registered investment advisor at a mid-sized independent advisory firm in Phoenix, Arizona, recommended that his client, Patricia Howe, allocate \$85,000—approximately 18% of her total investable assets of \$475,000—into a crypto yield product offered through a third-party platform called YieldChain Digital, which promised annualized returns of 9.2% on deposited stablecoins. Patricia is a retired high school principal with a pension of \$3,400 per month that covers her basic living expenses, a separate \$120,000 in a money market account for emergencies, and the \$475,000 advisory portfolio that she describes as her 'growth and legacy' account. She is 58, in good health, and told Marcus she does not plan to access the advisory portfolio funds for at least 10 to 12 years. During the onboarding process three years prior, Patricia had indicated 'moderate' risk tolerance on her questionnaire, but in a recorded phone call from January 2022, she explicitly told Marcus she was 'very curious about crypto' and had already independently purchased \$12,000 in Bitcoin and Ethereum on her own through a retail exchange. She mentioned reading several articles about crypto yield accounts and said she believed 'the interest rates on regular savings accounts are a joke.' Marcus conducted what he described as an updated informal suitability review via that phone call but did not update Patricia's formal written risk profile in the firm's CRM system. He provided Patricia with a two-page summary document on YieldChain that disclosed volatility risk, platform risk, and the fact that the deposited assets would not be covered by any federal deposit insurance, but did not disclose that YieldChain was not registered with any federal regulator, that the yield product had not been reviewed or approved by any securities authority, or that similar yield products at competing platforms had recently faced regulatory scrutiny and customer asset freezes. Marcus received no direct commission on the recommendation but his advisory fee was calculated on total assets under management, meaning the \$85,000 allocation remained within his fee-generating portfolio rather than being moved to an outside platform he did not manage. By October 2022, YieldChain suspended customer withdrawals citing liquidity issues, and Patricia lost access to her \$85,000. YieldChain subsequently entered insolvency proceedings and customers recovered approximately 14 cents on the dollar. Patricia filed a complaint stating Marcus never explained that her money could be locked up or that the platform was unregulated. Marcus's position is that Patricia was an informed, curious investor who voluntarily expressed interest, had a long time horizon, had her basic needs covered by her pension and emergency fund, and received written disclosures of the key risks. Colleagues at the firm noted that at least two other advisors had recommended similar allocations to crypto yield products for clients with comparable profiles during the same period, and the firm had no written policy prohibiting or limiting such recommendations.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Marcus violated his obligations: Under Regulation Best Interest (17 C.F.R. § 240.15l-1), a broker-dealer or investment advisor recommending a securities product to a retail customer must exercise reasonable diligence, care, and skill to understand the product and ensure the recommendation is in the customer's best interest at the time of the recommendation. Although Patricia's pension covers basic expenses and her time horizon is long, the \$85,000 represented 18% of her total investable assets—a meaningful concentration in a single unregistered, illiquid crypto yield platform. The failure to update her

formal risk profile is a procedural red flag; her written profile said 'moderate' risk tolerance, and Marcus substituted an informal phone conversation for the structured assessment his firm's procedures likely required. More critically, Marcus failed to disclose that YieldChain was not registered with any securities or commodities regulator—a material omission under Exchange Act Section 10(b) and Rule 10b-5 (15 U.S.C. § 78j(b); 17 C.F.R. § 240.10b-5) and Investment Advisers Act Section 206 (15 U.S.C. § 80b-6), which prohibits fraudulent, deceptive, or manipulative practices by investment advisers. The SEC's 2019 Digital Asset Framework and subsequent enforcement actions against BlockFi (2022 consent order, \$100M settlement), Celsius, Gemini Earn, and Genesis all established that yield-bearing crypto products that pool customer assets and pay returns can constitute securities under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946))—specifically because investors deposit funds into a common enterprise with an expectation of profits derived from the efforts of others. Marcus's failure to investigate or disclose YieldChain's registration status, or to inform Patricia that similar platforms were actively facing regulatory enforcement at the time of recommendation, arguably constitutes a material omission that a reasonable investor would consider significant. FINRA Notice 22-08 (2022) explicitly warned member firms about due diligence obligations when recommending crypto-linked products. The advisor's fee structure, while not a direct commission, created a conflict of interest because retaining the assets under management generated ongoing fees—a conflict that under Reg BI must be disclosed and mitigated. Arguments in Marcus's favor: Patricia was not a financially naive investor. She had already independently purchased \$12,000 in crypto assets, had read extensively about crypto yield products, and expressly initiated the conversation about this investment category. Courts and regulators have consistently recognized that a client's demonstrated sophistication and voluntary interest in a product category shifts some responsibility to the investor. Patricia's financial profile—pension income fully covering living expenses, a separate \$120,000 emergency fund, and a self-described 10-to-12-year time horizon on the advisory portfolio—objectively supports an 18% allocation to a higher-risk, higher-yield asset as within the range of reasonable options for a growth-oriented portion of a portfolio. The two-page disclosure document, while not exhaustive, did warn of platform risk, volatility, and the absence of deposit insurance. Marcus could reasonably argue that a client who independently holds crypto and specifically asks about yield accounts has effectively communicated an updated risk tolerance that superseded the three-year-old questionnaire. The lack of any firm policy against such recommendations further complicates the picture; Marcus was not acting in defiance of clear internal guidelines. Regarding the Howey analysis, Marcus might argue he was not qualified to make a legal determination about YieldChain's registration status and reasonably relied on the platform's own representations—though this defense is weakened by the fact that regulatory scrutiny of identical products was publicly reported before the recommendation was made.

Why Borderline

This scenario sits in genuine gray territory because virtually every individual factor tilts slightly but not conclusively in one direction. Patricia's financial cushion and long time horizon make the allocation defensible in isolation, but the combination of the undisclosed regulatory risk, the failure to update her formal profile, and the advisor's conflict of interest create a mosaic of concern that falls short of an obvious violation. Reasonable practitioners would disagree about whether an informal phone call updating a client's stated interest in crypto constitutes an adequate basis for departing from a written moderate-risk profile, and whether the disclosure document—which did flag platform risk—was sufficient absent a specific warning about unregistered status. The advisor did not fabricate anything or make affirmative misrepresentations about returns; he omitted information whose materiality depends on contested legal questions about

whether YieldChain's product was even a security.

Borderline Factors

- Patricia's demonstrated independent crypto investment activity and expressed enthusiasm arguably updated her risk profile beyond the written 'moderate' designation
- The 18% allocation, while significant, was not in the range typically condemned as per se excessive concentration, particularly given her pension and emergency fund coverage
- The disclosure document addressed platform risk and lack of deposit insurance, creating a partial-but-incomplete disclosure defense
- Marcus received no direct commission, reducing-though not eliminating-the appearance of self-dealing, even though his AUM fee structure created a softer conflict
- The failure to update the formal written risk profile is a clear procedural deficiency but may not independently constitute a substantive violation if the informal assessment was genuinely conducted
- YieldChain's unregistered status was publicly discoverable but required legal analysis Marcus was not licensed to perform, raising questions about the scope of due diligence expected of advisors versus securities lawyers
- Industry practice at the time showed peers recommending similar products without documented discipline, suggesting ambiguity in prevailing professional norms
- The Howey test application to YieldChain's specific product structure was unsettled at the time of recommendation, making it arguable that Marcus could not have known with certainty the product was an unregistered security
- Patricia's long time horizon and pension income genuinely reduced the liquidity risk that would typically make such a recommendation clearly inappropriate

Likely Outcome

A regulator would most likely conclude that Marcus committed a technical violation but that the case falls at the lower end of severity. The most defensible enforcement finding would focus narrowly on the material omission of YieldChain's unregistered status and the failure to update the written client profile, rather than on the allocation percentage itself. Under Investment Advisers Act Section 206 and Reg BI's disclosure obligation, the failure to inform Patricia that the platform was not registered with any federal regulator-and that virtually identical platforms were facing active enforcement at the time-would likely be deemed a material omission even if all other aspects of the recommendation were reasonable. The likely outcome would be a supervisory deficiency finding against the firm for lacking written policies on crypto yield product recommendations, a requirement that Marcus remediate Patricia's formal profile documentation, and potentially a censure or fine at the advisor level. Outright rescission or disgorgement of fees would be less likely given the partial disclosures made and Patricia's contributory sophistication. A private arbitration panel might find Marcus liable for the losses on a negligence theory but would likely apportion some comparative fault to Patricia given her independent crypto activity and expressed interest.

Borderline Scenario 3

Topic: senior_investor_exploitation | Standard: Reg BI, 17 C.F.R. § 240.15l-1 (Care Obligation requiring reasonable diligence, care, and skill)

Fact Pattern

Margaret Holloway, a 74-year-old retired schoolteacher living in Scottsdale, Arizona, approached her financial advisor, Derek Lassiter, at a mid-sized independent advisory firm in early 2022. Margaret had approximately \$620,000 in investable assets: \$480,000 in a traditional IRA holding a diversified mix of bond funds and blue-chip equities, and \$140,000 in a taxable brokerage account. She received \$2,200 per month in Social Security and a \$1,100 monthly pension, totaling \$3,300 per month in fixed income. Her monthly expenses ran approximately \$2,900, leaving a modest cushion. She had no significant debt. Margaret described herself as 'moderately conservative' on her intake form, though she told Lassiter in recorded conversations that she was 'willing to take some risks' after watching her neighbor earn substantial returns from crypto and that she 'didn't want to leave money on the table.' She explicitly asked Lassiter about crypto yield products. Lassiter had been her advisor for six years and had a clean disciplinary record.

In March 2022, Lassiter recommended that Margaret allocate \$28,000 - approximately 4.5% of her total investable assets - from her taxable brokerage account into a crypto yield-bearing account offered by a platform called 'YieldVault Digital,' which was advertising annualized returns of 8.2% on USDC stablecoin deposits. YieldVault was not a bank, was not FDIC insured, and did not register the yield product with any federal regulator, though Lassiter did not independently investigate the registration status. Lassiter told Margaret the product 'functioned like a high-yield savings account but in the digital space' and that stablecoins were 'essentially pegged to the dollar so the principal was very safe.' He provided her a one-page product summary from YieldVault but did not provide any independent third-party analysis of the platform's financial condition, counterparty risk, or the mechanics by which the yield was generated - which internally involved lending deposited USDC to institutional crypto borrowers on an overcollateralized but not fully guaranteed basis.

Lassiter documented in his notes that Margaret had initiated the conversation about crypto, had adequate liquidity from her fixed income to cover living expenses without touching the \$28,000, and that the 4.5% allocation was within what he considered a reasonable speculative position for a conservative-to-moderate investor. He did not, however, flag to his compliance department that the product might be an unregistered security or seek a legal opinion on its structure. Margaret signed an acknowledgment form stating she understood the investment was not FDIC insured and involved risk of loss.

By November 2022, YieldVault Digital suspended withdrawals amid a broader crypto credit crisis, citing 'extreme market conditions.' Margaret's \$28,000 became illiquid and was later estimated to be worth approximately \$9,000 in any potential restructuring. Margaret filed a complaint stating she never understood that her principal was at risk of near-total loss, that she thought it was 'like a savings account,' and that Lassiter had never explained how the yield was actually generated or that the platform was not regulated. Lassiter maintained that Margaret was an informed adult who specifically requested the product, signed disclosures, had sufficient other assets to absorb the loss, and that a 4.5% allocation was objectively modest.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

ARGUMENTS THAT LASSITER VIOLATED APPLICABLE STANDARDS:

1. Reg BI (17 C.F.R. § 240.15l-1) - Care Obligation: Lassiter had an obligation to exercise reasonable diligence, care, and skill before making the recommendation. A critical failure here is that Lassiter did not investigate whether the YieldVault product was a registered security. Under the *Howey* test (*SEC v. W.J. Howey Co.*, 328 U.S. 293 (1946)), a yield-bearing crypto deposit product where returns are generated by the platform's lending activities likely constitutes an investment contract: investors deposit money (investment of money), into a common pool (common enterprise), with returns entirely dependent on YieldVault's lending operations (expectation of profits from the efforts of others). The SEC's 2019 Digital Asset Framework explicitly addressed that yield-bearing arrangements dependent on third-party managerial efforts strongly implicate *Howey*. Recommending an unregistered security to a retail customer without flagging the registration question to compliance is a significant procedural failure.

2. Enforcement Precedent Analogy: The YieldVault product is structurally nearly identical to the BlockFi Interest Account (settled with the SEC in February 2022 for \$100 million) and the Celsius Network earn product (SEC enforcement action filed 2023). Lassiter operated in an environment where high-profile regulatory actions against crypto yield products were publicly known by early 2022. A competent advisor exercising reasonable diligence should have recognized the regulatory red flag.

3. Mischaracterization of Risk: Lassiter's description of the product as functioning 'like a high-yield savings account' and stablecoins as meaning 'the principal was very safe' was materially misleading. The yield was generated through unsecured or partially secured lending to institutional crypto borrowers - a fundamentally different risk profile than a savings account. Even if Margaret signed a general risk disclosure, the verbal characterizations may have undermined informed consent. Investment Advisers Act §206(1) and (2) prohibit fraudulent or misleading statements by investment advisers, and §10(b) of the Exchange Act and Rule 10b-5 (17 C.F.R. § 240.10b-5) prohibit material misrepresentations in connection with securities transactions.

4. Senior Investor Vulnerability: FINRA Regulatory Notice 07-43 and subsequent guidance on senior investor protection, along with many state-level enhanced protections for investors over 65, create heightened obligations when recommending complex or illiquid products to elderly clients. Margaret's age (74), fixed-income reliance, and self-described 'moderately conservative' risk profile warranted heightened scrutiny of any product with structural complexity and illiquidity risk.

5. Failure to Escalate to Compliance: Industry practice and firm supervisory obligations under FINRA Rule 3110 require escalation when an advisor encounters a product whose regulatory status is uncertain. Lassiter's failure to seek compliance review of an unregistered, novel yield product is an independent supervisory failure, even if he is not the primary wrongdoer.

ARGUMENTS IN LASSITER'S FAVOR:

1. Client-Initiated Request and Autonomy: Margaret specifically initiated the conversation about crypto, explicitly referenced wanting yield products, and had been exposed to crypto discussions through her social network. Reg BI's Comment guidance acknowledges that client preferences and requests are relevant factors in the best interest analysis. Completely overriding an informed adult client's stated preferences is paternalistic and not required by the standard.

2. Proportionality of Allocation: A 4.5% allocation of total investable assets to a speculative position is within the range that many compliance professionals and arbitration panels have found acceptable for moderate-risk investors. The loss, while painful, does not render the entire \$620,000 portfolio non-functional. Margaret's fixed income sources remain intact and cover her monthly surplus.

3. Stablecoin Basis for Principal Safety: At the time of the recommendation (March 2022), USDC was and remained a fully reserved, dollar-pegged stablecoin that did not 'break the buck' during the 2022 crypto crisis - unlike algorithmic stablecoins. Lassiter's description of stablecoin stability had a reasonable factual basis, even if the counterparty/lending risk was inadequately explained.

4. Disclosure Document Provided: Margaret received and signed a one-page disclosure noting the investment was not FDIC insured and involved risk of loss. Courts and arbitration panels have weighed signed acknowledgments as evidence of informed consent, particularly where the investor had other professional resources and education (Margaret, as a retired teacher, was presumably literate and numerate).

5. Regulatory Ambiguity in Early 2022: While the BlockFi settlement occurred in February 2022, the broader regulatory classification of stablecoin yield products remained genuinely contested among legal practitioners. Expecting a non-lawyer financial advisor to correctly classify an emerging product as an unregistered security - absent compliance department guidance - may impose an unrealistically high standard of legal expertise on front-line advisors.

6. No Self-Dealing: Lassiter had no disclosed financial incentive from YieldVault; the recommendation appears to have been made in good faith based on client interest rather than for commissions, which cuts against a finding of intentional misconduct under §206(1).

Why Borderline

This scenario sits in a genuine gray zone because it involves the intersection of three independently contested areas: (1) whether a stablecoin yield product constitutes a security under Howey at all, which was actively disputed by practitioners in early 2022; (2) whether a 4.5% allocation to a client-requested crypto product by a senior investor with adequate alternative income is objectively unsuitable or merely suboptimal; and (3) whether the verbal characterizations of risk crossed the line from imprecise simplification to material misrepresentation, given that USDC itself did not lose its peg. Reasonable regulators could conclude either that Lassiter made a good-faith recommendation of a modestly sized position to a consenting adult with genuine interest in the product, or that he fundamentally failed to investigate the regulatory status of the product and materially understated its risk profile to a vulnerable elderly investor.

Borderline Factors

- Client was the initiating party who specifically requested exposure to crypto yield products, creating tension between advisor override and client autonomy
- Allocation of 4.5% of total assets is small enough that many practitioners would consider it within acceptable speculative bands for even conservative-moderate investors
- USDC stablecoin did not lose its dollar peg during the 2022 crisis, giving partial factual support to

Lassiter's characterization of stablecoin 'safety,' even though the lending counterparty risk materialized

- The regulatory classification of stablecoin yield products as securities was actively contested among legal practitioners in early 2022, making Lassiter's failure to self-classify the product as an unregistered security more understandable than it would be post-2023
- Margaret signed an acknowledgment of non-FDIC insurance and risk of loss, creating a genuine informed consent argument despite verbal risk minimization
- Margaret's fixed income of \$3,300 per month against \$2,900 in expenses means the \$28,000 loss does not threaten her financial security, weakening arguments about catastrophic unsuitability
- Lassiter had a six-year clean record and no apparent financial incentive from YieldVault, distinguishing this from self-dealing exploitation cases
- The verbal characterization of the product as 'like a high-yield savings account' is genuinely ambiguous - arguably a reasonable lay analogy or arguably a material misrepresentation of risk
- Lassiter failed to conduct due diligence on the platform's financial condition and yield-generation mechanics, but this failure to investigate is distinct from an affirmative intent to deceive
- Senior investor age (74) triggers heightened regulatory scrutiny under multiple frameworks, but Margaret demonstrated active engagement, financial literacy, and peer-influenced motivation that complicates a simple exploitation narrative

Likely Outcome

A regulator would most likely conclude that Lassiter committed a technical violation of his care obligations under Reg BI by failing to conduct adequate due diligence on the regulatory status and risk mechanics of the YieldVault product before recommending it, and that his verbal characterizations crossed the line from simplification into material misrepresentation of principal risk. However, the regulator would likely stop short of finding intentional fraud under §206(1) of the Investment Advisers Act, given the absence of self-dealing, the small allocation size, the client initiation, and the signed disclosure. The most probable enforcement outcome - in FINRA arbitration or a regulatory proceeding - would be a finding of negligent misrepresentation or inadequate due diligence, with Lassiter and his firm ordered to pay partial restitution (possibly the difference between \$28,000 and recovery in restructuring, discounted for client contributory assumption of risk), plus a censure or fine for the compliance escalation failure. A complete defense verdict is unlikely given the 'savings account' characterization, but full liability equal to the entire \$28,000 loss is not a certainty given Margaret's active solicitation of the investment.

Borderline Scenario 4

Topic: illiquid_investments | Standard: Investment Advisers Act of 1940 §§ 206(1), 206(2) (fiduciary duty; prohibition on fraud and ma

Fact Pattern

Marcus Delgado, a 58-year-old semi-retired dentist living in suburban Phoenix, Arizona, had accumulated approximately \$1.4 million in a self-directed brokerage account managed by registered investment advisor Trent Calloway at a mid-sized independent advisory firm. Delgado's stated investment objective on his most recent account update form, completed in January 2022, was 'moderate growth with capital preservation,' and he indicated a five-to-seven year investment horizon before anticipated full retirement. His liquid net worth outside the managed account was approximately \$320,000 in a savings account and a paid-off home valued at \$850,000. Delgado had no prior experience with digital assets but had attended two

firm-sponsored educational webinars on blockchain technology in late 2021 and described himself in follow-up survey responses as 'curious but cautious' about crypto. Between March and June 2022, Calloway recommended that Delgado allocate \$210,000—approximately 15% of the managed portfolio—into a structured digital asset yield product offered through a third-party platform called YieldChain Capital. YieldChain marketed the product as a 'Digital Asset Income Program' that pooled retail investor funds, deployed them into a proprietary mix of lending to institutional crypto borrowers and staking protocols, and promised annualized returns of 8.5% to 11%, paid monthly. YieldChain was not a registered broker-dealer or investment adviser. The product's offering documents, which Calloway forwarded to Delgado without line-by-line review, disclosed in dense boilerplate that redemptions were subject to a 180-day notice period, that the platform reserved the right to suspend withdrawals during 'market stress conditions,' and that the underlying assets included exposure to algorithmic stablecoins and leveraged lending positions. Calloway verbally characterized the product to Delgado as 'similar to a high-yield savings account but on-chain' and emphasized the monthly income distributions as a way to supplement Delgado's expected retirement cash flow. Calloway received a 1.2% placement fee from YieldChain on the invested principal, which was disclosed in the advisory agreement's general fee schedule as a permissible 'referral or placement compensation' but was not separately highlighted to Delgado at the time of the recommendation. In September 2022, YieldChain suspended all withdrawals citing extreme market volatility following the collapse of a major algorithmic stablecoin ecosystem. By November 2022, YieldChain had filed for bankruptcy protection, and Delgado's \$210,000 position was frozen in the bankruptcy estate with estimated recovery projections ranging from 18 cents to 41 cents on the dollar according to the bankruptcy trustee's preliminary report. Delgado had not requested a withdrawal prior to the suspension, suggesting he had treated the position as a medium-term hold consistent with how Calloway had framed it. Calloway's other client accounts held an average crypto allocation of 9.3%, making Delgado's 15% allocation notably higher than the firm's informal benchmark. However, Delgado's total illiquid exposure across the full portfolio, including two private REITs he had previously selected himself, was already approximately 22% before the YieldChain allocation, and Calloway had flagged this in an internal note but proceeded with the recommendation after Delgado expressed enthusiasm for the yield product following a phone call in February 2022. The firm had no written supervisory procedures specifically addressing digital asset yield products or third-party crypto platform due diligence as of the date of the recommendation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Calloway violated applicable standards: Under Regulation Best Interest (17 C.F.R. § 240.15l-1), broker-dealer registered representatives and, by extension, investment advisers under the Investment Advisers Act § 206 fiduciary duty, must act in the retail customer's best interest at the time of a recommendation, considering the customer's investment profile including liquidity needs, risk tolerance, and investment horizon. Several features of this recommendation are deeply problematic. First, YieldChain's product carried structural illiquidity—a 180-day redemption notice period combined with discretionary suspension rights—that conflicted with Delgado's moderate risk profile and five-to-seven year retirement horizon, during which access to capital might be needed. Second, Calloway's verbal characterization of the product as 'similar to a high-yield savings account but on-chain' materially understated the risk profile, potentially constituting a misleading statement under Exchange Act § 10(b) and Rule 10b-5, and Investment Advisers Act § 206(1) and (2) prohibitions on fraudulent or materially misleading conduct. Third,

Delgado already carried 22% illiquid exposure; adding another \$210,000 illiquid position pushed total illiquid exposure to roughly 37% of the managed portfolio, a concentration level difficult to reconcile with 'capital preservation' as a stated objective. Fourth, the 1.2% placement fee, while technically disclosed, was buried in general fee schedule language rather than specifically highlighted at the point of recommendation, raising questions under Reg BI's Conflict of Interest Obligation (§ 240.15l-1(a)(2)(iii)) and the Investment Advisers Act § 206 duty of loyalty, which requires full and fair disclosure of conflicts in a manner clients can understand and act upon. Fifth, YieldChain was not a registered entity, and Calloway performed no documented due diligence on the platform's financial condition, counterparty risk, or the regulatory status of the product itself—a potential violation of the SEC's 2019 Digital Asset Framework guidance suggesting that pooled yield products meeting the Howey test criteria (investment of money in a common enterprise with expectation of profits from others' efforts) may constitute unregistered securities. The firm's absence of written supervisory procedures for digital asset yield products further suggests systemic compliance failure. Arguments that Calloway did not clearly violate applicable standards: Delgado was a financially sophisticated professional with \$1.4 million in investable assets and a \$1.17 million total net worth excluding the managed account. He attended educational sessions on digital assets, expressed enthusiasm for the product, and had already self-selected illiquid private REIT exposure—suggesting a preexisting tolerance for illiquidity beyond what his stated objectives reflected. Under FINRA's guidance on customer-specific suitability (Notice to Members and Regulatory Notice 12-03 on complex products), a client's actual investment behavior and demonstrated risk appetite are relevant factors alongside stated objectives. A 15% allocation, while above the firm's informal benchmark, falls within ranges that some practitioners defend as reasonable for a client with Delgado's overall wealth level and income supplementation goal. The placement fee was disclosed, even if not prominently, and advisory relationships routinely involve compensation structures that require affirmative inquiry to fully understand. Calloway also flagged the pre-existing illiquidity concern in an internal note, suggesting some measure of deliberation rather than reckless indifference. The product's failure was precipitated by an industry-wide market event—the algorithmic stablecoin collapse—that, while foreseeable in hindsight, was not a certainty at the time of recommendation in early 2022. Loss causation in regulatory proceedings and civil claims requires more than proof of subsequent loss; the recommendation must have been unreasonable at the time it was made.

Why Borderline

This scenario sits in genuine gray territory because the advisor's conduct involved real procedural steps toward disclosure and client engagement—educational webinars, internal notation of illiquidity concern, technical fee disclosure—that distinguish it from outright fraud or willful misconduct, yet the substance of the recommendation was poorly matched to the client's profile in ways that reasonable regulators would find troubling. The verbal mischaracterization of the product is a significant aggravating factor but is difficult to prove absent a recording. The client's expressed enthusiasm and prior self-directed illiquid investments create a contributory narrative that complicates a clean liability finding. The borderline nature is sharpened by the fact that the regulatory classification of YieldChain's product as a security versus a commodity contract versus an unregistered lending product was itself unsettled at the time, meaning the advisor's failure to conduct regulatory status diligence is colorable but not clearly a violation of a bright-line rule.

Borderline Factors

- Client expressed enthusiasm and had self-selected prior illiquid REIT investments, suggesting actual risk tolerance exceeded stated objectives
- 15% crypto allocation is above firm benchmark but not categorically unreasonable for a high-net-worth

semi-retired professional

- Placement fee was technically disclosed in the advisory agreement, preventing a clear undisclosed conflict finding
- Calloway documented internal concern about illiquidity concentration before proceeding, showing some deliberative process
- Product failure was precipitated by a broader market collapse rather than an isolated platform failure, complicating loss causation
- YieldChain's regulatory classification as a security was legally unsettled at the time of recommendation, making failure to assess registration status a gray-zone compliance gap rather than a clear violation
- Verbal mischaracterization of the product is a strong liability indicator but difficult to establish without documentary or recorded evidence
- Client did not attempt to withdraw funds before suspension, suggesting the liquidity mismatch did not manifest as an immediate harm prior to the platform's failure
- Firm lacked written supervisory procedures for this product type, implicating supervisory failure that may shift some liability to the firm rather than the individual advisor

Likely Outcome

A regulator would most likely conclude that Calloway committed at least a significant compliance deficiency, and a well-developed enforcement case could proceed, but the outcome would depend heavily on whether the verbal mischaracterization could be substantiated. If Calloway's 'similar to a high-yield savings account' characterization is provable-through client attestation, email follow-up, or contemporaneous notes-it would likely be treated as a material misrepresentation under Investment Advisers Act § 206(1) and (2) and potentially Exchange Act § 10(b)/Rule 10b-5, supporting fraud-adjacent findings. If that characterization cannot be clearly established, the more likely regulatory finding would be a failure to have a reasonable basis for the recommendation given the illiquidity mismatch with the client's profile, inadequate conflict disclosure under Reg BI's Conflict of Interest Obligation, and supervisory failures tied to the absence of digital asset product procedures under FINRA Rule 3110. Civil liability to Delgado through FINRA arbitration is probable given the documented loss magnitude and the verifiable illiquidity mismatch. A full enforcement action resulting in disgorgement of the placement fee, a cease-and-desist, and a fine to the advisory firm is a plausible but not certain outcome, with the case strength rated moderate-to-strong on the disclosure and suitability dimensions and strong on the supervisory failure dimension.

Borderline Scenario 5

Topic: *high_fees_unsuitable* | Standard: *Regulation Best Interest, 17 C.F.R. § 240.15l-1 (Care Obligation, Conflict of Interest Obligation)*

Fact Pattern

Marcus Delgado, 58, is a semi-retired civil engineer in Phoenix, Arizona with a net worth of approximately \$1.4 million, of which roughly \$820,000 sits in a rollover IRA managed by Thornfield Wealth Management. Delgado has a stated moderate risk tolerance, a ten-year investment horizon before he plans to begin drawing income, and no prior experience owning cryptocurrency. In early 2022, his advisor at Thornfield, Priya Sundaram, began recommending that Delgado allocate \$82,000 - exactly 10% of his IRA - into a yield-bearing digital asset product offered through a third-party platform called NovaCoin Yield Services. The product promised annualized returns of 8.5% on deposited stablecoins. NovaCoin was not a bank, was

not insured by the FDIC, and had not registered the yield product as a security with any federal regulator. Sundaram explained this in a disclosure she had Delgado sign, which noted the product was 'novel and unregistered' and carried 'substantial risk of loss of principal.' Delgado signed and initialed every page. The fee structure embedded in the product was layered: NovaCoin charged a 2.1% annual platform fee deducted from the yield, Thornfield received a 0.75% annual referral fee paid by NovaCoin, and Delgado paid his standard 1.0% AUM fee to Thornfield on the full IRA balance including the NovaCoin position, meaning the total annual cost burden on this position was approximately 3.85% against an 8.5% gross yield - leaving Delgado with a net yield closer to 4.65% before tax. Sundaram's internal notes show she considered two alternative products: a plain FDIC-insured online savings account yielding 4.2% at the time, and a short-duration bond ETF with an 0.08% expense ratio then yielding approximately 4.8%. She concluded that NovaCoin's higher gross yield justified the recommendation even after fees, and that Delgado's ten-year horizon gave him time to recover from any short-term volatility. She did not document any analysis of the unregistered nature of the product or the platform's counterparty risk. In November 2022, NovaCoin suspended withdrawals and eventually filed for bankruptcy protection, and Delgado's \$82,000 became effectively illiquid, with recovery estimates in the bankruptcy proceedings ranging from 20 to 45 cents on the dollar. Sundaram had also recommended NovaCoin to 11 other clients in the same calendar year, generating approximately \$31,000 in referral fees for Thornfield. Thornfield's compliance department had reviewed the NovaCoin relationship in March 2022 and signed off with a memo noting 'novel product, elevated risk, adequate disclosure process in place.' Delgado later told a mediator that he understood there was risk but 'did not understand that the company holding my money could just lock me out and go bankrupt overnight.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Sundaram and Thornfield acted improperly: Under Regulation Best Interest (17 C.F.R. § 240.15l-1), a broker-dealer recommending a retail investment must act in the customer's best interest at the time of the recommendation, including satisfying the Care Obligation (identifying reasonably available alternatives), the Conflict of Interest Obligation (disclosing and mitigating material conflicts), and the Disclosure Obligation. The 0.75% referral fee paid by NovaCoin to Thornfield created a direct financial incentive to recommend NovaCoin over alternatives that paid no referral fee, a textbook conflict that must be mitigated, not merely disclosed. Sundaram's notes acknowledging she considered a 4.8% net-yield bond ETF - which would have produced a comparable net return to Delgado without counterparty bankruptcy risk, without the unregistered-product legal uncertainty, and without the embedded fee drag - suggests she may have prioritized Thornfield's economics over Delgado's interests. For registered investment advisers, Investment Advisers Act § 206(1) and § 206(2) impose a broad fiduciary duty prohibiting fraud and prohibiting courses of business that operate as a fraud, which courts and the SEC have interpreted to include recommending products with undisclosed or inadequately mitigated conflicts. The SEC's 2019 Digital Asset Framework (Release No. 81207) and subsequent enforcement actions against yield-bearing crypto platforms (BlockFi, Celsius, Gemini/Genesis) establish that yield-on-deposit products offered by non-bank crypto intermediaries are likely securities under the Howey test - a platform pools investor assets, deploys them in lending or DeFi protocols for profit, and investors reasonably expect returns from the managerial efforts of the platform. Recommending an unregistered security to a retail customer in an IRA is itself a serious issue regardless of fee levels. Additionally, FINRA Rule 2111 (incorporated into the Reg BI

analysis for broker-dealers) and the broader suitability framework require that advisors perform reasonable diligence on recommended products. Sundaram's failure to document any counterparty risk analysis or legal status analysis of NovaCoin - despite its unregistered nature being disclosed in writing - suggests she did not satisfy the reasonable-basis component of the recommendation. The fact that 11 clients were placed in the same product generating \$31,000 in referral fees for the firm creates a pattern suggesting the recommendation was driven by compensation rather than individualized client need. Arguments in Sundaram's favor: Delgado was a sophisticated professional with a ten-year horizon and substantial net worth. He received clear written disclosure that the product was unregistered and could result in total loss of principal. He initialed every page. Courts and regulators have historically given weight to signed disclosures in determining whether an investor assumed a known risk. The 10% allocation - exactly the amount many advisor frameworks treat as an acceptable 'satellite' or 'alternative' sleeve - was not a concentrated position by conventional standards. The net yield of approximately 4.65% was meaningfully higher than the savings account alternative (4.2%) and modestly competitive with the bond ETF (4.8%), so there was at least an economic rationale independent of the fee conflict. Thornfield's compliance department reviewed and approved the NovaCoin relationship before recommendations were made, which, while not a complete shield, demonstrates an institutional good-faith process. Sundaram did not misrepresent how the product worked. The disclosure she provided was legally accurate. Under the CFTC's jurisdictional framework, stablecoins may be treated as commodities in certain contexts (CFTC v. McDonnell; CFTC enforcement on Tether), meaning the product might not definitively be a security, creating genuine ambiguity about what registration obligations applied at the time of the recommendation in early 2022. Counterparty bankruptcy risk in a mid-2022 crypto market collapse was, arguably, a tail risk that many sophisticated market participants did not price correctly, which could mitigate individual adviser culpability. The layered fee structure, while expensive relative to commodity alternatives, resulted in a positive net yield to the client, distinguishing this from cases where fees consumed most or all of investor return.

Why Borderline

This scenario sits in a genuine gray zone because the recommendation was accompanied by substantively accurate written disclosure of the key risks, the allocation was within conventional portfolio sizing limits, there was a plausible affirmative economic rationale for the product net of fees, and the regulatory status of the product itself was genuinely unsettled in early 2022. At the same time, the advisor received a direct referral fee conflict she did not adequately mitigate, she failed to document counterparty or legal-status diligence, and at least two lower-cost alternatives with comparable net yields existed and were identified in her own notes but not chosen. Reasonable practitioners could disagree about whether the disclosure process was sufficient to cure the conflict, and whether the 4.65% net yield represented a meaningful enough premium over alternatives to justify the additional counterparty and legal risk.

Borderline Factors

- Client signed detailed written disclosures acknowledging unregistered status and principal loss risk, cutting against a finding of inadequate disclosure
- The 10% IRA allocation is within commonly used portfolio construction guardrails for alternative or higher-risk positions
- Advisor identified and documented competing alternatives in her notes but reached a reasoned, if contestable, conclusion that NovaCoin's higher gross yield was superior
- The 0.75% referral fee paid to Thornfield by NovaCoin is a clear conflict of interest but was not hidden

from compliance review, and whether it was 'mitigated' versus merely 'disclosed' is debatable under Reg BI

- The legal status of stablecoin yield products as securities versus commodities was unresolved in early 2022, meaning the 'unregistered security' characterization is itself a legal conclusion that was not obvious to all practitioners at the time
- Net yield to the client was positive and meaningfully above the savings account alternative, providing an economic rationale independent of the fee structure
- Total annual cost burden of approximately 3.85% against the gross yield is high relative to alternatives but still resulted in positive net return rather than fee-dominated loss
- Firm compliance reviewed and approved the NovaCoin relationship before recommendations were made, providing some institutional cover
- Pattern of 11 similar recommendations generating \$31,000 in referral fees suggests possible product-push motivation, but each recommendation could independently have been suitable
- Client's own post-hoc statement that he did not understand overnight liquidity freeze risk despite signing disclosures raises question of whether disclosure was effective versus merely technical

Likely Outcome

A regulator would most likely find a violation, but the outcome would probably stop short of the most serious fraud charges and would focus on the conflict of interest and inadequate diligence rather than deliberate misrepresentation. The SEC or a state securities regulator would likely conclude that the referral fee created a material conflict that was disclosed but not adequately mitigated under Reg BI's Conflict of Interest Obligation, since Sundaram had identified comparable-return alternatives that carried no such conflict and chose not to recommend them without documenting a client-centered reason for the choice. The failure to document any counterparty risk or legal status analysis would be cited as a failure of the Care Obligation's reasonable diligence requirement. The firm would likely face a censure, disgorgement of the \$31,000 in referral fees, and possibly a fine. Sundaram individually might receive a formal disciplinary action. Criminal or antifraud charges under Exchange Act § 10(b) or Investment Advisers Act § 206(1) would be unlikely absent evidence of intentional concealment, given the written disclosures. The clearest path to mitigation for Sundaram would be demonstrating that the NovaCoin legal-status uncertainty in early 2022 meant she could not have known the product was an unregistered security, and that her disclosure process was substantively adequate - arguments that have had some success in analogous enforcement contexts but are unlikely to fully exculpate given the undocumented conflict mitigation.

Borderline Scenario 6

Topic: illiquid_investments | Standard: Reg BI, 17 C.F.R. § 240.15l-1 (care obligation, disclosure obligation, conflict of interest obligation)

Fact Pattern

In March 2022, Marcus Delgado, a registered investment advisor at a mid-sized wealth management firm in Phoenix, Arizona, recommended that his client, Helen Sorenstam, allocate \$180,000 - representing approximately 22% of her total investable assets of \$820,000 - into a crypto-based yield product offered through a third-party platform called NexYield Protocol. Helen, age 61, is a retired high school principal with a fixed pension of \$4,200 per month, Social Security income of \$1,850 per month, and no other meaningful income streams. She had described herself on her account intake form in 2019 as having a 'moderate' risk tolerance and a primary goal of 'capital preservation with modest growth.' However, in two separate

in-person meetings in January and February 2022, she expressed strong interest in crypto after her adult son had reportedly earned significant returns from similar products, telling Delgado, 'I'm not afraid of a little risk if the return is real.' Delgado documented these conversations in his CRM notes and updated her risk profile to 'moderate-to-aggressive' following her verbal statements. The NexYield product promised annualized yields of 9.2% on deposited stablecoins, generated through a combination of lending to institutional borrowers and liquidity provisioning on decentralized exchanges. Delgado received a 0.75% referral fee from NexYield for assets directed to the platform, which he disclosed in a one-page supplemental document attached to the account agreement update - though the document was dense, written in financial industry boilerplate, and Helen later stated she did not read it carefully. Delgado did not provide Helen with an independent analysis of NexYield's reserve structure or counterparty risk. He did provide her with NexYield's own marketing materials, a 14-page whitepaper, and directed her to the platform's public audit report from a third-party firm that had reviewed NexYield's smart contracts but had explicitly disclaimed any opinion on financial solvency or liquidity adequacy. The NexYield product required a minimum 12-month lock-up period on deposited assets, with early withdrawal subject to a 15% penalty. Delgado verbally mentioned the lock-up during their second meeting but did not highlight it in writing or specifically quantify the 15% early-exit penalty in any document he prepared for Helen. Helen deposited \$180,000 in March 2022. By September 2022, amid broader crypto market stress, NexYield halted withdrawals citing 'liquidity constraints,' and Helen's funds remained inaccessible. She filed a complaint with her state securities regulator in November 2022, alleging she was never properly informed of the illiquidity risk and that the 9.2% yield obscured the true risk profile of the product. Delgado's position is that Helen was an informed, consenting adult who repeatedly and voluntarily expressed her desire to participate in crypto yield products, that the lock-up and penalty were disclosed orally, that the referral fee was disclosed in writing, and that the third-party audit lent reasonable credibility to the platform. He also notes that NexYield's collapse was driven by a broader market dislocation that no advisor could reasonably have predicted in early 2022. The firm had no internal policy specifically governing recommendations of third-party crypto yield products at the time of the recommendation, though it did have a general alternative investments review process that Delgado bypassed, apparently because NexYield was not classified internally as an 'alternative investment' but rather as a 'digital asset cash management solution.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Delgado violated applicable obligations: Under Reg BI (17 C.F.R. § 240.15l-1) and the Investment Advisers Act § 206, advisors owe retail customers a duty to act in their best interest, which encompasses a care obligation requiring reasonable diligence into the risks, rewards, and costs of a recommended product. Delgado's reliance on NexYield's own marketing materials and a smart contract audit that expressly disclaimed any solvency opinion likely falls short of the independent due diligence Reg BI's care obligation contemplates. The smart contract audit's explicit disclaimer of financial solvency review is a significant gap - the very risk that ultimately materialized. The 22% concentration in a single illiquid crypto yield product raises serious questions given Helen's retirement status, fixed-income dependency, moderate risk profile on record, and age of 61 with a horizon that prioritizes capital preservation. The 12-month lock-up with a 15% early exit penalty is a material term that, under Reg BI's disclosure obligation (the 'full and fair disclosure' prong of the relationship summary and Form CRS requirements), should have been prominently communicated in writing rather than mentioned once verbally. The referral fee, while

disclosed, creates a conflict of interest that under Reg BI must be both disclosed and mitigated or eliminated - it is unclear whether a single dense boilerplate document constitutes adequate conflict mitigation, particularly for a retail investor who later stated she did not understand it. The fact that Delgado bypassed the firm's own alternative investment review process - regardless of how the product was labeled - could be viewed as a procedural violation signaling inadequate process. Under the SEC's 2019 Digital Asset Framework, the NexYield yield product's structure - pooling investor assets, using them to generate returns through lending and liquidity provisioning, and distributing those returns to depositors - presents strong indicia of a security under the Howey test (investment of money in a common enterprise with expectation of profits from others' efforts). If NexYield was an unregistered security, Delgado's recommendation of it may constitute a violation of Exchange Act § 10(b) and Rule 10b-5, as well as potentially rendering the recommendation per se unsuitable given that the product should not have been offered to retail investors in its unregistered form. The enforcement actions against BlockFi (settled February 2022 for \$100 million), Celsius, and Gemini Earn - all of which involved yield-bearing crypto products characterized by regulators as unregistered securities - provide strong contextual evidence that by March 2022, a reasonably diligent advisor should have recognized the significant regulatory risk surrounding crypto yield products. Arguments in Delgado's favor: Helen's expressed interest in crypto yield products was documented contemporaneously, repeated across multiple meetings, and was sufficiently specific that Delgado had a reasonable basis for updating her risk profile. The updated 'moderate-to-aggressive' classification, if supported by her own statements, gives Delgado some cover under the reasonable-basis and customer-specific prongs of suitability analysis. A 22% allocation, while elevated, is not facially disproportionate in the context of a moderate-to-aggressive profile, particularly when Helen's fixed pension and Social Security provide a meaningful income floor that reduces her dependence on portfolio liquidity. The oral disclosure of the lock-up and penalty, while not ideal, may satisfy a minimal disclosure threshold if the CRM documentation supports that the conversation occurred and Helen had the opportunity to ask questions. The referral fee was technically disclosed in writing, and at 0.75%, it is within a range that courts and regulators have sometimes found adequate when accompanied by written disclosure. The broader market collapse affecting NexYield in September 2022 could be characterized as a systemic, unforeseeable event rather than a product-specific failure Delgado should have anticipated. If NexYield's legal status as a security was genuinely ambiguous at the time of recommendation - which some practitioners argued in early 2022 - then recommending the product does not constitute a knowing violation. FINRA guidance (Regulatory Notice 22-08, published February 2022) cautioned member firms about crypto asset communications and suitability but acknowledged the evolving regulatory landscape, which Delgado could invoke to argue that no clear standard applied to his recommendation at the time.

Why Borderline

This scenario sits in a genuine gray zone because several of the most damaging factors - undisclosed conflicts, illiquidity, concentrated allocation, and regulatory risk - are each individually arguable, but none is an open-and-shut violation. Helen's repeated, documented statements of voluntary interest in crypto meaningfully complicate a straightforward suitability failure narrative. The referral fee was disclosed in writing, even if imperfectly. The lock-up was disclosed orally. The allocation, while high, is defensible under an updated risk profile. At the same time, the combination of these factors - a retiree, a fixed-income-dependent client, a 22% concentration, a 12-month lock-up with penalty, an unduly thin due diligence process, and a product whose regulatory status was actively contested just weeks before the recommendation - creates a cumulative picture of inadequate care that reasonable regulators could view as

a violation. The bypass of the firm's internal review process is an additional wildcard that cuts against Delgado but may not independently constitute a regulatory violation. Whether the NexYield product was a security is itself unresolved on these facts, which affects the severity of potential liability significantly.

Borderline Factors

- Client voluntarily and repeatedly expressed desire for crypto exposure, with contemporaneous CRM documentation supporting advisor's characterization of informed consent
- Risk profile was formally updated to moderate-to-aggressive prior to recommendation, giving advisor documentary cover even if the update process itself was questionable
- 22% concentration is elevated but not per se excessive for a moderate-to-aggressive investor with supplemental fixed income from pension and Social Security
- Referral fee was disclosed in writing, though the density and placement of the disclosure raises questions about whether it was meaningfully communicated
- Lock-up and early exit penalty were mentioned orally but not highlighted in written disclosures - adequacy of oral-only disclosure of material terms is genuinely contested
- Due diligence was arguably thin but was not entirely absent - a third-party audit existed, even though it disclaimed financial solvency review
- NexYield's classification as an unregistered security was legally contested in early 2022, making the regulatory risk foreseeable but not necessarily certain at the time of recommendation
- The firm's own internal alternative investment review process was bypassed, but the bypass arguably resulted from a labeling ambiguity rather than deliberate circumvention
- Market collapse in September 2022 involved broader systemic stress, potentially cutting against proximate causation between advisor conduct and client harm
- BlockFi enforcement action was settled just weeks before Delgado's recommendation, creating a question of whether a diligent advisor should have drawn a direct analogy to NexYield's structure

Likely Outcome

A regulator would most likely find that Delgado committed a violation, but the severity and remedy would be contested. The most probable finding is a violation of Reg BI's care obligation (17 C.F.R. § 240.15l-1(a)(2)(ii)) based on inadequate due diligence into NexYield's financial structure and the failure to obtain or review any independent analysis of counterparty and liquidity risk - particularly given the smart contract auditor's express disclaimer of solvency opinions. The conflict of interest presented by the referral fee would likely be found inadequately mitigated even if technically disclosed, consistent with the SEC's position in several Reg BI examinations that disclosure alone does not satisfy the conflict mitigation requirement for financial incentives. The failure to provide written, prominent disclosure of the lock-up and 15% penalty would likely be characterized as a disclosure deficiency under Reg BI's disclosure obligation prong. If regulators characterize NexYield as an unregistered security - which is plausible given its structural similarity to products in the BlockFi and Celsius enforcement actions - the violations would escalate significantly to potential Exchange Act § 10(b) exposure. The most likely remedy in a state or FINRA proceeding would be partial or full restitution, a fine, and mandatory remediation of the firm's crypto product review procedures. However, Helen's documented informed consent and voluntarily updated risk profile would likely reduce the magnitude of any sanction and would be central to any contested proceeding. A purely private arbitration claim by Helen would face genuine headwinds on causation given the systemic nature of the market collapse, but would likely survive a motion to dismiss given the combination of disclosure deficiencies and inadequate due diligence.

Borderline Scenario 7

Topic: *alternative_investments_unsuitable* | Standard: *Regulation Best Interest (Reg BI)*, 17 C.F.R. § 240.15l-1, Care Obligation (Rule 15c3-1)

Fact Pattern

In March 2022, Marcus Delgado, a 58-year-old semi-retired civil engineer in Phoenix, Arizona, met with his financial advisor, Caryn Whitfield, at a regional broker-dealer. Delgado had a self-described 'moderate-aggressive' risk tolerance on his onboarding paperwork, a \$1.4 million brokerage portfolio concentrated in dividend-paying equities and municipal bonds, a paid-off home worth approximately \$620,000, and a pension from his former employer that covered roughly 70% of his monthly living expenses. He had no immediate liquidity needs and described his investment horizon as 'ten or more years.' He told Whitfield he was interested in generating additional yield because his bond allocations were returning under 3% annually and he had read about crypto lending platforms offering 8-10% annual returns. Delgado was not a crypto novice - he had held Bitcoin and Ethereum directly in a self-custodied hardware wallet since 2018 and had previously asked Whitfield questions about blockchain technology that she found technically sophisticated. During their March meeting, Whitfield recommended that Delgado allocate \$120,000 - approximately 8.5% of his liquid portfolio - into a crypto yield product offered through a third-party platform that the broker-dealer had recently added to its approved product list. The product functioned by having customers deposit stablecoins, which the platform then lent to institutional borrowers, returning an advertised annual yield of 9.2%. The platform was not a bank, did not carry FDIC or SIPC insurance, and the underlying yield mechanism had not been registered with federal securities regulators, though the broker-dealer's compliance team had reviewed the product and approved it for recommendation to clients classified as 'moderate-aggressive' or higher. Whitfield disclosed verbally and in a one-page product summary that the product was uninsured, carried counterparty risk, and that returns were not guaranteed. Delgado signed an acknowledgment form confirming he had received and reviewed this disclosure. Whitfield's notes from the meeting reflect that she considered his pension income, long time horizon, existing crypto sophistication, and the fact that \$120,000 represented less than 9% of liquid assets before making the recommendation. She did not document any analysis of the platform's balance sheet, the creditworthiness of the institutional borrowers receiving the lent stablecoins, or whether the product itself constituted an unregistered security. By November 2022, the platform had suspended withdrawals following liquidity problems tied to broader crypto market contagion, and Delgado's \$120,000 became inaccessible. Partial recovery of approximately \$34,000 was later estimated through a restructuring proceeding. Delgado filed a complaint alleging the recommendation was inappropriate for someone approaching retirement and that Whitfield failed to adequately investigate the product before recommending it. Whitfield contends that Delgado initiated the inquiry, had demonstrated crypto sophistication, had sufficient income and assets to absorb the loss, signed disclosures, and that the product had received formal approval through the firm's compliance review process.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments supporting a violation: The core problem is that Whitfield recommended a product that very likely constituted an unregistered security - a yield-bearing crypto lending product in which customer deposits were pooled and lent to third parties in exchange for returns fits squarely within the Howey test

framework (investment of money, common enterprise, expectation of profits from others' efforts), mirroring the factual patterns that led to enforcement actions against BlockFi (settled with the SEC in February 2022 for \$100 million) and Celsius. Recommending an unregistered security raises serious questions independent of suitability - a broker cannot satisfy best interest obligations under Regulation BI, 17 C.F.R. § 240.15l-1, by recommending a product that itself may be operating unlawfully. Under Reg BI's Care Obligation (Rule 15l-1(a)(2)(ii)), Whitfield was required to have a reasonable basis for the recommendation based on a reasonable diligence effort, which should have included analysis of the platform's financial condition and the regulatory status of the product. Her documented failure to assess the platform's balance sheet or the creditworthiness of borrowers is a significant gap. Investment advisers and registered representatives have been held to a due diligence standard that goes beyond simply relying on a compliance-approved product list - the approval list reduces but does not eliminate individual responsibility. Section 17(a) of the Securities Act and Section 10(b) of the Exchange Act, 15 U.S.C. § 78j(b), can implicate brokers who recommend products that turn out to be unregistered securities even absent fraudulent intent, particularly where red flags existed. By March 2022, the regulatory environment around crypto yield products was widely publicized - the BlockFi settlement had occurred just weeks earlier - creating a strong argument that a reasonably diligent advisor should have independently questioned the regulatory status of a nearly identical product. Additionally, the concentration of \$120,000 in a single uninsured, illiquid, unregulated platform, even if below 9% of liquid assets, may still be inappropriate given that Delgado was 58 and within a reasonable planning horizon for retirement, and the product lacked any exit mechanism during market stress. Arguments against a violation: Delgado's financial profile presents genuine complexity. His pension covering 70% of living expenses, \$1.4 million in diversified liquid assets, a paid-off home, a decade-plus investment horizon, and documented crypto sophistication collectively paint a picture of an investor who could reasonably absorb this risk. The \$120,000 allocation represented less than 9% of liquid assets - a concentration level that, in isolation, is often considered within acceptable bounds for higher-risk alternative allocations for moderate-aggressive investors. FINRA guidance on suitability (FINRA Rule 2111, now overlapping with Reg BI for broker-dealers) has historically recognized that client-initiated interest in a product is a relevant mitigating factor, though not a complete defense. Whitfield documented her reasoning contemporaneously, disclosed material risks in writing, obtained a signed acknowledgment, and relied on a firm-approved product list - all of which reflect process compliance. The firm's compliance review of the product, while not dispositive, demonstrates that reasonable professionals within the industry had evaluated the product as potentially appropriate for certain clients. The question of whether the product was an unregistered security is genuinely unsettled - the Lummis-Gillibrand framework and ongoing Congressional debate reflect that the line between commodities and securities in the digital asset space remains legally contested, and a broker acting in March 2022 could have plausibly believed the product's regulatory status was ambiguous rather than clearly unlawful. The platform's failure was triggered by macro crypto market contagion events in mid-2022, not by any fraud or misrepresentation Whitfield made.

Why Borderline

This scenario sits at the intersection of three genuinely contested areas: (1) whether the recommended product was an unregistered security at the time of recommendation, given ongoing legal ambiguity about crypto yield products; (2) whether the advisor's due diligence process was meaningfully deficient or merely imperfect, given firm compliance approval and contemporaneous documentation; and (3) whether the client's sophisticated profile and financial cushion offset the product's structural risks sufficiently to make the recommendation defensible. Regulators and arbitration panels frequently split on these precise

questions - the compliance approval process and client sophistication cut strongly in the advisor's favor, while the failure to independently assess the platform's financial health and the regulatory red flags plainly visible by March 2022 cut strongly against her.

Borderline Factors

- Client had genuine, documented crypto sophistication and self-initiated interest in yield products, providing partial mitigation for the advisor
- Allocation of 8.5% of liquid assets is below thresholds typically associated with per se concentration violations but is not trivially small for an uninsured, illiquid alternative
- Firm's compliance team had formally approved the product, creating reasonable reliance argument even though individual advisor due diligence gaps existed
- By March 2022, the BlockFi SEC settlement had been public for weeks, creating a strong argument that industry participants had constructive notice that identical products were being treated as unregistered securities
- The regulatory classification of the product - security vs. commodity vs. neither - was and remains genuinely contested under evolving digital asset law
- Whitfield's documented failure to analyze the platform's balance sheet or borrower creditworthiness is a concrete due diligence gap but may not rise to a violation if firm-level approval is given meaningful weight
- Client signed written disclosures acknowledging uninsured status and counterparty risk, which cuts against a claim of inadequate disclosure but does not fully resolve the question of whether the recommendation process itself was reasonable
- Client's 58-year-old age and proximity to full retirement create legitimate concern about illiquid alternative allocations, but his pension income and asset base weaken the argument that this was a retiree with no capacity for risk

Likely Outcome

A regulator would most likely find a technical violation, but the severity and sanctions would be contested. The most probable conclusion is that Whitfield failed to conduct adequate independent due diligence on the product's regulatory status and underlying credit risks, particularly given the publicly available information about crypto yield product enforcement by March 2022. Under Regulation BI's Care Obligation, 17 C.F.R. § 240.15l-1(a)(2)(ii), and FINRA Rule 2111's reasonable basis suitability prong, a broker-dealer representative recommending a complex, uninsured, illiquid product bearing hallmarks of an unregistered security has an affirmative obligation to conduct reasonable investigation beyond reliance on an internal approved product list. However, the regulator would likely acknowledge significant mitigating factors - client sophistication, documented disclosure, contemporaneous notes, firm approval, and client-initiated inquiry - and would likely pursue the matter as a supervisory and due diligence failure rather than a knowing fraud, potentially resulting in a fine and mandatory remediation rather than license suspension. The broker-dealer itself may face greater scrutiny for the compliance approval process that added a product to the approved list without adequate regulatory analysis.

Borderline Scenario 8

Topic: *failure_to_know_customer* | Standard: *Regulation Best Interest, 17 C.F.R. § 240.15l-1 (Care Obligation, Disclosure Obligation)*

Fact Pattern

Marcus Delacroix, a 58-year-old high school science teacher in suburban Ohio, had been a client of Pinnacle Wealth Advisors since 2014. His account documents from onboarding described him as having a 'moderate' risk tolerance, a primary goal of retirement income preservation, and liquid assets of approximately \$310,000 spread across a rollover IRA, a 403(b), and a taxable brokerage account. He owned his home with a \$140,000 mortgage remaining and had two children in college. Delacroix received a \$47,000 inheritance in March 2022 after his mother passed away and deposited it into his taxable brokerage account at Pinnacle. During a meeting with his advisor, Trevor Hollis, Delacroix mentioned that a colleague at school had made significant gains in cryptocurrency and that he was 'curious but cautious.' He told Hollis he had read several articles about digital assets over the past year, watched YouTube videos about blockchain technology, and had previously purchased approximately \$800 in Bitcoin through a consumer app on his own in 2020, which he still held. He described this as 'just playing around.' Hollis, who had completed a 90-minute internal firm training on digital assets in late 2021, recommended that Delacroix allocate \$15,000 of the inheritance - roughly 32% of the new funds and approximately 4.8% of his total investable assets - into a yield-bearing digital asset product offered through a third-party platform. The product allowed customers to deposit stablecoins, which would then be lent to institutional borrowers, generating an advertised annual yield of 8.2%. The platform had not registered the product with any federal regulatory body and had disclosed this fact in its terms of service in a section Hollis later admitted he had not read carefully. Hollis represented to Delacroix that the yield product was 'more like a high-yield savings account than a speculative crypto bet' and that stablecoins were 'basically dollar equivalents.' Hollis did not update Delacroix's risk profile documents before making the recommendation, relying instead on his general impression from their conversations. Pinnacle's internal policies required updated customer profile documentation before recommending any alternative or non-traditional investment, but Hollis believed the product's stablecoin structure placed it outside that category. Delacroix agreed to the allocation and transferred the funds in April 2022. By November 2022, the third-party platform had suspended withdrawals amid a liquidity crisis, and Delacroix's \$15,000 was frozen. He later recovered approximately \$4,200 through a partial claims process. Hollis had recommended similar yield products to eleven other retail clients during the same period, seven of whom had risk profiles on file described as 'moderate' or 'conservative.' Hollis earned no direct commission on the referral but the firm had a revenue-sharing arrangement with the third-party platform that was disclosed only in Pinnacle's annual Form ADV, which Delacroix had received but acknowledged he had not read.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Hollis violated applicable standards: Under Regulation Best Interest (17 C.F.R. § 240.15l-1), broker-dealers making recommendations to retail customers must act in their best interest, including satisfying a Care Obligation that requires reasonable diligence to understand the potential risks, rewards, and costs of a recommended security, and a Profile Obligation requiring the advisor to have a reasonable basis to believe the recommendation is in the customer's best interest based on the customer's financial situation and needs. For investment advisers, the Investment Advisers Act of 1940, Section 206(1) and 206(2), impose a fiduciary duty encompassing both a duty of loyalty and a duty of care, which courts and the SEC have interpreted to require advisors to have a reasonable basis for their advice grounded in a thorough understanding of the client's circumstances. Hollis did not update Delacroix's risk profile before

recommending a novel digital asset product, in direct violation of Pinnacle's own internal policy - a factor regulators treat as strong evidence of a care obligation failure. The product's yield-generating mechanism involved lending assets to third parties, a structure the SEC has indicated in enforcement actions against entities such as BlockFi Lending LLC (settled February 2022) and Celsius Network constitutes the offer and sale of a security under the Howey test, because investors provide capital with an expectation of profit derived from the efforts of others. Under *SEC v. W.J. Howey Co.*, 328 U.S. 293 (1946), and the SEC's Framework for 'Investment Contract' Analysis of Digital Assets (April 2019), such a product likely qualifies as a security, meaning recommending it without registration or a valid exemption compounds the compliance concern. Hollis mischaracterized the product as analogous to a high-yield savings account, which was materially misleading given that the funds were actively lent to leveraged institutional borrowers, creating substantial credit and liquidity risk that Delacroix could not have appreciated from Hollis's description. The revenue-sharing arrangement between Pinnacle and the platform, while technically disclosed in the Form ADV, was buried in a document clients routinely do not read, raising a Reg BI Disclosure Obligation concern under 17 C.F.R. § 240.15l-1(a)(2)(i). FINRA Regulatory Notice 22-08 (January 2022) explicitly warned member firms that digital asset recommendations require the same diligence as recommendations of any security, including full customer profile documentation and understanding of product-specific risks. Arguments that Hollis did not clearly violate applicable standards: The \$15,000 allocation represented only 4.8% of Delacroix's total investable assets, a position that most portfolio construction guidance would consider a modest alternative allocation even for moderate-risk investors. Hollis had a reasonable basis to believe Delacroix had some familiarity with digital assets given his self-directed Bitcoin purchase and expressed curiosity. Stablecoins, unlike volatile cryptocurrencies, are designed to maintain price parity with fiat currency, and the product's yield structure superficially resembles money market or short-duration fixed-income products that are regularly recommended to moderate-risk retirees. The 8.2% yield was disclosed as an estimate, and the platform's terms of service - which were available to Delacroix - contained risk disclosures. Hollis earned no direct commission, reducing the conflict of interest analysis under Reg BI's Conflict of Interest Obligation. Courts have not definitively and uniformly held that all stablecoin yield products are securities, and the legal classification was actively contested during the relevant period. The CFTC has also asserted jurisdiction over certain digital asset commodities under the Commodity Exchange Act, 7 U.S.C. § 1 et seq., creating genuine regulatory ambiguity about which framework governs. Delacroix was college-educated, had a decade-long advisory relationship, received the Form ADV, and had independently researched crypto, suggesting he was not an entirely uninformed investor.

Why Borderline

This scenario sits in a genuine gray zone because the allocation was small relative to total assets, the client expressed organic interest and had prior self-directed crypto exposure, and the advisor earned no direct commission - factors that cut against a clear violation. At the same time, the advisor made affirmatively misleading product characterizations, skipped required documentation updates, and recommended an unregistered yield product in a legal category that regulators were actively challenging. The legal status of stablecoin yield products as securities was contested but not resolved during the recommendation period, meaning Hollis's failure to investigate the registration question is negligent but not necessarily willful fraud. The disclosure via Form ADV of the revenue-sharing arrangement is technically compliant but practically inadequate, placing this squarely in the territory where regulators and practitioners could reasonably reach opposite conclusions.

Borderline Factors

- Allocation represented only 4.8% of total investable assets, within conventional alternative investment sizing guidelines for moderate-risk profiles
- Client had prior self-directed crypto exposure and expressed independent curiosity, suggesting some baseline awareness of digital asset risk
- Advisor earned no direct commission on the recommendation, weakening the conflict of interest analysis
- Stablecoin yield product's legal classification as a security versus commodity was unresolved during the recommendation period, creating genuine regulatory ambiguity
- Revenue-sharing conflict was technically disclosed in the Form ADV, satisfying a literal reading of disclosure requirements even if practically obscured
- Advisor's product characterization as 'high-yield savings equivalent' was inaccurate but may reflect genuine misunderstanding rather than intentional fraud
- Firm's internal policy categorization of whether the product was 'alternative' was itself ambiguous given stablecoin's design intent
- Client's moderate risk profile had not been updated for eight years, making it unclear whether it accurately reflected his current risk tolerance and capacity
- The platform's liquidity crisis was driven by broader market contagion in late 2022, raising causation questions about whether better diligence would have predicted the specific failure mode

Likely Outcome

A regulator would most likely conclude that Hollis violated applicable best interest and fiduciary standards, but would characterize the violation as a care obligation and disclosure failure rather than fraud. The failure to update the customer risk profile before recommending a novel product in direct contravention of the firm's own written policies is independently significant. The affirmative mischaracterization of the product as a savings account equivalent would likely be treated as a material misstatement under Exchange Act Section 10(b) and Rule 10b-5, 17 C.F.R. § 240.10b-5, particularly because it went to the core risk profile of the product. The pattern of eleven similar recommendations across moderate and conservative clients during the same window would likely prompt regulators to treat this as a systemic supervisory failure at the firm level under Investment Advisers Act Section 203(e) and FINRA Rule 3110, potentially resulting in a censure and fine against both Hollis and Pinnacle, disgorgement of the revenue-sharing fees received, and remediation to affected clients, but likely not a bar absent evidence of intentional deception.

Borderline Scenario 9

Topic: crypto_assets_unsuitable | Standard: Regulation Best Interest, Rule 15l-1 under the Securities Exchange Act of 1934 (Care O

Fact Pattern

In early 2022, Marcus Delgado, a 58-year-old electrical engineer with 30 years of professional experience, approached his financial advisor, Sandra Whitfield, at a mid-sized registered investment advisory firm in Austin, Texas. Marcus had a self-described 'moderate-to-aggressive' risk tolerance documented on his onboarding forms from 2019, a \$1.4 million traditional IRA, a \$280,000 taxable brokerage account holding a diversified mix of equities and bond funds, and no outstanding debts. He was seven years away from his target retirement date. Marcus had independently researched digital assets for approximately 18 months

and came to Sandra with specific questions about allocating a portion of his taxable brokerage account to a crypto yield product offered through a third-party platform called 'HarborYield,' which promised annualized returns of 8.5% on USDC stablecoin deposits. Marcus had already opened an account on HarborYield's platform on his own and deposited \$5,000 of personal funds as a test before meeting with Sandra. He described himself as someone who 'understood the risks' and had watched several webinars on stablecoin mechanics. Sandra reviewed the HarborYield platform's publicly available materials, which described the yield as generated through institutional crypto lending, and noted that the platform was not registered with any U.S. financial regulator, carried no SIPC or FDIC protections, and had disclosed in its terms of service that customer deposits could be used as collateral in lending transactions. Sandra verbally flagged these concerns to Marcus during their March 2022 meeting and summarized them in a follow-up email three days later. Despite this, Marcus insisted he wanted to allocate \$40,000 from his taxable brokerage account - approximately 14% of that account, or about 2.4% of his total investable assets - to HarborYield, framing it as a speculative position he was 'prepared to lose entirely.' Sandra ultimately facilitated the transfer by helping Marcus liquidate \$40,000 in a bond fund position within his taxable account and wire the proceeds to his personal bank account, from which Marcus himself transferred the funds to HarborYield. Sandra did not place the funds directly into HarborYield and did not receive any compensation from HarborYield. In her internal notes, she documented that she had disclosed the risks, that Marcus had made the final decision autonomously, and that the \$40,000 represented a small fraction of his total wealth. Sandra also noted that Marcus's risk profile and engineer background suggested above-average financial literacy. By November 2022, HarborYield suspended withdrawals amid a broader crypto credit crisis and Marcus lost the entire \$40,000. Marcus subsequently filed a complaint alleging Sandra had effectively endorsed a product she knew to be unregistered and high-risk by helping liquidate the bond position that funded the transfer, arguing that her assistance crossed the line from passive acknowledgment into active facilitation. Sandra countered that she had never recommended HarborYield, had clearly documented her concerns in writing, and had merely assisted with a routine liquidation at a client's explicit direction.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Sandra violated her obligations: First, under Regulation Best Interest (Reg BI), Rule 15l-1 under the Securities Exchange Act of 1934, a broker-dealer or investment adviser interacting with a retail customer must act in the customer's best interest when making a 'recommendation.' The central question is whether Sandra's facilitation of the bond fund liquidation - specifically chosen to fund a crypto yield product she had already flagged as high-risk and unregistered - constitutes an implicit recommendation. Regulators have taken an expansive view of what constitutes a 'recommendation,' including context-specific actions that a customer could reasonably interpret as endorsement. By executing the liquidation with knowledge of its intended purpose, Sandra arguably moved from passive acknowledgment into a functional recommendation of a course of action. Second, under Investment Advisers Act Section 206(1) and 206(2), an investment adviser owes a fiduciary duty to clients that includes a duty of care and a duty of loyalty. The duty of care requires that an adviser provide advice in the client's best interest across the full advisory relationship, and facilitating a transfer into an unregistered, non-custodied yield product with no regulatory oversight arguably breaches that duty even if the adviser did not formally 'recommend' the product. Third, HarborYield's structure - accepting deposits, pooling them, and generating yield through lending - closely resembles the products at issue in SEC enforcement actions against BlockFi (settled February 2022 for

\$100 million), Celsius, and Gemini/Genesis under the Earn program. Those products were found to constitute unregistered securities offerings under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)) because they involved an investment of money in a common enterprise with the expectation of profits derived from others' efforts. Sandra's awareness of these regulatory developments, combined with her own documentation that the platform was unregistered, arguably created an affirmative obligation to refuse facilitation rather than merely disclose. Arguments that Sandra did not violate her obligations: First, the \$40,000 represented only 14% of the taxable account and approximately 2.4% of Marcus's total investable assets. Concentration in any single speculative position at this level is well within ranges that regulators and FINRA guidance have historically treated as individually acceptable, particularly for a client with documented moderate-to-aggressive risk tolerance. Second, Sandra never recommended HarborYield. The contemporaneous written documentation she produced - both her internal notes and the follow-up email - demonstrates that she affirmatively warned Marcus of the risks, the lack of regulatory protection, and the terms-of-service disclosures about collateralization. Client-directed trades, where the client explicitly overrides adviser concerns, have historically been treated more leniently in FINRA arbitration and SEC examination contexts. Third, Sandra did not place funds directly into HarborYield. The liquidation of the bond fund was a routine transaction within a taxable brokerage account, and Marcus independently transferred the funds from his personal bank account. This transactional break arguably severs the chain of facilitation. Fourth, Marcus's profile - a 58-year-old engineer with 18 months of independent crypto research, a documented above-average financial literacy assessment, and a prior self-initiated test deposit - cuts against a finding that Sandra's conduct was exploitative or that Marcus was a vulnerable retail investor in the traditional sense. FINRA's suitability guidance and Reg BI's Care Obligation both contemplate that customer-specific factors, including sophistication, are relevant. Fifth, Sandra's firm may also have lacked the authority or mechanism to formally block a client from making personal financial decisions with funds that had already left the brokerage account. Once Marcus wired the funds to his personal bank, the advisory relationship's jurisdictional reach over those assets arguably ended.

Why Borderline

This scenario is genuinely borderline because it sits precisely at the intersection of two competing regulatory principles: the duty of care owed to retail clients under a fiduciary or Reg BI standard, and the longstanding principle that advisers are not required to prevent competent clients from making autonomous financial decisions. Sandra neither recommended the product nor profited from it, and she documented her concerns in real time. However, her active liquidation of a client asset specifically to fund an unregistered, high-risk crypto yield product - one she had herself identified as problematic - creates a nontrivial argument that she crossed from neutral bystander into functional participant. The borderline nature is further sharpened by the regulatory ambiguity around whether HarborYield's product was a security, a commodity, or neither, which affects which standards apply, and by the fact that the transfer occurred in early 2022, before the most prominent enforcement actions in the crypto yield space had concluded, meaning Sandra was operating in a period of evolving but not fully settled regulatory expectations.

Borderline Factors

- Sandra never explicitly recommended HarborYield and documented her concerns in writing both verbally and via email
- Marcus was a sophisticated client with 18 months of independent research and a prior self-initiated test deposit on the platform

- The \$40,000 allocation represented only 2.4% of total investable assets, well within generally acceptable concentration thresholds
- Sandra facilitated a bond fund liquidation, not a direct placement into HarborYield, creating a transactional break in the chain of facilitation
- HarborYield's regulatory classification as a security, commodity, or neither was unsettled at the time of the recommendation
- The February 2022 BlockFi settlement and ongoing Celsius/Genesis enforcement context gave Sandra constructive knowledge of regulatory risk for similar yield products
- Marcus explicitly overrode Sandra's stated concerns and characterized the allocation as a speculative position he was 'prepared to lose entirely'
- Sandra received no compensation from HarborYield, removing a financial conflict-of-interest rationale that typically anchors enforcement cases
- The client's moderate-to-aggressive risk tolerance documentation from 2019 may not have been refreshed to reflect his retirement proximity by 2022
- Regulatory ambiguity in early 2022 about whether adviser facilitation of client-directed unregistered crypto product purchases triggers fiduciary or Reg BI obligations

Likely Outcome

A regulator would most likely find that Sandra occupied a gray zone but that her conduct, on balance, did not rise to a clear violation, primarily because she did not recommend the product, documented her concerns contemporaneously, received no compensation, and the allocation was modest relative to total assets. However, a regulator - particularly the SEC Division of Examinations - would likely issue a deficiency letter or informal guidance noting that Sandra's active facilitation of the liquidation specifically to fund a product she had identified as unregistered and high-risk created at minimum an appearance problem under Investment Advisers Act Section 206 fiduciary principles. Regulators would likely use this scenario to push for firm-level policies requiring advisers to formally decline facilitation of transfers into unregistered crypto yield products regardless of client direction, rather than merely disclosing risks. In FINRA arbitration, a panel would likely find for Sandra given Marcus's sophistication and the documented warnings, though a minority dissent focusing on the facilitation argument would be credible. An SEC enforcement action is unlikely absent evidence of a pattern of similar conduct or compensation arrangements, but supervisory findings at the firm level are probable.

Borderline Scenario 10

Topic: high_fees_unsuitable | Standard: Regulation Best Interest, 17 C.F.R. § 240.15l-1 (Care Obligation and Disclosure Obligation),

Fact Pattern

Marcus Delray, 58, is a semi-retired civil engineer in Phoenix, Arizona, with a self-reported net worth of approximately \$1.1 million, of which \$740,000 sits in a traditional IRA rollover account managed by his advisor, Janelle Forsythe, at a mid-size independent broker-dealer. The remaining assets include a paid-off home and roughly \$180,000 in a joint brokerage account with his wife. Marcus describes himself in his new account paperwork from March 2021 as having 'moderate' risk tolerance, a 10-to-15-year investment horizon before he expects to begin drawing from the IRA, and 'some familiarity' with technology investing, having worked in infrastructure project management involving smart-city systems for the last decade of his

career. He has never previously owned cryptocurrency and checked 'no' on the onboarding questionnaire when asked if he had prior crypto experience. His stated goal for the IRA is capital preservation with moderate growth to supplement a pension that will cover roughly 60% of his pre-retirement monthly expenses.

In August 2021, Janelle recommends that Marcus allocate \$74,000 - exactly 10% of the IRA - into a proprietary crypto yield product offered through a third-party platform affiliated with her broker-dealer's parent company. The product, marketed under the name 'YieldChain Institutional Access,' pools client funds and deploys them across a mix of Bitcoin, Ethereum, and several mid-cap altcoins, generating yield through a combination of staking, lending the pooled assets to institutional borrowers, and liquidity provision on decentralized exchanges. At the time of the recommendation, YieldChain advertises an annualized yield of 9.2% and charges a 2.1% annual management fee plus a 15% performance fee on gains above a 6% hurdle rate. Janelle receives a 0.60% trail commission from the platform for client assets held in YieldChain, disclosed in a fee disclosure document buried on page 14 of a 22-page onboarding packet that Marcus signed electronically. Janelle verbally tells Marcus that the product is 'similar to a high-yield bond fund but with better upside,' and that the 10% allocation is 'well within conservative guidelines for alternative exposure.' She does not present Marcus with any alternative crypto-exposure vehicles, such as publicly traded Bitcoin ETF proxies or publicly available crypto equity funds with lower fee structures that were available in the marketplace at the time.

Between August 2021 and May 2022, YieldChain's net asset value drops approximately 44% as crypto markets deteriorate and the platform temporarily halts withdrawals for six weeks citing 'liquidity management protocols,' during which Marcus cannot access the funds. Marcus's \$74,000 investment falls to approximately \$41,400. He contacts Janelle in June 2022 demanding a full accounting and alleging she never adequately explained that the product could freeze redemptions or that the yield was generated partly through lending to counterparties whose creditworthiness was not independently verified. Janelle responds in writing that she reviewed the product with Marcus over two phone calls totaling approximately 75 minutes, that she provided him the full disclosure packet, and that her notes from the calls reflect that Marcus expressed enthusiasm about crypto's long-term potential and specifically asked whether there was a way to 'get some exposure to the space with some income attached.' Janelle's call notes also reflect that she told Marcus the product was 'not FDIC insured and subject to significant market risk.' Her broker-dealer's internal product approval committee had reviewed YieldChain four months prior to her recommendation and issued a 'conditional approval' rating, noting the product was appropriate for clients with 'aggressive or moderately aggressive' risk profiles and flagging that the redemption suspension feature was a material liquidity risk requiring specific client disclosure. Janelle's written suitability documentation submitted to her broker-dealer at the time of the recommendation lists Marcus's risk profile as 'moderately aggressive,' which differs from the 'moderate' designation on his original account paperwork. There is no documented conversation or amended client profile explaining the change in risk designation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Janelle violated her obligations to Marcus:

First, the fee structure of YieldChain - a 2.1% annual management fee plus a 15% performance fee on gains above a 6% hurdle - is extraordinarily high relative to comparable crypto-exposure products available at the time. Under Regulation Best Interest (17 C.F.R. § 240.15l-1), broker-dealers must consider reasonably available alternatives when making a recommendation, and the failure to even present lower-cost alternatives such as publicly traded Bitcoin futures ETF proxies (e.g., ProShares BITO, which launched in October 2021 at roughly 0.95% expense ratio) or crypto equity funds is a significant gap in the best interest analysis. The cost-versus-benefit calculus here is structurally unfavorable: the client must first overcome a 2.1% annual drag plus the performance fee before realizing net gain, in a volatile asset class where drawdowns of 40%+ are historically common.

Second, the undisclosed conflict of interest represented by Janelle's 0.60% trail commission - buried on page 14 of a dense onboarding document rather than prominently surfaced - raises serious concerns under Reg BI's Disclosure Obligation (§ 240.15l-1(a)(2)(i)), which requires disclosure of material conflicts of interest at or prior to the time of the recommendation in a manner reasonably designed to be understood. Passive electronic signature of a lengthy document does not clearly satisfy this standard, particularly where the financial incentive may have influenced product selection over lower-cost alternatives.

Third, the alteration of Marcus's risk profile from 'moderate' to 'moderately aggressive' without documented justification is a textbook red flag. The broker-dealer's own internal conditional approval memorandum restricted YieldChain to 'aggressive or moderately aggressive' clients, meaning Janelle had an incentive to reclassify Marcus in order to place him in the product. Under FINRA Rule 2111 and the broader reasonable-basis and customer-specific suitability framework, a risk profile change must be grounded in actual updated customer information, not reverse-engineered to justify a product. The Investment Advisers Act § 206 anti-fraud provisions would similarly be implicated if the reclassification was made to circumvent suitability controls.

Fourth, the product's redemption suspension feature - a material liquidity risk that the broker-dealer's own product committee flagged as requiring specific client disclosure - was apparently not communicated to Marcus in a manner he retained or understood. Marcus's written complaint specifically references surprise at the freeze. Janelle's verbal statement that the product was 'subject to significant market risk' does not clearly encompass the distinct risk that redemptions could be suspended for weeks, leaving the client unable to exit during a market downturn. This is particularly significant given that Marcus's stated goal was capital preservation and that a 10% illiquid allocation in an IRA with a 10-to-15-year horizon but no interim liquidity need might have seemed acceptable in the abstract but was not explained in concrete operational terms.

Fifth, the characterization of YieldChain as 'similar to a high-yield bond fund but with better upside' is potentially misleading under Exchange Act § 10(b) and Rule 10b-5. Yield generated through crypto lending to unverified institutional counterparties and liquidity provision on decentralized exchanges bears fundamentally different risk characteristics than a registered high-yield bond fund, including smart contract risk, counterparty insolvency risk, and the absence of any regulatory safety net. The SEC's 2019 Digital Asset Framework makes clear that yield-generating crypto products warrant heightened scrutiny, and enforcement actions against BlockFi (settled February 2022), Celsius, Gemini, and Genesis all involved the SEC's conclusion that crypto yield products constituted unregistered securities, raising an additional

threshold question about whether YieldChain itself was a lawfully offered product at all.

Arguments in Janelle's favor:

First, a 10% allocation to an alternative asset class is quantitatively defensible as a limited diversification position within a \$740,000 IRA with a 10-to-15-year horizon. Many portfolio construction frameworks - including those used by institutional advisors - support allocations of 5-15% to alternatives including crypto. The absolute dollar amount at risk (\$74,000) was not disproportionate to Marcus's overall balance sheet.

Second, Marcus specifically requested crypto exposure with an income component, as reflected in Janelle's call notes. Under both FINRA's suitability framework and Reg BI, client-initiated requests or expressed preferences are a relevant factor. An advisor who ignores a client's explicit interest in a particular asset class could also be criticized. Janelle's notes, which Marcus has not disputed on their face, suggest he was an active participant in the decision.

Third, the disclosure documentation, while lengthy, was provided in advance and signed. Informed consent, even if imperfect in its presentation, is a mitigating factor. The call notes reflect a verbal discussion of lack of FDIC insurance and market risk.

Fourth, the 9.2% advertised yield was genuine and partially materialized before the market downturn. The loss was driven by market conditions affecting the entire crypto sector, not necessarily product-specific misconduct by Janelle.

Fifth, the broker-dealer approved the product for moderately aggressive clients, and if Marcus's updated risk profile legitimately reflected updated conversations (even if poorly documented), the recommendation fell within approved parameters.

Why Borderline

This case sits in genuine gray territory for several intersecting reasons. The 10% allocation percentage is objectively conservative by alternative asset standards, which makes it hard to condemn the sizing decision in isolation. Marcus's express request for crypto income exposure creates a client-directive defense that regulators must weigh against the advisor's independent judgment obligation. The fee structure is objectively high but not facially illegal, and high-fee crypto products were common in the 2021 market environment, meaning a conduct-of-peers defense is available. The risk profile reclassification is the most legally dangerous fact, but Janelle could plausibly argue the phone call conversations updated the profile in ways her notes imperfectly capture. The redemption suspension feature was disclosed in writing, even if not verbally emphasized. The threshold question about whether YieldChain was itself an unregistered security - which would make any recommendation per se improper - is unresolved because YieldChain is a hypothetical and its registration status is unknown, mirroring the real enforcement ambiguity the SEC faced with analogous products. Reasonable practitioners in 2021 could genuinely disagree about whether yield-bearing pooled crypto vehicles required registration.

Borderline Factors

- 10% allocation is quantitatively within common alternative asset diversification ranges, making size alone insufficient to establish violation

- Client expressly requested crypto exposure with income component, creating client-directive defense against advisor's independent product selection
- Risk profile reclassification from 'moderate' to 'moderately aggressive' is undocumented but could reflect legitimate updated phone conversations rather than deliberate manipulation
- Fee structure (2.1% management plus 15% performance fee) is high but not legally impermissible, and comparable structures existed in the 2021 crypto market
- Verbal disclosure of market risk and lack of FDIC insurance occurred but did not specifically address redemption suspension feature flagged by broker-dealer's own committee
- 0.60% trail commission was technically disclosed in onboarding documents, though placement on page 14 of 22 pages raises adequacy questions
- YieldChain's registration status as a security is unresolved, creating a threshold question about whether the recommendation was per se improper independent of suitability
- Product characterization as 'similar to a high-yield bond fund' may constitute a misleading analogy or merely an informal explanatory shorthand depending on totality of disclosures
- Broker-dealer's own conditional approval and liquidity risk flag creates internal standard against which Janelle's conduct can be measured, cutting toward violation
- Market losses were driven by sector-wide crypto downturn rather than idiosyncratic product failure, making causation analysis of client harm complex

Likely Outcome

A regulator examining this matter would most likely conclude that Janelle committed a technical violation but that the severity and remediation would depend heavily on whether the risk profile reclassification can be independently justified. The undocumented change from 'moderate' to 'moderately aggressive,' which happened to align with the broker-dealer's own product eligibility threshold, is the single most damaging fact and would likely be the enforcement hook. Regulators would treat this as circumstantial evidence that the profile was changed to fit the product rather than the reverse. The failure to present lower-cost alternatives would be cited as a secondary Reg BI violation under the care obligation framework. However, the 10% sizing, the client's expressed interest, and the fact that some disclosure did occur would likely result in a finding short of fraud - more likely a supervisory or compliance violation against the broker-dealer for approving the product with a conditional flag that was not operationally enforced, and a formal censure or fine against Janelle rather than a license revocation. The threshold question of whether YieldChain was an unregistered security would likely be referred for separate investigation. Under Investment Advisers Act § 206(2) (if Janelle were registered as an investment adviser rather than solely as a registered representative), the negligent misrepresentation in characterizing the product as analogous to a high-yield bond fund, combined with the undisclosed conflict, could support a stronger fraud-based finding.

Borderline Scenario 11

Topic: *alternative_investments_unsuitable* | Standard: *Regulation Best Interest, 17 C.F.R. § 240.15l-1 (Care Obligation and Disclosure)*

Fact Pattern

In March 2024, Marcus Delacroix, a 61-year-old semi-retired civil engineer in Phoenix, Arizona, met with his financial advisor of six years, Dana Whitfield, at a mid-sized independent broker-dealer. Delacroix had a self-described 'moderate-aggressive' risk profile on file, a \$1.4 million brokerage account primarily in

diversified equity mutual funds and municipal bonds, a paid-off home worth approximately \$680,000, and a pension from his former employer paying \$4,200 per month. He also had a separate \$210,000 emergency savings account at a local credit union. He told Whitfield he was considering semi-retirement within 18 months and wanted to 'do something interesting' with a portion of his portfolio before fully stepping back from work. He explicitly stated he had been reading about crypto for two years, had already purchased roughly \$18,000 of Bitcoin through a retail exchange on his own, and considered himself 'comfortable with volatility in small doses.' He said he wanted to allocate no more than 8% of his brokerage account-approximately \$112,000-to digital assets. Whitfield recommended a private, yield-bearing digital asset lending account offered through a third-party platform called YieldBridge Digital, which pooled retail investor crypto deposits and lent them to institutional borrowers, paying an advertised 9.2% annual yield in-kind crypto. The platform was not registered with any U.S. securities regulator, had not filed any offering documents, and Whitfield's firm had conducted a third-party due diligence review 14 months earlier that rated the platform 'acceptable with caveats,' noting liquidity redemption gates could be imposed with 30 days' notice. Whitfield disclosed in writing that the product was high-risk, unregistered, and illiquid, and that the yield was not guaranteed. She also noted in her recommendation memo that Delacroix's pension income, substantial home equity, and separate liquid savings provided meaningful downside protection. Delacroix signed a detailed risk acknowledgment form and a suitability attestation stating he understood the risks and that the investment represented approximately 8% of his brokerage assets. Whitfield did not conduct updated due diligence on YieldBridge's current financial condition at the time of the recommendation, relying entirely on the 14-month-old review. Eight months after Delacroix invested \$112,000, YieldBridge Digital froze all redemptions, citing liquidity stress, and subsequently disclosed it was insolvent, with investor recovery estimated at 15 to 30 cents on the dollar. Internal communications later revealed that at the time of Whitfield's recommendation, YieldBridge had already experienced a significant institutional borrower default three months earlier-information that was not publicly disclosed and that Whitfield had no specific knowledge of. Delacroix lost approximately \$85,000. He was 62 at the time of the loss and planned to transition fully to retirement within six months.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Whitfield violated her obligations: Under Regulation Best Interest (17 C.F.R. § 240.15l-1), a broker-dealer and its associated persons must act in the retail customer's best interest at the time of a recommendation, which includes a Care Obligation requiring reasonable diligence, care, and skill to understand the product and its risks. Whitfield's reliance on a 14-month-old due diligence report for a high-risk, unregistered digital asset lending platform is a significant procedural failure. The product's core risk-platform solvency-was dynamic and time-sensitive, and reasonable diligence would have required updated review, particularly given that yield-bearing crypto lending platforms had experienced widely publicized collapses (e.g., Celsius, BlockFi, Genesis) in the 2022-2023 period, putting industry participants on notice of elevated insolvency risks in this product category. The platform's unregistered status is itself a major red flag: yield-bearing crypto lending products of this type are likely securities under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946))-investors pooled money in a common enterprise with an expectation of profit derived from YieldBridge's managerial efforts-and the SEC's 2019 Digital Asset Framework reinforces this analysis. The SEC's enforcement actions against BlockFi (2022) and Celsius established that unregistered interest-bearing crypto accounts of this structure constitute unregistered

securities offerings under Securities Act §5. Recommending an unregistered product that is almost certainly an illegal security raises serious concerns under Investment Advisers Act §206 (antifraud) and Exchange Act §10(b) and Rule 10b-5 (material omissions regarding regulatory status). At age 61 transitioning to retirement, recommending a \$112,000 illiquid, unregistered, insolvent-risk product with redemption gates is difficult to justify even with disclosure. FINRA's guidance on complex products and the suitability framework under FINRA Rule 2111 (applicable to the firm's conduct standards pre-Reg BI for any pending legacy accounts) emphasize that disclosure alone does not cure an unsuitable recommendation. Arguments that Whitfield did not violate her obligations: The facts cut meaningfully the other way. Delacroix was not a naive retail investor: he was a 61-year-old professional with demonstrated crypto literacy, two years of independent research, and an existing self-directed crypto position. The \$112,000 represented only 8% of his brokerage account-well within conventional concentration thresholds for speculative allocations. His overall financial profile was unusually resilient: \$4,200/month guaranteed pension income, \$210,000 liquid savings entirely separate from the recommendation, substantial home equity, and a \$1.4 million diversified core portfolio. Whitfield made written, specific disclosures about the product's unregistered status, illiquidity, and risk profile, and Delacroix signed a detailed acknowledgment. Reg BI does not prohibit recommending risky or even speculative investments-it requires the recommendation be in the customer's best interest given the totality of circumstances. A thoughtful argument can be made that for this particular customer, an 8% speculative allocation in a yield-bearing digital asset product was not categorically unreasonable. The key causal ambiguity is also notable: YieldBridge's insolvency stemmed from a concealed institutional borrower default that occurred three months before Whitfield's recommendation and was not publicly disclosed. Whitfield had no actual knowledge of this information, and it is unclear whether updated due diligence-even if conducted diligently-would have uncovered a non-public, undisclosed counterparty default. If the harm was caused by fraud at the platform level rather than by Whitfield's recommendation, the causal chain between her procedural failure and Delacroix's loss weakens considerably. The CFTC's jurisdiction may also complicate the regulatory picture: to the extent YieldBridge involved Bitcoin or Ether lending, the CFTC has asserted commodity jurisdiction over such assets (CFTC v. Coinbase, et al.), which could mean the product's regulatory status was genuinely contested at the time of recommendation. Finally, the firm did conduct third-party due diligence-the 14-month staleness is a legitimate criticism, but the firm was not operating with no process at all.

Why Borderline

This scenario sits in genuine gray territory because it combines a procedurally deficient but not wholly absent due diligence process, a customer profile with substantial financial resilience and documented sophistication, an appropriate concentration level, full written disclosure and signed acknowledgment, a product whose harm was caused in significant part by undisclosed third-party fraud that even diligent review might not have uncovered, and a contested regulatory classification for the underlying product at the time of recommendation. Reasonable regulators could disagree about whether updated due diligence would have changed the outcome, whether an 8% allocation to an explicitly disclosed high-risk product is unsuitable for this customer, and whether the regulatory status of the product was sufficiently clear at the time to create a per se violation.

Borderline Factors

- Client had documented crypto sophistication, two years of independent research, and an existing self-directed Bitcoin position
- 8% concentration level in speculative asset is within conventional thresholds for clients with high risk

tolerance

- Client's overall financial resilience-pension, separate liquid savings, home equity-significantly mitigated downside impact
- Full written disclosure of unregistered status, illiquidity, and yield risk was provided and signed
- Due diligence was conducted but was 14 months stale-a procedural failure, but not a complete absence of process
- The precipitating cause of the loss was a concealed, non-public institutional borrower default that occurred before the recommendation and was not publicly available
- Whether updated due diligence would have revealed the undisclosed counterparty default is genuinely uncertain
- Regulatory classification of yield-bearing crypto lending products as securities was contested and unsettled at the time, even post-BlockFi enforcement
- CFTC commodity jurisdiction over Bitcoin-based lending products created genuine legal ambiguity about applicable regulatory framework
- Client explicitly requested the allocation and signed a suitability attestation, raising contributory assumption-of-risk considerations

Likely Outcome

A regulator would most likely find a violation, but a narrow one focused on the procedural failure to conduct updated due diligence rather than on the fundamental unsuitability of the recommendation for this client. The 14-month-old due diligence report on a high-risk, unregistered yield product in a sector with widely known solvency risks-coming in the immediate aftermath of major platform collapses-would likely be found to fall below the reasonable diligence standard required under Reg BI's Care Obligation. The regulator would probably not find that the recommendation was categorically unsuitable for Delacroix given his profile, sophistication, and financial cushion, but would conclude that the firm failed to maintain adequate product review processes for complex, unregistered digital asset products. A secondary finding regarding the recommendation of an unregistered security is also likely, though the firm might argue in mitigation that the regulatory status was contested. Monetary sanctions would likely be moderate given the mitigating factors, and the firm rather than Whitfield individually might bear the primary liability given the systemic due diligence failure. An arbitration panel might award partial damages, discounting for Delacroix's documented assumption of risk and the independent fraud at the platform level.

Borderline Scenario 12

Topic: complex_products_unsophisticated_investor | Standard: Regulation Best Interest, 17 C.F.R. § 240.15l-1 (Care Obligation, Dis

Fact Pattern

In March 2022, Marcus Delroy, a 58-year-old regional sales manager in suburban Ohio with a household income of \$94,000 and a self-directed brokerage account valued at approximately \$187,000, met with his financial advisor, Theresa Wainwright, at a mid-sized independent broker-dealer. Delroy had been a client for six years. His account profile listed his investment objective as 'growth with moderate risk tolerance' and noted he had no prior experience with cryptocurrency. Delroy had mentioned during a prior annual review that he was 'curious about crypto' after his adult son made money trading Bitcoin and that he wanted 'some exposure before it was too late.' He did not describe any urgent liquidity needs, though he mentioned

offhandedly that he hoped to retire in approximately seven to nine years.

Wainwright recommended that Delroy allocate \$28,000, roughly 15% of his liquid investable assets, into a yield-bearing digital asset product offered through a third-party platform, specifically a program that would allow Delroy to deposit USDC stablecoin and earn an annualized yield of 8.6%, paid monthly in USDC. The platform, a well-known digital asset lending company that was not a registered bank or broker-dealer, pooled customer deposits and lent them to institutional borrowers. Marketing materials described the product as 'low risk due to stablecoin backing' but included fine print disclosing that deposits were not FDIC-insured, not covered by SIPC, and that the platform had the discretion to suspend withdrawals under certain market conditions.

Wainwright reviewed these disclosures with Delroy in a 40-minute in-person meeting. She showed him a one-page comparison document she had prepared that contrasted the 8.6% yield against Delroy's current money market rate of 0.4% and a 3-year CD rate of 2.1%. She told him the product was 'essentially like a savings account but with crypto-native yield,' and that USDC was 'pegged to the dollar so you're not taking on coin price risk.' She did not explain the counterparty credit risk posed by the institutional borrowers, the platform's leverage practices, or the withdrawal suspension mechanism in detail beyond pointing to the fine print. She did note verbally that 'this is not FDIC insured and it is a newer type of product.'

Delroy signed the platform's own onboarding documents, which included a self-certification that he was a 'sophisticated investor familiar with digital assets,' a box he checked without objection though Wainwright did not verify whether that representation was accurate or prompt him to reconsider it. Delroy's broker-dealer had no internal product approval or due diligence file on this specific platform. Wainwright had used the platform herself personally for eight months and considered it stable based on that experience and on third-party blog coverage she had read. The broker-dealer had not prohibited use of the product but had also not affirmatively approved it.

In November 2022, the platform suspended all customer withdrawals citing liquidity stress tied to broader crypto market deterioration. By February 2023, it had filed for bankruptcy. Delroy lost approximately \$26,400 of his \$28,000 principal. At the time of the recommendation, the platform had been the subject of informal regulatory inquiries in two states regarding whether its yield product constituted an unregistered securities offering, though those inquiries had not been publicly disclosed and Wainwright was unaware of them. Delroy has filed a written complaint with the broker-dealer, stating that Wainwright told him the product was 'safe' and 'like a savings account.'

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Wainwright violated applicable obligations: Under Regulation Best Interest (17 C.F.R. § 240.15l-1), a broker-dealer and its associated persons must act in the retail customer's best interest at the time of a recommendation, including satisfying a Care Obligation that requires reasonable diligence, care, and skill to understand the potential risks, rewards, and costs of a recommended security or investment strategy. The yield-bearing USDC product bore substantial counterparty credit risk, liquidity risk due to the withdrawal suspension mechanism, and regulatory risk given pending state inquiries. Wainwright's due

diligence consisted of personal anecdotal use and blog articles, falling well short of the reasonable basis inquiry Reg BI demands. The broker-dealer's failure to maintain a product approval file for this platform compounds the concern: FINRA Regulatory Notice 12-03 and related guidance on complex and novel products contemplates that firms conduct heightened review before permitting registered representatives to recommend products that carry features retail investors may not fully understand. A yield-bearing digital asset lending product that pools customer funds for institutional lending, with no deposit insurance and a contractual suspension right, is materially different from a savings account. Characterizing it as such, even colloquially, could constitute a misleading statement relevant to Exchange Act Section 10(b) and Rule 10b-5 analysis, as well as raising concerns under Investment Advisers Act Section 206 if any advisory relationship is implicated. The 15% concentration in a single illiquid, uninsured, operationally novel product for a 58-year-old approaching retirement, with no crypto experience, also raises concern under the customer-specific prong of Reg BI's Care Obligation: even if the product had a reasonable basis generically, the allocation was potentially excessive given Delroy's retirement timeline and risk profile. FINRA Rule 2111, while superseded for covered recommendations by Reg BI, still informs how arbitration panels and regulators evaluate suitability-adjacent conduct. The self-certification issue is particularly problematic: Wainwright allowed Delroy to check a box representing sophisticated investor status without any verification, potentially facilitating a misrepresentation that insulated the platform from liability while leaving Delroy less protected.

Arguments that Wainwright did not violate applicable obligations: Delroy was a 58-year-old employed professional with six years of account history and a stable income. He affirmatively expressed interest in cryptocurrency exposure on multiple occasions, initiated the conversation about crypto, and referenced his son's positive experience as motivation. The recommendation reflected a client-expressed preference, which Reg BI and the underlying principles of customer-specific suitability treat as a mitigating factor, particularly when the advisor documents the client's stated interest. The 15% allocation, while meaningful, left 85% of Delroy's investable assets untouched in presumably diversified holdings. A single 15% position in a yield-bearing stablecoin product, as opposed to speculative altcoins, could be argued as a relatively conservative entry into digital assets for a growth-oriented investor. Wainwright did conduct a 40-minute in-person review, disclosed the absence of FDIC and SIPC protection verbally and in writing, and provided a written comparison document. The platform was not on any internal prohibited list. Wainwright had no knowledge of the pending state regulatory inquiries, which were not public. Under a constructive knowledge standard, absent red flags Wainwright could have identified through reasonable diligence, the hidden regulatory risk may not be imputed to her. The 8.6% yield was not implausibly high relative to then-current DeFi and CeFi market rates, meaning a reasonable advisor could have believed it was achievable without excessive platform risk. Finally, the customer signed platform onboarding documents containing detailed risk disclosures, which courts and arbitration panels sometimes treat as negating reliance claims, particularly for investors who are represented to be sophisticated.

The regulatory classification of the product itself is contested. If the yield-bearing USDC product is a security under the Howey test - an investment of money in a common enterprise with expectation of profits from others' efforts - then recommending it without proper registration analysis raises additional concerns. The SEC's 2019 Digital Asset Framework and enforcement actions against BlockFi (settled February 2022 for \$100 million), Celsius, Gemini Earn, and Genesis all involved yield-bearing digital asset products characterized as unregistered securities. Wainwright recommending what may have been an unregistered

security would implicate additional liability layers regardless of the suitability analysis, though broker-dealer registered representatives typically rely on the assumption that products available to them are properly registered unless they have specific reason to doubt it.

Why Borderline

This scenario is genuinely contested because Wainwright made disclosures, documented client interest, conducted a live meeting, and recommended a stablecoin-backed product rather than a speculative token - facts that cut in her favor. At the same time, her due diligence was superficial for a novel and operationally complex product, her colloquial description materially understated the risk profile, and she failed to verify a client self-certification that was factually inaccurate. Regulators would have to weigh whether the procedural steps she took were sufficient given the novelty and complexity of the product, and whether a 15% allocation to an illiquid, uninsured yield product was appropriate for a pre-retiree. Reasonable practitioners could disagree on both questions.

Borderline Factors

- Client affirmatively expressed desire for crypto exposure on multiple occasions, arguably making the recommendation client-driven rather than advisor-initiated
- 15% allocation is meaningful but not so extreme as to be self-evidently excessive for a growth-oriented investor with seven to nine years until retirement
- Wainwright made verbal and written disclosures of non-FDIC, non-SIPC status during a documented 40-minute meeting
- Product was stablecoin-backed rather than speculative, which a reasonable advisor could view as a lower-risk entry point into digital assets
- Due diligence was minimal and anecdotal, falling below what a novel complex product warrants, but the platform had operated without public incident for a significant period
- The misleading 'savings account' characterization was colloquial and accompanied by written disclosures, creating ambiguity about whether it constituted a material misstatement
- State regulatory inquiries were non-public and unknown to Wainwright, making it unclear whether a reasonable diligence inquiry would have surfaced them
- The self-certification problem enabled by Wainwright cuts against her but Delroy signed willingly without objection
- No internal firm prohibition on the product existed, though no formal approval existed either, placing Wainwright in a compliance gray zone within her own firm
- Whether the product constituted an unregistered security under the Howey test was unsettled at the time of the recommendation

Likely Outcome

A regulator would most likely conclude that Wainwright committed a violation, but the severity and remedy would be contested. The combination of inadequate due diligence on a novel product, the materially misleading 'savings account' characterization, the failure to verify the sophisticated investor self-certification, and the absence of any firm-level product approval process would likely tip the analysis toward a finding that the recommendation did not satisfy the Care Obligation under Reg BI (17 C.F.R. § 240.15l-1(a)(2)(ii)). FINRA arbitration panels have historically scrutinized colloquial risk descriptions that contradict written disclosures, and the 'savings account' language would likely be treated as actionable given the product's fundamentally different risk profile. However, the client's expressed interest, the

documented meeting, and the written disclosures would likely mitigate sanctions, resulting in a finding of negligent rather than willful misconduct. The broker-dealer would face parallel scrutiny for its failure to maintain a supervisory system adequate to review novel digital asset product recommendations, consistent with FINRA Rule 3110 and the firm's obligations under Reg BI's Compliance Obligation (17 C.F.R. § 240.15l-1(a)(2)(iv)). The unregistered security issue under Securities Act Section 5 and the Howey analysis would likely be pursued against the platform itself rather than Wainwright individually, unless regulators determined she should have known the product lacked proper registration.

Borderline Scenario 13

Topic: alternative_investments_unsuitable | Standard: Regulation Best Interest, 17 C.F.R. § 240.15l-1 (Care Obligation, Conflict of Interest)

Fact Pattern

Marcus Delgado, a 58-year-old semi-retired electrical engineer in Phoenix, Arizona, opened an account with Meridian Wealth Advisors in January 2022. At onboarding, Delgado described himself as having 'moderate to aggressive' risk tolerance, noted he had approximately \$1.1 million in a traditional IRA, \$340,000 in a taxable brokerage account, and a fully paid-off home valued at \$620,000. He told his advisor, Trevor Kowalski, that he planned to retire fully in four to five years and was 'open to alternatives' because he was frustrated with low bond yields. He also mentioned that he had read about crypto on his own, had purchased roughly \$15,000 of Bitcoin through Coinbase personally, and considered himself 'reasonably comfortable' with digital assets. His stated monthly living expenses were approximately \$5,200, and he had no meaningful debt. In March 2022, Kowalski recommended that Delgado allocate \$85,000 from his taxable brokerage account - approximately 25% of that account, or roughly 5.7% of his total investable assets - into a product called YieldBridge Digital Income Fund, a private offering structured as a limited partnership that deployed customer capital into a basket of lending arrangements with crypto platforms, including arrangements with two platforms that were later among those targeted by federal regulators for offering unregistered yield products to retail investors. YieldBridge advertised annualized yields of 9.5% to 12%, with a 24-month lockup period and quarterly NAV estimates. Kowalski received a 1.5% upfront placement fee. Kowalski's documentation showed he reviewed Delgado's financials, noted the client's self-described crypto familiarity, and recorded that the recommendation was driven by the client's desire for yield enhancement and portfolio diversification. Kowalski did not, however, conduct any independent legal or structural analysis of YieldBridge's underlying lending counterparties, did not flag to Delgado that several of the platforms receiving capital had been the subject of consumer complaints and media reports in early 2022 about liquidity concerns, and did not document whether he considered whether YieldBridge itself was operating as an unregistered securities offering. By November 2022, YieldBridge suspended redemptions and later disclosed that two of its primary lending counterparties had frozen withdrawals and were insolvent. Delgado lost approximately \$71,000 of his \$85,000 investment. Delgado subsequently filed a complaint arguing that Kowalski recommended a product he did not understand, that was far riskier than described, and that bore hallmarks of an unregistered investment product that should never have been offered to a retail investor approaching retirement. Kowalski argued that Delgado was an educated professional who had self-identified comfort with crypto, that the allocation was less than 6% of total assets, that the fund's private placement memorandum disclosed the lockup and the underlying crypto lending strategy, and that yield-seeking alternatives were appropriate given Delgado's stated objectives. Kowalski

also noted that YieldBridge had provided an opinion letter from outside counsel stating it was not required to register as a securities offering, though that letter was later withdrawn by the issuing firm. The broker-dealer's written supervisory procedures contained general language about private placement due diligence but had no specific procedures for evaluating crypto-linked yield products or assessing whether underlying counterparties were operating lawfully.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that a violation occurred: Under Regulation Best Interest (17 C.F.R. § 240.15l-1), Kowalski was obligated to exercise reasonable diligence, care, and skill in understanding the product recommended and to have a reasonable basis to believe it was in Delgado's best interest given his specific profile. The Care Obligation under Reg BI requires the advisor to understand not only the client's financial situation but the product's risks, costs, and reasonably available alternatives. Kowalski's failure to independently evaluate the legal and structural legitimacy of YieldBridge's underlying lending arrangements - particularly given publicly available media reports questioning the stability of similar crypto yield platforms in early 2022 - arguably falls below the reasonable diligence standard. The 1.5% placement fee creates a material conflict of interest that, under Reg BI's Conflict of Interest Obligation, must be disclosed and mitigated; documentation of this conflict's impact on the recommendation appears thin. Furthermore, YieldBridge's lending arrangements with crypto platforms would likely trigger analysis under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)) - an investment of money in a common enterprise with expectation of profits from others' efforts - and the SEC's 2019 Digital Asset Framework reinforces that yield-bearing crypto lending products are presumptively securities. The SEC's enforcement actions against BlockFi (settled February 2022 for \$100 million), Celsius, Gemini Earn, and Genesis all involved functionally similar yield products, and by March 2022, the BlockFi action was public, putting market participants on notice. FINRA Notice 22-08 (March 2022) specifically warned firms about complex products in volatile market conditions. That Kowalski failed to flag these regulatory signals, and that the broker-dealer lacked specific supervisory procedures for crypto-linked yield products, strengthens an argument that the recommendation process was systemically deficient under FINRA Rule 3110. Arguments against a violation: Delgado's profile has genuine elements of sophistication and risk appetite. He was a 58-year-old engineer, not a financially unsophisticated retail investor; he had prior direct crypto exposure; and he expressly communicated frustration with traditional yields and openness to alternatives. The \$85,000 represented approximately 5.7% of total investable assets, which many practitioners would regard as a reasonable alternative allocation within a diversified portfolio - particularly where the client's remaining assets were in traditional instruments and real estate provided additional financial stability. The product was a private placement with a PPM that disclosed the lockup, the crypto lending strategy, and associated risks, suggesting informed consent was at least structurally available. The outside counsel opinion letter, even if later withdrawn, provided at least some contemporaneous legal cover suggesting reasonable reliance on product legality. FINRA's guidance on private placements (Notice 10-22, Notice 12-40) does not categorically prohibit crypto-linked alternatives for accredited investors, and Delgado presumably qualified as an accredited investor, which is a threshold the regulatory framework treats as meaningful. Under Investment Advisers Act § 206, if Kowalski is characterized as an investment adviser rather than a broker-dealer representative, the analysis shifts to fiduciary duty - but the anti-fraud standard under § 206 still requires a showing of material misrepresentation or omission, and Delgado received a PPM. The CFTC

also has concurrent jurisdiction over crypto derivatives and certain spot crypto contracts (CFTC Act § 2(c)(2)(D)), which could complicate the regulatory classification picture and cut against the SEC's unregistered securities framing. The borderline character of YieldBridge's own legal status - it had a counsel opinion letter, however flawed - means Kowalski did not knowingly recommend an obviously illegal product, which distinguishes this from clearer enforcement scenarios.

Why Borderline

This scenario is genuinely ambiguous because several of the most important factors cut in opposite directions simultaneously: the client was unsophisticated about regulatory risk but self-identified as crypto-comfortable; the allocation was modest as a percentage of total assets but material in absolute dollar terms for a pre-retiree; the product had disclosure documents but those documents obscured downstream legal risk that a diligent advisor could have identified from public sources; regulatory warning signals existed but were not yet fully crystallized at the time of the recommendation; and the advisor received a placement fee creating a conflict but the fee alone does not establish a violation. Reasonable practitioners disagree about how much due diligence a registered representative must conduct into the regulatory status of a private placement's underlying counterparties, versus relying on the issuer's own legal opinions.

Borderline Factors

- Client was a self-identified crypto-familiar investor who expressly requested yield-seeking alternatives, partially shifting responsibility for risk appetite
- Allocation of 5.7% of total investable assets is within the range many practitioners consider permissible for speculative alternatives in a diversified portfolio
- BlockFi enforcement action was public by March 2022 but product-specific regulatory guidance on crypto yield funds remained unsettled
- YieldBridge had a (later-withdrawn) outside counsel opinion letter asserting no registration requirement, creating at least arguable basis for good-faith reliance
- Client received a private placement memorandum disclosing the lockup period and crypto lending strategy, raising whether informed consent mitigates the advisor's responsibility
- 1.5% placement fee is a real conflict but is within normal ranges for private placements and was arguably disclosed through standard fee documentation
- Broker-dealer's supervisory procedures were generic rather than crypto-specific - inadequate, but arguably not sufficient alone to establish individual advisor liability
- CFTC/SEC jurisdictional overlap on crypto lending products creates genuine ambiguity about whether the product was even a security requiring the analysis Delgado's complaint assumes
- Client's pre-retirement timeline of four to five years creates genuine dispute about whether a 24-month lockup was categorically imprudent or merely aggressive given overall asset base
- Absence of specific documentation on Kowalski's counterparty review could reflect inadequate diligence or simply inadequate recordkeeping of diligence that was actually performed

Likely Outcome

A regulator would most likely conclude that Kowalski committed a technical violation of Reg BI's Care Obligation, but that the violation falls at the lower end of the severity spectrum, making a formal enforcement action less likely than a supervisory deficiency finding directed at the broker-dealer's procedures. The firm's lack of specific written supervisory procedures for crypto-linked yield products, combined with the publicly available regulatory signals as of March 2022 regarding functionally identical

products, would likely result in a FINRA examination finding and possibly a formal AWC requiring enhanced supervisory procedures and investor education. Individual liability for Kowalski would be harder to establish given the client's self-described sophistication, the disclosed PPM, and the modest percentage allocation. However, in a FINRA arbitration brought by Delgado, a panel would likely find for Delgado on damages, reasoning that a 58-year-old investor four years from retirement placed into a 24-month lockup crypto yield product with unvetted counterparties - despite publicly available warning signs - establishes that the recommendation was not in his best interest as required by 17 C.F.R. § 240.15l-1, even if the violation was not egregious. The placement fee conflict would be treated as an aggravating factor.

Borderline Scenario 14

Topic: illiquid_investments | Standard: Investment Advisers Act of 1940 Section 206(1) and 206(2) (fiduciary duty and material disclosure)

Fact Pattern

In March 2022, Derek Holsum, a registered investment advisor at a mid-size independent RIA in Phoenix, Arizona, recommended that his client, Patricia Engel, allocate \$85,000 - representing approximately 18% of her \$470,000 liquid investable portfolio - into a crypto-native yield-bearing product offered through a platform called YieldChain Digital. The product promised annualized returns of 9.4% generated by lending Patricia's deposited USDC stablecoin to institutional borrowers, with a mandatory 90-day lock-up period during which funds could not be redeemed. Patricia, age 61, was a retired school administrator receiving \$3,400 per month in pension income and approximately \$1,100 per month in part-time consulting fees. She had no immediate liquidity needs documented in her file, owned her home outright with no mortgage, and held an additional \$95,000 in a money market account she described to Holsum as her 'emergency cushion.' She had told Holsum in a recorded onboarding call in 2019 that she was 'open to alternative income strategies' and had expressed frustration with near-zero interest rates on her savings. In January 2022, Patricia had herself raised the topic of crypto yield products after reading about them in a personal finance magazine and asked Holsum to look into them. Holsum spent approximately three weeks researching YieldChain, reviewed its terms of service, spoke with the platform's institutional relations team, and prepared a two-page written summary for Patricia explaining the 90-day lock-up, the counterparty lending risk, the absence of FDIC or SIPC insurance, the stablecoin depegging risk, and the fact that YieldChain was not a registered broker-dealer or bank. Patricia signed a written acknowledgment confirming she had read and understood these disclosures. Holsum's written rationale in his file noted that the allocation represented less than 20% of liquid assets, that Patricia had substantial pension income covering her monthly expenses without touching investments, and that the emergency fund remained entirely separate and untouched. He also noted that YieldChain had been operating for 26 months with no publicized incidents. Four months after Patricia's investment, in July 2022, YieldChain suspended all withdrawals citing 'extreme market volatility and illiquidity in lending markets,' and Patricia's \$85,000 remained frozen. YieldChain subsequently disclosed that approximately 40% of its institutional loan book was in distressed crypto lending positions. As of the date of the complaint Patricia filed with regulators in September 2022, no bankruptcy had been declared and no timeline for withdrawal resumption had been provided. Patricia alleged that Holsum had not adequately explained that the platform itself could become illiquid beyond just the 90-day lock-up, and that she had not understood that her funds could be frozen indefinitely. Holsum's notes and the signed disclosure document do not specifically reference the risk of

platform-level insolvency or indefinite suspension of withdrawals beyond the contractual lock-up term. Patricia's overall financial situation remained stable given her pension income, and she had not been forced to liquidate other assets to meet living expenses.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Holsum violated applicable standards: The core issue is whether the recommendation of an unregistered crypto yield product with meaningful illiquidity risk was appropriate for a 61-year-old retiree, and whether the disclosures provided were materially complete. Under Investment Advisers Act Section 206, advisors owe a fiduciary duty requiring full and fair disclosure of all material risks. The SEC's 2019 Digital Asset Framework signals heightened scrutiny of yield-bearing digital asset products, particularly where the platform pools investor assets and promises returns - facts that implicate the Howey test and raise questions about whether YieldChain was offering an unregistered security. Recommending investment in a product that may itself be an unregistered security exposes the advisor to liability under Exchange Act Section 10(b) and Rule 10b-5 for material omissions. Holsum's disclosures, while substantive, did not specifically address platform-level insolvency risk or the scenario - which materialized - where withdrawals could be suspended indefinitely beyond the contractual lock-up. The enforcement actions against BlockFi (settled February 2022), Celsius (bankruptcy filed July 2022), and Gemini/Genesis (Genesis bankruptcy February 2023) for operating unregistered yield products were publicly available or developing during this period, providing notice to diligent advisors that this product category carried regulatory and structural risks not fully captured by a standard lock-up disclosure. Under Reg BI's Care Obligation (17 CFR 240.15l-1), even for advisors with RIA status, the recommendation must account for reasonably foreseeable risks, and indefinite platform suspension is a foreseeable risk in a product class already under regulatory stress. The 18% concentration in a single illiquid alternative with no SIPC or FDIC protection for a retiree dependent on investment assets for long-term security is arguably aggressive even with adequate pension income. Arguments that Holsum did not violate applicable standards: Patricia initiated the inquiry and expressed affirmative interest in crypto yield products, which under both Reg BI and the Investment Advisers Act fiduciary framework does not eliminate the advisor's duty but is a relevant factor in assessing reasonableness. Holsum conducted meaningful due diligence - three weeks of research, direct contact with the platform, and a written analytical summary - which reflects a process-driven approach consistent with fiduciary care. The written disclosure document, signed by Patricia, covered the 90-day lock-up, absence of deposit insurance, counterparty risk, and stablecoin risk. Patricia's financial profile - full mortgage-free home ownership, \$95,000 liquid emergency reserve, \$4,500 per month in income exceeding expenses, and a \$470,000 liquid portfolio - meant the 18% allocation did not threaten her financial security or near-term liquidity needs. FINRA guidance on suitability (Notice to Members and Regulatory Notices on complex products) focuses on reasonable basis and customer-specific suitability; here, both prongs were arguably satisfied. The 90-day lock-up was a known, disclosed term. That the platform subsequently experienced broader market stress is arguably a market event, not a disclosure failure, particularly since YieldChain had no publicized problems for over two years. The CFTC's jurisdiction over commodity-based digital assets (Bitcoin, Ether) and the SEC's evolving framework mean that USDC-based lending platforms occupy a genuinely contested regulatory space, making it harder to argue that Holsum should have known the product was definitively an unregistered security at the time of recommendation.

Why Borderline

This scenario is genuinely ambiguous because the advisor performed substantive due diligence and provided written disclosures that covered most known risks, the client was financially stable and had personally initiated the inquiry, the allocation was below common concentration thresholds, and the specific harm - indefinite platform suspension beyond the lock-up - was a risk that materialized through broader market contagion rather than an obvious pre-existing deficiency. At the same time, the product category was already under active regulatory scrutiny and enforcement pressure from comparable platforms, the disclosures did not address insolvency-level platform failure, and the unregistered nature of the product raises threshold questions about whether recommending it at all was consistent with fiduciary duty regardless of how well the advisor disclosed operational risks.

Borderline Factors

- Client personally initiated the product inquiry, cutting against a pure advisor-driven recommendation framing
- Advisor conducted documented, multi-week due diligence and prepared written risk summary - above average process quality
- Signed disclosure covered contractual lock-up, counterparty risk, and absence of insurance but did not specifically address indefinite platform suspension risk
- Client's pension income and separate emergency reserve meant the illiquid allocation did not create near-term financial hardship
- 18% concentration in a single illiquid alternative product is at the outer edge but not clearly over a bright-line threshold
- Comparable yield platform enforcement actions (BlockFi, Celsius) were publicly developing contemporaneously, creating constructive notice argument
- YieldChain's unregistered status raises Howey test questions about whether the recommendation was to an unregistered security - a threshold issue not dependent on disclosure quality
- The specific harm arose from market-wide crypto lending contagion, not from a deficiency that was uniquely present and foreseeable at YieldChain
- CFTC and SEC jurisdictional uncertainty over USDC-based lending products creates genuine ambiguity about applicable regulatory framework
- Retiree status and age 61 create heightened scrutiny even where current financial stability is demonstrated

Likely Outcome

A regulator would most likely find a disclosure deficiency violation but would face meaningful resistance on the broader suitability question. The most defensible regulatory finding is that Holsum's written disclosures were materially incomplete under Investment Advisers Act Section 206(2) because they failed to address platform-level insolvency risk - a scenario that was not merely speculative given the contemporaneous collapse of structurally similar platforms in the same product category. Regulators would likely stop short of a full suitability violation given the documented due diligence, client-initiated inquiry, Patricia's financial stability, and the sub-20% allocation, but would cite the disclosure gap as the actionable failure. The unregistered securities issue would likely be flagged as a concern without being the primary enforcement theory, given the ongoing jurisdictional uncertainty around stablecoin lending products. The likely outcome is a deficiency letter or limited civil action focused on disclosure adequacy rather than a full finding of unsuitable recommendation, with the result potentially depending on whether YieldChain is ultimately found

to have offered an unregistered security - a determination that remained pending as of the complaint date.

Borderline Scenario 15

Topic: failure_to_know_customer | Standard: Regulation Best Interest, 17 C.F.R. § 240.15l-1 (care obligation and compliance obligation)

Fact Pattern

In March 2022, Danielle Okafor, a 58-year-old registered nurse with approximately \$340,000 in a rollover IRA and an additional \$85,000 in a taxable brokerage account, met with her financial advisor of six years, Marcus Heller, at a regional independent broker-dealer. Danielle had described herself on her most recent account update form, completed in January 2022, as having a 'moderate' risk tolerance, a ten-year investment horizon to retirement, and 'some familiarity' with technology stocks. She had never previously held any cryptocurrency or digital assets. Her IRA was allocated roughly 60% equities and 40% bonds, consistent with her stated profile.

Over the prior eight months, Danielle had initiated at least five conversations with Marcus about Bitcoin and Ethereum, expressing frustration that her friends and coworkers had made substantial gains in crypto and that she felt she was 'missing out.' In November 2021, she had forwarded Marcus three articles from mainstream financial publications describing crypto as a legitimate long-term portfolio diversifier. In February 2022, she explicitly told Marcus, 'I know it's risky, I've done my reading, and I want some exposure - I'm not putting everything in, just enough to matter.' She estimated she could emotionally and financially tolerate losing the entire amount she put into crypto without altering her retirement plans, and she told Marcus she did not need the funds for at least eight to ten years.

Marcus, after two meetings and a phone call in which he walked Danielle through volatility statistics, historical drawdowns exceeding 70% in Bitcoin, the absence of FDIC or SIPC protections, and the speculative nature of the asset class, recommended she allocate \$22,000 - approximately 5.2% of her total investable assets - to a diversified basket of digital assets through a regulated crypto exchange, split roughly equally among Bitcoin, Ethereum, and a large-cap altcoin index product. He did not recommend any crypto yield or lending products. He documented the meetings with handwritten notes and a two-page summary he emailed to Danielle, which she signed and returned acknowledging the risks discussed.

The account form Marcus submitted, however, still reflected Danielle's January 2022 'moderate' risk designation. Marcus did not formally update the customer risk profile in the firm's system to reflect the crypto allocation or any revised risk tolerance category. The firm's internal policy required advisors to re-run a risk assessment questionnaire any time a client requested an asset class not previously represented in the account. Marcus was aware of this policy but believed the extensive verbal and written documentation he had created was functionally equivalent. He did not submit a new questionnaire.

By September 2022, the crypto allocation had declined to approximately \$7,400, a loss of roughly \$14,600. Danielle did not complain at the time. In January 2023, following broad media coverage of crypto exchange failures and enforcement actions, Danielle filed a complaint with the firm alleging Marcus had recommended a speculative investment inconsistent with her moderate risk profile and that she had not

truly understood what she was agreeing to. The firm's compliance review found the documentation thorough but noted the missing risk questionnaire update. Marcus maintained that Danielle had been an informed and persistent advocate for the allocation and had signed acknowledgment of the risks.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Marcus violated applicable standards: The core procedural argument is straightforward - the firm had a written policy requiring an updated risk assessment questionnaire before recommending an asset class not previously held in the account, and Marcus knowingly bypassed it. Regulators examining broker-dealer conduct under Regulation Best Interest, 17 C.F.R. § 240.15l-1, emphasize that the care obligation requires not merely subjective good faith but documented, structured diligence calibrated to the recommendation's complexity and risk. The failure to formally update Danielle's risk profile means the official record of her account shows a moderate-risk investor holding a highly speculative asset class with volatility characteristics that are categorically different from conventional equities and bonds. The SEC's 2019 Digital Asset Framework and subsequent enforcement guidance treat digital assets - particularly altcoin index products with limited liquidity and uncertain regulatory classification - as carrying risks requiring heightened customer profile scrutiny. Danielle's formal risk designation never changed, creating a facial inconsistency that would likely flag in any routine examination. Additionally, the altcoin index product raises independent questions: its classification as a security or commodity under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)) was unsettled as of early 2022, and FINRA has issued guidance - see FINRA Regulatory Notice 22-08 - cautioning that communications about crypto assets must account for retail investors' limited ability to assess complex risk disclosures. Danielle's claim that she did not truly understand the investment, while contradicted by documentary evidence, is not implausible given research on investor comprehension gaps in volatile, novel asset classes. Finally, an argument exists that Marcus should have probed more carefully whether Danielle's stated emotional tolerance for total loss was an accurate self-assessment or optimism bias common in rising markets, particularly given that she had never previously experienced a drawdown of this magnitude in any investment.

Arguments that Marcus acted appropriately: The substantive case for Marcus is strong. A 5.2% allocation to digital assets in a ten-year horizon account for a client who repeatedly, voluntarily, and documentedly requested the exposure is difficult to characterize as a reckless or self-interested recommendation. Regulation Best Interest does not prohibit recommending speculative investments to retail customers; it requires that the recommendation be in the customer's best interest at the time of the recommendation, considering the customer's investment profile. 17 C.F.R. § 240.15l-1(b)(2)(ii). Marcus's documentation - two in-person meetings, a phone call, handwritten contemporaneous notes, and a written risk disclosure summary signed by Danielle - reflects a level of diligence that exceeds what many advisors provide for far riskier recommendations. The 5.2% allocation, while concentrated in a volatile asset class, represents a textbook 'satellite' position that portfolio construction theory supports even for moderate-risk investors seeking inflation hedging or diversification. The Investment Advisers Act §206 antifraud standard, which applies to investment advisers, focuses on material misrepresentation or omission; Marcus appears to have disclosed all material risks. Under Exchange Act §10(b) and Rule 10b-5, 17 C.F.R. § 240.10b-5, fraud requires scienter, and Marcus's conduct shows no evidence of intent to deceive. The CFTC's jurisdiction over Bitcoin and Ethereum as commodities under the Commodity Exchange Act §2(c)(2)(D) does not itself

create any additional suitability obligation for the broker-dealer. The procedural failure - the missing questionnaire - is real but narrow: it is a firm policy violation, not necessarily a regulatory violation standing alone, and regulators have historically distinguished between documentation deficiencies and substantive customer harm.

Why Borderline

This scenario is genuinely ambiguous because the substantive recommendation appears defensible on its merits - small allocation, long horizon, sophisticated and persistent customer request, thorough verbal and written disclosures - but the procedural failure to update the customer risk profile as required by firm policy creates a facially non-compliant record that regulators will examine against the backdrop of a significant financial loss and a customer recantation. The tension between documented customer intent at the time of recommendation and later-claimed misunderstanding, combined with the emerging and contested regulatory treatment of crypto assets and the specific procedural gap, means reasonable compliance professionals and regulators could reach opposite conclusions on whether a violation occurred.

Borderline Factors

- Client repeatedly and expressly requested crypto exposure over eight months, but later claimed she did not truly understand the investment
 - Advisor produced unusually thorough contemporaneous documentation including a signed risk disclosure summary, but failed to complete a required internal risk assessment questionnaire update
 - Allocation was only 5.2% of total investable assets, which is within conventional satellite-allocation norms for moderate-risk portfolios, but crypto volatility is categorically different from conventional equity volatility
 - The altcoin index component raises unresolved Howey test classification questions as of the recommendation date, creating jurisdictional ambiguity between SEC and CFTC oversight
 - Client's stated ten-year horizon and self-assessed tolerance for total loss of the invested amount are facially consistent with the recommendation, but behavioral finance research questions the reliability of self-assessed loss tolerance in rising markets
 - The firm policy violation is clear and uncontested, but it is a procedural gap rather than a substantive misrepresentation, and regulators differ on how heavily to weight documentation failures absent evidence of customer harm caused by the gap
 - The complaint arose only after broad negative media coverage of crypto failures, raising questions about whether the complaint reflects genuine harm or post-hoc rationalization of a loss

Likely Outcome

A regulator would most likely find a technical firm policy violation warranting a supervisory deficiency citation but would not find a substantive best interest violation given the documented client-driven request, the modest allocation size, the advisor's thorough risk disclosure process, and the absence of any indication that Marcus personally benefited inappropriately or that a different recommendation would have been made had the questionnaire been completed. The more significant regulatory risk is at the supervisory level - the firm's failure to enforce its own questionnaire requirement across its advisor population, if widespread, could support a broader supervisory failure finding under FINRA Rule 3110 and Regulation Best Interest's compliance obligation under 17 C.F.R. § 240.15l-1(a)(2). Marcus personally would likely receive a written reminder or internal disciplinary note, not a formal regulatory sanction, absent evidence of a pattern of similar conduct or evidence that the documentation was fabricated or post-dated.

Borderline Scenario 16

Topic: alternative_investments_unsuitable | Standard: Investment Advisers Act § 206(1) and § 206(2) (fiduciary duty and prohibition

Fact Pattern

In March 2022, Marcus Helbig, a 58-year-old semi-retired civil engineer living in suburban Columbus, Ohio, opened an investment advisory account with Pinnacle Wealth Strategies, a mid-sized registered investment advisory firm. Helbig had approximately \$1.1 million in total investable assets: \$680,000 in a rollover IRA holding a diversified mix of mutual funds, \$310,000 in a taxable brokerage account holding blue-chip equities, and roughly \$110,000 in cash savings. He described himself during onboarding as having 'moderate to moderately aggressive' risk tolerance, stated he planned to retire fully within four to five years, and indicated he wanted to 'keep up with inflation and maybe grow a little.' His new intake form noted no prior experience with cryptocurrency or digital assets. He did, however, describe himself as 'technically literate' due to his engineering background and mentioned he had been reading about blockchain technology for roughly eighteen months.

Helbig's assigned advisor, Diana Forsythe, a twelve-year industry veteran with no formal crypto-specific credentials but who had attended two firm-sponsored digital asset continuing education seminars in 2021, recommended in April 2022 that Helbig allocate \$85,000—roughly 7.7% of his total investable assets and about 27% of his taxable brokerage account—into a yield-bearing digital asset account offered through a third-party platform called YieldBridge Digital, a non-bank entity that pooled retail customer crypto deposits and lent them to institutional borrowers, paying customers an advertised annual yield of 8.2% in-kind cryptocurrency. YieldBridge was not a registered broker-dealer or investment adviser and had not registered the yield product with any federal securities regulator as of the date of the recommendation. Forsythe described the product to Helbig in a written proposal as a 'high-yield digital savings alternative' and noted it was 'not FDIC insured but backed by institutional-grade borrowers.' She did not disclose to Helbig in writing that YieldBridge had received an informal staff comment letter from federal regulators nine months earlier questioning whether its yield product constituted an unregistered security, a fact Forsythe had learned about through an industry newsletter she had read but characterized internally as 'still unresolved.'

Forsythe's written recommendation memo, delivered to Helbig by email, noted the following: the allocation represented less than 8% of total assets; Helbig had a four-to-five year horizon before full retirement; he was not dependent on these funds for near-term income; the 8.2% yield would meaningfully outpace inflation; and his engineering background made him 'more capable than average retail investors of understanding the technical risk profile.' The memo also included a one-page risk disclosure Forsythe had drafted herself, noting that digital asset values could decline, that the platform was not insured, and that liquidity could be restricted during periods of market stress. Helbig signed the disclosure and replied by email that he understood the risks and was 'excited to try something different.'

Helbig funded the \$85,000 allocation in late April 2022. By June 2022, YieldBridge Digital froze all customer withdrawals, citing 'extreme market volatility and liquidity constraints' following a broad crypto market downturn. By September 2022, YieldBridge filed for bankruptcy protection. Helbig recovered approximately \$11,400 through the bankruptcy proceeding, suffering a net loss of roughly \$73,600. He filed a complaint with the firm in October 2022, alleging Forsythe had recommended a product she knew or should have

known was legally questionable, was unsuitable for a pre-retiree, and that he was misled about the nature and safety of the product. Forsythe and Pinnacle contend that the allocation size was measured, Helbig was informed of the risks, he affirmatively consented, and that the regulatory status of YieldBridge at the time of recommendation was genuinely ambiguous rather than clearly non-compliant.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments supporting a violation finding: First, under Regulation Best Interest (17 C.F.R. § 240.15l-1) and the Investment Advisers Act § 206 fiduciary duty, Forsythe had an obligation to have a reasonable basis for believing the recommendation was in Helbig's best interest at the time of recommendation, not merely that it was defensible in retrospect. The yield-bearing crypto deposit account offered by YieldBridge bore hallmarks of an investment contract under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946))-customers invested money in a common enterprise, expected profits derived from YieldBridge's lending operations, and had no managerial role-meaning Forsythe was recommending what was plausibly an unregistered security. The SEC's 2019 Digital Asset Framework explicitly addressed how yield-generating pooled crypto products can satisfy Howey, and enforcement actions against BlockFi (2022 consent order, \$100M penalty), Celsius, and Gemini/Genesis for similar unregistered yield products were either pending or publicly discussed in industry media by early 2022. Forsythe's own knowledge of the informal staff comment letter, however characterized, put her on constructive notice that the product's legal status was contested. Recommending an instrument of contested regulatory status to a pre-retiree without disclosing that known legal cloud arguably breaches the disclosure component of Reg BI's Care Obligation and the adviser's duty of candor under § 206(2). Second, the customer profile cuts against the recommendation: Helbig was 58, five years from retirement, had no prior crypto experience, and described moderate risk tolerance. Allocating \$85,000-27% of his liquid taxable account-to a single illiquid, uninsured, yield-bearing crypto platform concentrates meaningful retirement-adjacent capital in a single counterparty with no regulatory backstop. FINRA Regulatory Notice 22-08 and prior guidance on speculative alternative investments counsel heightened scrutiny for customers near retirement who lack alternative income sources. The liquidity risk was particularly acute: Forsythe's own disclosure acknowledged withdrawal restrictions were possible, yet Helbig's timeline to retirement meant capital preservation was increasingly material. Third, the self-drafted risk disclosure, while better than nothing, did not address the specific legal uncertainty around the product's registration status-arguably the most material risk that materialized.

Arguments against a violation finding: The allocation, at 7.7% of total assets, falls within ranges that many practitioners and some FINRA arbitration panels have found acceptable for speculative alternative allocations for non-elderly, non-dependent investors. Helbig was 58, not 80; had \$1.1 million total; was not relying on the \$85,000 for current income; and had four to five years before full retirement, meaning a measured speculative position was not categorically unreasonable. Forsythe did provide written risk disclosure, Helbig signed it and affirmatively confirmed understanding. Client acknowledgment, while not dispositive, is a mitigating factor recognized in Reg BI guidance. The regulatory status of YieldBridge in April 2022 was genuinely unsettled: the BlockFi settlement was announced in February 2022 but involved materially different facts, and an informal staff comment letter-not an enforcement action or formal notice-represents a preliminary regulatory inquiry, not a conclusive determination. Practitioners routinely offer products whose regulatory classification is under active review. Forsythe had attended digital asset

CE and acted on current industry knowledge. The 'engineering background equals crypto literacy' rationale is weak but not fabricated; investor sophistication, even when informal, is a recognized factor in suitability analysis. Finally, the ultimate loss was driven by a broader crypto market collapse and YieldBridge's apparent mismanagement of counterparty risk-systemic factors that a diligent adviser could not fully predict.

Why Borderline

This scenario is genuinely ambiguous because it sits at the intersection of three separate gray zones simultaneously: (1) whether the product was a security at the time of recommendation was a live legal question, not a settled one, meaning Forsythe's failure to treat it as such is negligent at most, not willful; (2) the allocation size, while aggressive relative to the taxable account, is defensible relative to total assets for a client who was not fully retired and had no near-term income dependency; and (3) Forsythe did provide written disclosure and obtained informed consent, which cuts against fraud but not necessarily against breach of a care or fiduciary standard. The case turns heavily on whether constructive knowledge of a regulatory inquiry-without a formal enforcement action-triggers a duty to refuse recommendation or merely a duty to disclose, and reasonable practitioners and regulators genuinely disagree on that threshold.

Borderline Factors

- Allocation was 7.7% of total assets, within arguably acceptable speculative bands, but 27% of the liquid taxable account relevant to the recommendation context
- Forsythe had constructive knowledge of regulatory legal uncertainty through an industry newsletter but not through any formal enforcement notice or cease-and-desist
- Helbig was pre-retirement but not yet retired, creating ambiguity about how conservatively capital preservation should be weighted
- Client had no prior crypto experience but described himself as technically literate and affirmatively expressed enthusiasm for the investment
- Written risk disclosure existed but omitted the specific known legal cloud over the product's registration status
- YieldBridge's product bore Howey indicia that were publicly being debated in regulatory context of peer enforcement actions at the time of recommendation
- The loss was substantially caused by a systemic crypto market event and counterparty failure, not solely by Forsythe's selection of an unsuitable product type
- Forsythe had CE training but no formal crypto credentials, creating ambiguity about the competence standard applicable to her recommendation
- Client signed disclosure and provided affirmative written consent, which is mitigating but under fiduciary standards does not relieve the adviser of independent duty of care

Likely Outcome

A regulator would most likely find a violation, but a nuanced one focused on disclosure failure rather than outright unsuitability. The most defensible enforcement theory is not that the allocation size was categorically improper, but that Forsythe's failure to disclose the known regulatory legal uncertainty surrounding YieldBridge's product registration status violated her duty of candor and the disclosure component of the Care Obligation under Reg BI. The self-drafted disclosure covered generic crypto risks but omitted the most material, specific, and known risk-that the product itself was potentially an unregistered security subject to active regulatory scrutiny. Under Investment Advisers Act § 206(2), this omission of a material fact in connection with an advisory recommendation is actionable regardless of

intent. A regulator is less likely to find that the allocation size alone was a per se violation given the client's total asset base and the absence of near-term income dependency, but would note it as an aggravating factor. FINRA arbitration would likely find in Helbig's favor on the disclosure theory, and a panel might also find the concentration within the taxable account-the most liquid pre-retirement buffer-independently problematic. Pinnacle Wealth Strategies would face supervisory liability for failing to have procedures adequate to identify third-party digital asset platforms with contested regulatory status before approving them for advisor recommendations.

Borderline Scenario 17

Topic: failure_to_know_customer | Standard: Regulation Best Interest (17 C.F.R. § 240.15l-1), Care Obligation component requiring

Fact Pattern

In March 2022, Marcus Ellenbogen, a 58-year-old recently retired electrical engineer living in suburban Ohio, opened a self-directed brokerage account with Hartwell Financial Group. Ellenbogen had worked for 34 years at a large utility company, retiring with a \$640,000 lump-sum pension rollover, a paid-off home, and approximately \$85,000 in a legacy 401(k). His monthly Social Security and a small union pension together covered roughly \$3,800 per month in living expenses, which he described as 'comfortable but not lavish.' He told his assigned advisor, Derek Fontaine, that he was 'curious about crypto' after reading news articles and watching YouTube videos about Bitcoin and Ethereum for about 18 months. He described himself on his new account paperwork as having 'moderate' risk tolerance, listed his investment objective as 'growth,' and noted a ten-year time horizon before needing to draw substantially on the rollover funds. He specifically told Fontaine: 'I don't need this money for at least a decade. I want some real growth, not just bonds sitting there losing to inflation.' Ellenbogen had no prior crypto holdings but had traded individual equities in a small taxable account for about six years, including positions in Tesla, AMD, and Rivian, and had experienced a roughly 38% drawdown in that account during 2022 without panic-selling. He had a bachelor's degree in engineering and described himself as 'analytically minded' and comfortable reading financial statements. Fontaine reviewed the onboarding paperwork, conducted a 45-minute phone call with Ellenbogen, and also reviewed a brief internal questionnaire in which Ellenbogen scored in the 'moderate-to-aggressive' range on a five-question risk tolerance module. Fontaine recommended that Ellenbogen allocate \$96,000-exactly 15% of the \$640,000 rollover-into a diversified crypto basket product offered through the firm's platform. The product held approximately 60% Bitcoin, 25% Ethereum, and 15% in a basket of mid-cap altcoins including Solana, Avalanche, and Polygon. The product charged a 1.85% annual management fee and was structured as a private fund with quarterly liquidity windows, meaning Ellenbogen could not redeem outside of those windows. Fontaine's written rationale in the file noted the 10-year horizon, the covered living expenses, the moderate-to-aggressive risk score, and Ellenbogen's expressed desire for inflation-beating growth. Fontaine did not specifically document whether he had discussed with Ellenbogen the quarterly liquidity restrictions in detail, though the fund's offering documents-which Ellenbogen signed-disclosed these terms on page 14 of a 47-page document. Fontaine also did not document any discussion of the fact that the altcoin sleeve of the basket had individually experienced peak-to-trough drawdowns exceeding 85% in the prior 18 months. By December 2022, the basket had declined approximately 61% in value, reducing Ellenbogen's \$96,000 investment to roughly \$37,440. Ellenbogen did not attempt to redeem during this period. He filed a complaint with the firm in

January 2023, stating he had not understood the liquidity restrictions or the volatility profile of the altcoin components, and that while he wanted 'growth,' he believed he was being advised by a professional who was matching the product to his actual situation, not simply honoring a checkbox on a form. Fontaine maintained that the allocation was reasonable given the stated profile, and internal supervision had flagged no concerns at the time of the recommendation. Two other clients with similar profiles had been recommended the same product and had not complained. The firm's written supervisory procedures did not specifically address crypto allocations as a distinct asset class requiring enhanced documentation beyond the standard suitability questionnaire.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Fontaine did NOT violate applicable standards: Ellenbogen presented a genuinely mixed profile that could reasonably support the recommendation. He had a 10-year horizon, fully covered living expenses independent of the rollover, no immediate liquidity needs, a self-described growth objective, and a demonstrated behavioral tolerance for drawdowns in his existing equity account. His moderate-to-aggressive risk score on the firm's standardized module provided documented support. The 15% allocation to the crypto basket was not facially reckless-academic and practitioner literature in 2022 commonly cited 5-20% crypto allocations as within the range of defensible 'satellite' positions for growth-oriented investors with long horizons. Fontaine prepared a written rationale and tied the recommendation to specific profile factors. The offering documents Ellenbogen signed fully disclosed the liquidity restrictions. Ellenbogen was not an unsophisticated retail investor in the traditional sense-he held an engineering degree, had traded volatile individual equities for years, and explicitly articulated a preference for growth over capital preservation. Under Regulation Best Interest (17 C.F.R. § 240.15I-1), the care obligation requires that a recommendation be in the retail customer's best interest based on the customer's investment profile at the time of the recommendation, not with the benefit of hindsight. A 61% decline in a volatile asset class during a historic sector-wide downturn does not by itself establish that the recommendation was not in the customer's best interest at the time it was made. Arguments that Fontaine DID violate applicable standards: The critical failure is in the depth and documentation of the customer knowledge inquiry. Under Reg BI's care obligation, and under the Investment Advisers Act § 206 antifraud framework applicable if Hartwell operates as a registered investment adviser, an advisor must understand not merely checkbox outputs but the customer's actual functional understanding of the product being recommended. There is no documented evidence that Fontaine explained-let alone confirmed Ellenbogen's comprehension of-the quarterly liquidity restrictions, which are a material structural feature that distinguishes this product from conventional equity investments and from the customer's prior investing experience. Ellenbogen's complaint specifically references lack of understanding of this feature, and its burial on page 14 of a 47-page offering document does not substitute for advisor-level disclosure. Similarly, Fontaine's failure to document any discussion of the altcoin sleeve's historical volatility profile (85%+ drawdowns) is significant: the SEC's 2019 Digital Asset Framework and subsequent staff guidance emphasize that digital asset recommendations carry heightened disclosure obligations given the asset class's novelty, volatility, and the documented asymmetry between retail and institutional investor sophistication in crypto markets-a gap supported by academic evidence showing retail attention in crypto markets correlates with adverse return outcomes. The firm's own WSPs failed to treat crypto as a distinct asset class, which a regulator could characterize as a supervision failure under Exchange Act § 15(b) and

FINRA Rule 3110. The 1.85% annual fee, combined with the illiquidity premium implicit in the quarterly redemption structure, raises questions under Reg BI's conflict-of-interest obligation as to whether lower-cost or more liquid crypto exposure alternatives were considered. Additionally, FINRA's guidance on complex products requires that customers have not merely signed disclosures but have been actively walked through material risks-particularly illiquidity features-in a documented manner. The SEC's enforcement actions against BlockFi (2022), Celsius, and Gemini/Genesis for unregistered yield-bearing crypto products, while not directly on point, signal a regulatory environment in which heightened scrutiny of retail crypto recommendations is the norm, and firms that relied on generic suitability processes for crypto were found to have inadequate procedures.

Why Borderline

This scenario is genuinely ambiguous because the customer's objective profile-long horizon, covered expenses, expressed growth desire, demonstrated drawdown tolerance, moderate-to-aggressive score-legitimately supports the recommendation on its face, yet the advisor's process failures in the depth of customer knowledge inquiry (specifically around liquidity constraints and altcoin volatility) create meaningful exposure. Reasonable regulators could disagree on whether the documented profile was sufficiently granular to satisfy a best interest standard for a novel, illiquid, highly volatile product category, versus whether the profile was adequate and the losses were simply the product of market conditions. The 15% allocation size sits in a contested zone: neither obviously excessive nor clearly conservative for a growth-oriented investor with no liquidity need for a decade.

Borderline Factors

- Customer had a 10-year investment horizon with living expenses fully covered by external income, which supports higher-risk allocations
- Customer explicitly requested growth-oriented exposure and had demonstrated behavioral tolerance for drawdowns in equities
- The 15% allocation to crypto falls within ranges commonly cited in practitioner literature as defensible satellite positioning
- Customer signed offering documents that disclosed the quarterly liquidity restriction in writing
- Advisor prepared a written rationale tying recommendation to documented profile factors
- Internal supervision reviewed and did not flag the recommendation at the time
- Advisor failed to document any specific discussion of the quarterly liquidity restriction as a material structural feature distinct from the customer's prior investing experience
- No documented discussion of the altcoin sleeve's historical 85%+ peak-to-trough drawdowns, which are qualitatively different from equity volatility the customer had experienced
- Firm's WSPs did not treat crypto as a distinct asset class requiring enhanced documentation or disclosure protocols
- The 1.85% annual fee raises questions about whether lower-cost or more liquid crypto alternatives were evaluated
- Customer's self-described risk tolerance of 'moderate' on the initial form conflicted with the 'moderate-to-aggressive' module score, and this discrepancy was not documented or resolved
- Disclosure buried on page 14 of a 47-page document may not satisfy a functional disclosure standard for a retail customer with no prior exposure to private fund structures

Likely Outcome

A regulator would most likely find a procedural violation related to inadequate customer knowledge documentation and failure to adequately disclose material product features—specifically the liquidity restriction and altcoin volatility profile—rather than a finding that the underlying allocation was categorically unsuitable. The outcome would probably not be a finding of outright unsuitability given the customer's profile, but rather a supervision and documentation deficiency. FINRA and the SEC, in the post-2022 crypto enforcement environment, have emphasized that advisors cannot rely on generic suitability forms when recommending novel asset classes with structural features (illiquidity, extreme volatility, regulatory uncertainty) that differ materially from conventional investments. The firm's failure to address crypto in its WSPs as a distinct product category would likely draw a supervisory deficiency finding. Ellenbogen would likely receive at least partial restitution in an arbitration setting given the documented gap between what he understood and what the product actually entailed, even if the full loss is not recoverable due to his own signed disclosures and stated preferences.

Borderline Scenario 18

Topic: crypto_assets_unsuitable | Standard: Regulation Best Interest (Reg BI), Exchange Act Rule 15l-1(a)(2)(i)-(ii) (Care and Disclo

Fact Pattern

Marcus Delgado, a 58-year-old licensed financial advisor at a mid-sized independent broker-dealer in Phoenix, Arizona, has managed a portfolio for Ruth Hensley since 2019. Ruth is a retired high school principal, 64 years old, with approximately \$840,000 in investable assets, a stated moderate risk tolerance on her most recent profile update from January 2023, and a target retirement horizon of three to five years. Her portfolio is allocated roughly 60% equities, 30% fixed income, and 10% cash equivalents. Ruth has a pension providing \$2,800 per month and Social Security benefits of approximately \$1,600 per month, meaning her core living expenses of roughly \$3,900 per month are covered without drawing on her investment portfolio. She has no outstanding debt and owns her home outright.

In March 2023, Marcus introduced Ruth to a yield-bearing digital asset product offered through a third-party platform called YieldChain, which was operating in the United States and advertising annual percentage yields of 8.2% on deposits of USDC, a dollar-pegged stablecoin. Marcus had been monitoring the stablecoin yield space following the collapse of several competing platforms in 2022 and believed YieldChain had meaningfully stronger reserve disclosures and a more conservative lending model than its predecessors. He had reviewed YieldChain's publicly available attestation reports and noted that the platform claimed to hold one-to-one dollar reserves and lend only to institutional counterparties with overcollateralized loan structures.

Marcus recommended that Ruth convert \$84,000, representing exactly 10% of her total portfolio, into USDC and deposit it on the YieldChain platform to earn the 8.2% yield. He documented his rationale in a client file note, explaining that because Ruth's monthly expenses were fully covered by her pension and Social Security, the \$84,000 represented discretionary capital that was not needed for near-term liquidity. He also noted that the stablecoin peg reduced the price volatility risk he associated with cryptocurrencies like Bitcoin or Ethereum, and that the 10% allocation kept the overall portfolio within what he characterized internally as a 'satellite position' rather than a core holding.

Marcus did not disclose to Ruth that YieldChain's yield product had not been registered with any federal regulatory body as a securities offering, that similar products offered by other platforms had been the subject of federal enforcement actions requiring the platforms to halt offerings and pay substantial penalties, or that the yield was generated through lending activity whose counterparties were not individually disclosed. He told Ruth the product was 'like a high-yield savings account but in the crypto space' and that the stablecoin backing meant she was 'not really taking on crypto risk.' He did verbally mention that digital assets were 'a newer space with evolving rules' and that she could exit the position within 30 days under normal market conditions.

Ruth, who described herself during onboarding as having 'no knowledge of cryptocurrency,' asked Marcus whether this was safe and whether it was insured. Marcus responded that it was not FDIC insured but that the reserves backing the stablecoin were held in U.S. Treasury bills and bank deposits, and that the platform's lending practices were conservative. He did not provide written disclosures specific to YieldChain or obtain a separate acknowledgment from Ruth regarding the unique risks of unregistered digital asset yield products. Ruth agreed to the investment based on Marcus's recommendation.

By November 2023, YieldChain suspended withdrawals citing 'liquidity constraints from institutional counterparty defaults' and Ruth's \$84,000 became inaccessible. At the time of the scenario, recovery proceedings are ongoing and Ruth has received no distributions. She filed a complaint with Marcus's broker-dealer, stating she did not understand the product was unregistered, that she did not understand what a stablecoin was, and that she relied entirely on Marcus's description that the product was low-risk.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Marcus violated applicable standards: Under Regulation Best Interest (Reg BI), Exchange Act Rule 15l-1, a broker-dealer and its registered representatives must act in the retail customer's best interest at the time of a recommendation, satisfying care, disclosure, conflict of interest, and compliance obligations. The Care Obligation requires that Marcus have a reasonable basis to believe the recommendation is in Ruth's best interest based on her investment profile, including her investment objectives, financial situation, risk tolerance, and investment experience. Ruth had no cryptocurrency knowledge, a moderate risk tolerance, and a retirement horizon of three to five years. Even if her monthly expenses were covered, placing \$84,000 in an unregistered yield product operated by a platform with no federal regulatory oversight is difficult to reconcile with a moderate-risk profile for a pre-retiree with limited ability to recover significant losses. The Disclosure Obligation under Reg BI requires full and fair disclosure of material facts, including material risks. Marcus's failure to disclose that the product was unregistered, that functionally identical products had recently been shut down by federal regulators, and that the yield was dependent on opaque institutional lending activity likely constitutes a material omission. The representation that the product was 'like a high-yield savings account' and that she was 'not really taking on crypto risk' may constitute a misleading statement of material fact actionable under Exchange Act Section 10(b) and Rule 10b-5 if Ruth relied on those characterizations in making her investment decision. Additionally, to the extent YieldChain's yield product constitutes a security under the Howey test - which the SEC has argued in analogous enforcement actions against BlockFi (settled 2022, \$100 million penalty), Celsius, Gemini Earn,

and Genesis - recommending an unregistered security in an unregistered offering to a retail investor raises independent concerns. The SEC's 2019 Digital Asset Framework provides guidance indicating that yield-bearing products where investors provide assets to a common enterprise in expectation of profits from the managerial efforts of others satisfy Howey. If the product was a security, Marcus's recommendation of an unregistered security not made through a registered offering is itself a significant compliance failure. FINRA Rule 2111, applicable to broker-dealers, and its reasonable-basis, customer-specific, and quantitative suitability prongs all weigh against this recommendation for a customer with Ruth's profile and knowledge level. The Investment Advisers Act Section 206(1) and (2) anti-fraud provisions would apply if Marcus had an advisory relationship, imposing a fiduciary duty that would require disclosure of all material information and prohibition on misleading statements.

Arguments that Marcus may not have violated applicable standards: The case for Marcus is not without merit. Ruth's core financial needs were entirely covered by pension and Social Security income, meaning the \$84,000 was genuinely discretionary capital with no near-term liquidity requirement. The 10% portfolio allocation is facially modest and would not destabilize Ruth's financial position even in a total loss scenario, painful as that would be. Marcus conducted independent due diligence by reviewing YieldChain's reserve attestations and concluded, perhaps not unreasonably at the time, that the platform was more conservative than peers. He confined the recommendation to a stablecoin-backed product rather than a volatile cryptocurrency, which does represent a meaningful risk distinction. He verbally acknowledged the evolving regulatory environment. The 30-day withdrawal feature provided apparent liquidity. Some practitioners and regulators genuinely disagree about whether dollar-pegged stablecoin deposit products are securities under Howey, as the profit element may be attenuated when the underlying asset is pegged to a fiat currency and the yield is fixed rather than contingent on platform profits. CFTC jurisdiction over certain digital commodity assets, rather than SEC jurisdiction, further muddies the classification question. Marcus documented his rationale, which demonstrates at least a process-oriented approach. Some regulators and scholars argue that Reg BI's care obligation is not violated merely because an investment fails, provided the recommendation was reasonable at the time based on available information.

The central tension is whether the constellation of failures - no written risk disclosures, no disclosure of the unregistered status, a misleadingly reassuring verbal characterization, and a fundamental mismatch between Ruth's stated knowledge level and the product's complexity - rises to a violation even where the allocation size and liquidity cushion could individually be defended.

Why Borderline

This scenario is genuinely borderline because several individual elements of Marcus's conduct are defensible in isolation - the allocation size was limited, due diligence was performed, the customer had income covering her needs - but the aggregate of omissions and affirmative mischaracterizations creates significant regulatory exposure. Reasonable regulators could disagree on whether the Howey analysis applies to a reserve-backed stablecoin yield product, whether the verbal risk acknowledgment was sufficient, and whether a 10% allocation to a novel unregistered product is categorically unsuitable for a pre-retiree with full income coverage. The case sits at the intersection of unsettled law on digital asset classification, evolving Reg BI application to crypto products, and disputed questions about what 'material' disclosure looks like in a nascent asset class.

Borderline Factors

- The 10% allocation is modest and could be characterized as a satellite position within an otherwise conservative portfolio, cutting against a finding of per se unsuitability
- Ruth's full income coverage from pension and Social Security means the capital was genuinely discretionary, weakening the argument that she could not afford the risk
- Whether a reserve-backed stablecoin yield product satisfies the Howey test is genuinely unsettled law that even experienced securities lawyers disagree on, making the 'unregistered security' framing contestable
- Marcus performed documented due diligence distinguishing YieldChain from failed competitors, demonstrating at least a good-faith analytical process
- The verbal acknowledgment that digital assets involve 'a newer space with evolving rules' provides some evidence of risk communication, even if inadequate
- The characterization of the product as 'like a high-yield savings account' is arguably a misleading simplification but is the kind of analogical shorthand advisors routinely use, making intent and materiality contestable
- Concurrent CFTC and SEC jurisdictional ambiguity over stablecoin products means the regulatory framework Marcus should have applied was itself unclear at the time of the recommendation
- Ruth's acquiescence to the recommendation after asking about safety and receiving an honest answer about FDIC insurance absence could be interpreted as informed consent, albeit thin
- The platform's subsequent failure was due to institutional counterparty defaults that arguably could not have been foreseen from public disclosures available to Marcus
- The absence of a separate written risk acknowledgment for the digital asset product is a process failure but is not expressly required by current broker-dealer rules for this asset class

Likely Outcome

A regulator would most likely conclude that Marcus committed a violation, but the severity and outcome would depend heavily on forum and jurisdiction. The SEC, consistent with its enforcement posture in BlockFi, Celsius, and Gemini Earn actions, would likely focus on the failure to disclose the unregistered nature of the product and the misleading 'high-yield savings account' characterization as violations of the Disclosure Obligation under Reg BI and potentially Section 10(b). FINRA arbitration would likely find a customer-specific suitability failure based on Ruth's zero cryptocurrency knowledge, moderate risk tolerance, and the absence of written product-specific disclosures, particularly given the misleading verbal characterization. However, the modest allocation size, documented diligence, and Ruth's income cushion would likely result in a finding of negligent rather than willful misconduct, reducing but not eliminating liability. A likely resolution would involve partial restitution of the \$84,000, a written supervisory finding, and possible suspension rather than bar, with the precise outcome contingent on whether a hearing panel credits Marcus's good-faith diligence argument.

Borderline Scenario 19

Topic: *failure_to_know_customer* | Standard: *Investment Advisers Act of 1940, Section 206(1) and 206(2) (fiduciary anti-fraud provisions)*

Fact Pattern

In March 2022, Marcus Delacroix, a 61-year-old semi-retired civil engineer living in suburban Phoenix, Arizona, opened an account with Meridian Wealth Partners, a registered investment advisory firm.

Delacroix had accumulated approximately \$1.1 million in investable assets across a rollover IRA (\$740,000), a taxable brokerage account (\$280,000), and a savings account (\$80,000). He described himself on his new account paperwork as having 'moderate' risk tolerance, a 10-to-15-year investment horizon before full retirement, and a stated goal of 'growing wealth while preserving capital.' He listed his annual income as \$95,000, derived from part-time consulting work and a small pension. He had no prior experience investing in cryptocurrencies or digital assets, though he mentioned during onboarding that he had 'read a lot about Bitcoin' and found the underlying technology 'intellectually fascinating.' He did not indicate any specific interest in earning yield on digital assets.

Delacroix was assigned to financial advisor Renata Solis, a 9-year industry veteran with no disciplinary history and a self-described specialization in 'alternative and emerging asset strategies.' Over the course of two in-person meetings in April 2022, Solis presented Delacroix with a portfolio construction proposal. The proposal allocated 88% of his taxable brokerage account - approximately \$246,400 - into a crypto yield product offered through a well-known digital asset lending platform. The product promised annualized returns of 8.5% on USD-pegged stablecoins deposited by customers, with the platform lending those assets to institutional borrowers. Solis described the product verbally as 'essentially a high-yield savings account backed by crypto infrastructure' and 'much safer than buying Bitcoin directly because your principal stays in dollars.' She did not provide Delacroix with a written prospectus, offering document, or any written risk disclosure specific to the product. She did give him a two-page marketing brochure produced by the platform. The platform was not a bank, its deposits were not FDIC-insured, and the product had never been registered with any federal financial regulator as a security.

Delacroix signed a client acknowledgment form stating he understood the investment 'may carry risks different from traditional securities' and that Meridian Wealth Partners was acting as his advisor in a non-discretionary capacity. He also initialed a checkbox indicating he was a 'self-directed investor who requested this specific product.' Solis's internal notes from the meetings reflect that Delacroix 'expressed enthusiasm' for the product and 'asked detailed questions about how the lending mechanism worked,' though the notes do not document his financial situation in detail beyond what appeared on the original account form. Solis did not update his risk profile or conduct a formal written needs assessment before recommending the product. She did, however, verbally review with him that the \$246,400 allocation represented only about 22% of his total assets, and she argued in a later internal review that this concentration level was 'not outsized given his time horizon and overall asset base.'

By November 2022, the lending platform had suspended customer withdrawals and filed for bankruptcy protection. Delacroix's \$246,400 became effectively inaccessible and was later estimated to recover approximately 30 to 40 cents on the dollar through bankruptcy proceedings, resulting in a realized loss of between \$148,000 and \$172,000. Delacroix filed a written complaint with Meridian Wealth Partners in December 2022, stating he 'never understood the money could simply be frozen' and that Solis had led him to believe the product was 'safe like a savings account.' Solis maintained that Delacroix had been enthusiastic, had self-directed the investment, and that she had clearly disclosed that the product was not FDIC-insured. Internal email records show that in one pre-investment message, Delacroix wrote: 'I trust your judgment on this - you know these markets better than I do.' Solis did not flag this statement as potentially inconsistent with the client's self-directed designation.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Solis violated applicable standards: Regulation Best Interest (Reg BI), adopted under Exchange Act Section 15(l), requires broker-dealers - and analogously, Investment Advisers Act Section 206 imposes fiduciary duties on registered investment advisers - to act in the customer's best interest and to have a reasonable basis for recommendations grounded in the customer's actual financial profile. Even though Delacroix signed a self-directed acknowledgment, the email stating 'I trust your judgment' and the absence of any prior crypto investing experience undercut the credibility of that designation. A key failure is that Solis did not update the client's risk profile or conduct a documented needs assessment before recommending a product with novel, illiquid, and unregistered characteristics. FINRA Rule 2111 (suitability) and its successor obligations under Reg BI require advisors to understand not just stated risk tolerance but also the customer's actual capacity to absorb loss. Delacroix was 61, semi-retired, and had a limited income stream; a loss of \$148,000 to \$172,000 meaningfully impaired his retirement readiness. The product itself was almost certainly a security under the Howey test - investors provided money (stablecoins), to a common enterprise (the lending platform's institutional lending pool), with an expectation of profit (8.5% annualized yield) derived from the efforts of others (the platform's lending operations). SEC v. W.J. Howey Co., 328 U.S. 293 (1946); SEC Digital Asset Framework (April 2019). Because it was an unregistered security, no offering document existed, and Solis's verbal description - 'essentially a high-yield savings account' - may have constituted a materially misleading statement under Exchange Act Section 10(b) and Rule 10b-5. The CFTC has also asserted jurisdiction over stablecoin-related products as commodities under the Commodity Exchange Act Section 2(c)(2)(D), adding a layer of regulatory ambiguity that Solis appears not to have considered or disclosed. Enforcement actions against BlockFi (settled with SEC and state regulators for \$100 million in February 2022, just weeks before Solis's recommendation), Celsius, Gemini Earn, and Genesis for offering unregistered yield products were either already public or were rapidly developing at the time of the recommendation, and a diligent advisor specializing in alternative assets should have been aware of the regulatory environment surrounding these products.

Arguments that Solis did not clearly violate applicable standards: The allocation - \$246,400 out of \$1.1 million total assets - was approximately 22%, a concentration level that, while aggressive, is not automatically unreasonable for a client with a 10-to-15-year horizon. Delacroix self-represented as intellectually engaged with the technology, asked detailed questions, and signed acknowledgment forms. In a non-discretionary advisory relationship, client autonomy carries meaningful weight; advisors are not obligated to override client preferences, particularly where the client affirmatively requests a product. Investment Advisers Act Section 206 fiduciary duties are calibrated to the nature of the advisory relationship, and some courts and regulators have recognized that non-discretionary advisors bear a somewhat narrower ongoing duty than discretionary portfolio managers. Solis did verbally disclose the absence of FDIC insurance and the non-traditional nature of the product. The marketing brochure, while thin, was provided. Delacroix was college-educated, earned a professional income, and is not among the most vulnerable investor populations. Furthermore, no written rule at the time of the recommendation explicitly prohibited recommending unregistered yield products to retail investors in a non-discretionary capacity, and the regulatory status of these products remained genuinely unsettled - the BlockFi enforcement was a settlement, not a definitive judicial ruling, and the platform Solis recommended may not

have been the same entity.

The tension between these arguments is genuine. The core dispute is whether a specialization claim, combined with an intellectually curious client and a partial self-directed designation, is sufficient to discharge an advisor's obligation to thoroughly document and assess customer-specific suitability before recommending a product with structural risks - illiquidity, counterparty exposure, unregistered status - that are qualitatively different from anything in the client's prior investment experience.

Why Borderline

This scenario is genuinely borderline because it involves the collision of several legally and factually ambiguous elements: (1) a self-directed investor designation that is textually present but behaviorally contradicted by the client's own communications; (2) a product whose regulatory status as a security was contested but not definitively adjudicated at the time of the recommendation; (3) a concentration level that is aggressive but not obviously outside the range of defensible allocations given the client's overall asset base and stated horizon; (4) verbal disclosures that are factually incomplete but not demonstrably false; and (5) a non-discretionary advisory relationship that reduces - though does not eliminate - the advisor's affirmative duty to override client preferences. Reasonable regulators and experienced practitioners could look at identical facts and reach opposite conclusions about whether the advisor crossed from aggressive-but-defensible into actionable misconduct.

Borderline Factors

- Self-directed investor designation contradicted by client email expressing deference to advisor's judgment, creating ambiguity about whether the recommendation was truly client-initiated
- No formal updated risk profile or written needs assessment completed before recommendation, but verbal review of overall asset allocation was conducted
- Product's status as an unregistered security under the Howey test was legally plausible but not judicially confirmed at the time of recommendation
- BlockFi enforcement action - the most directly analogous regulatory signal - had been announced weeks before the recommendation but involved a different platform, making the precedential weight arguable
- 22% allocation of total assets is aggressive but not facially unreasonable for a client with a 10-15 year stated horizon and \$1.1 million in total assets
- Client was 61 and semi-retired, creating genuine dispute about whether 'moderate' risk tolerance and long horizon were accurately represented or adequately probed
- Verbal description of product as 'essentially a high-yield savings account' is misleading but not necessarily fraudulent, depending on context and tone of surrounding disclosures
- Non-discretionary advisory structure reduces but does not eliminate advisor's obligation to assess suitability independently of client preference
- Advisor had a stated specialization in alternative assets, raising the question of whether a specialist is held to a higher standard of product due diligence
- No written product-specific risk disclosure provided beyond a marketing brochure, but client signed a general acknowledgment of non-traditional investment risks

Likely Outcome

A regulator would most likely conclude that Solis committed at least a deficiency, and potentially a violation, though not the most egregious category of misconduct. The failure to update the client's risk profile and the

absence of any written product-specific due diligence or risk disclosure would likely be cited as primary deficiencies under Investment Advisers Act Section 206's fiduciary standard and Reg BI's Care Obligation (17 C.F.R. § 240.15l-1(a)(2)(ii)), regardless of the self-directed designation. The self-directed label would likely be discounted by regulators given the contemporaneous email evidence of client deference. The verbal description of the product as 'essentially a high-yield savings account' would likely be flagged as a material misstatement or misleading characterization under Exchange Act Section 10(b) and Rule 10b-5, even if not intentional fraud. However, regulators would likely stop short of the most severe sanctions because: the client was not elderly or cognitively impaired; the allocation was not the majority of his assets; written acknowledgments were obtained; and the advisor's conduct fell short of the deliberate deception seen in the enforcement actions against Celsius and Genesis. The most probable outcome is a censure, enhanced supervisory requirements for the firm, possible restitution obligations, and a formal finding that the firm's written supervisory procedures failed to address crypto yield product recommendations to retail investors - an issue that FINRA has specifically flagged in its 2022 and 2023 examination priorities.

Borderline Scenario 20

Topic: *inappropriate_risk_profile* | Standard: *Regulation Best Interest, 17 C.F.R. § 240.15l-1 (care obligation and conflict of interest d*

Fact Pattern

Marcus Tillerman, 61 years old, is a retired aerospace engineer living in Scottsdale, Arizona. He has a \$2.1 million brokerage portfolio managed by Patricia Osei, a registered investment adviser representative at a mid-sized RIA firm. His portfolio is roughly 65% in diversified equity index funds, 25% in intermediate-term bond funds, and 10% in cash equivalents. Tillerman has a stated investment objective of 'moderate growth with capital preservation' and indicated on his most recent profile update in January 2023 that he has a 'medium' risk tolerance. He is drawing approximately \$48,000 per year from the portfolio to supplement his pension and Social Security income, and he has no dependents. His total annual living expenses are around \$91,000, meaning the portfolio distributions cover roughly half his expenses with the remainder met by fixed income sources. In March 2023, Tillerman reached out to Osei after reading about yield-bearing crypto products in a technology enthusiast publication he subscribes to. He told Osei he was 'very interested' in earning higher yields than his bond funds were providing and specifically mentioned having read about platforms offering 8-10% annual returns on stablecoin deposits. He said he had been following cryptocurrency markets casually for three years, had personally purchased approximately \$15,000 in Bitcoin and Ethereum through a retail exchange in 2021 (those holdings are held outside the managed account), and felt he understood the risks. He explicitly told Osei, 'I know this is risky, but I want to allocate some of my portfolio to this.' Osei spent three separate meetings over six weeks reviewing Tillerman's situation. She noted that several centralized crypto lending platforms had recently collapsed and that many yield products had been halted by regulators. Rather than recommending a centralized lending platform, Osei recommended allocating \$105,000, representing exactly 5% of the portfolio, to a structured product offered through a registered broker-dealer that provided exposure to stablecoin lending yields via a fund wrapper. The product had a 12-month lock-up period, offered a projected annual yield of 7.2%, and disclosed that the underlying assets were stablecoins lent to institutional counterparties, with the primary risks being counterparty default, stablecoin de-pegging, and liquidity restriction during the lock-up. The product's offering documents described the underlying activity as lending digital assets in exchange for

yield, and the fund was structured as a limited partnership. Osei documented that Tillerman understood the lock-up, had other liquid assets, and was not investing funds he needed for near-term expenses. She also documented his prior crypto ownership, his active interest in the space, his explicit request for yield-enhancement, and the fact that his fixed income sources covered roughly half his living expenses independently. Nine months into the investment, a major stablecoin used as a collateral component in the fund experienced a brief de-pegging event, and while the fund did not fail, the projected yield dropped to approximately 2.1% for the year, and the lock-up prevented Tillerman from exiting. He filed a complaint stating that Osei had placed him in an inappropriate, illiquid, speculative investment inconsistent with his moderate risk profile and retirement status.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Osei violated applicable standards: Tillerman, at 61 and drawing from his portfolio, is in or near retirement, a life stage at which regulators and arbitration panels scrutinize illiquid and speculative allocations closely. Under Regulation Best Interest, Exchange Act Release No. 86031, and the associated care obligation under 17 C.F.R. § 240.15l-1(a)(2)(ii), a broker-dealer or adviser must consider the investor's investment profile holistically, including age, financial situation, tax status, investment objectives, and liquidity needs. Tillerman's stated objective was 'moderate growth with capital preservation,' and his risk tolerance was documented as 'medium.' A stablecoin lending product structured as a limited partnership with a 12-month lock-up, exposure to counterparty default, and de-pegging risk does not obviously align with capital preservation objectives. The Investment Advisers Act Section 206 anti-fraud provisions, as interpreted through fiduciary duty doctrine, require an adviser to act in the client's best interest when making investment recommendations, which includes avoiding recommendations that are incongruent with documented risk parameters. The SEC's 2019 Digital Asset Framework suggests that many yield-bearing crypto products, particularly those involving lending of digital assets, implicate securities laws, and the wrap structure here does not necessarily eliminate underlying risk characteristics. The product's 12-month illiquidity feature is a concern because if Tillerman's circumstances had changed during the lock-up, he would have had no exit. While his fixed income sources covered half his expenses, an unexpected medical or financial event could have created a genuine liquidity need. The 5% allocation, while modest in percentage terms, represents \$105,000 in absolute dollars - a meaningful sum for a retiree. Critics would also note that client requests for yield do not override an adviser's independent obligation to assess whether the product is genuinely appropriate; a client's enthusiasm for a category does not reduce the adviser's duty. Arguments that Osei acted appropriately: The allocation was only 5% of the total portfolio, a level that most compliance frameworks would treat as well within diversification norms for alternative or higher-risk allocations in an otherwise conservatively constructed portfolio. Tillerman had independent liquid assets and separate income sources that covered approximately half his living expenses, reducing the practical liquidity risk of the 12-month lock-up. Osei chose a registered, fund-wrapped product through a broker-dealer rather than an unregistered centralized lending platform - a deliberate and documentable upgrade in investor protections relative to what Tillerman had been reading about. The fund disclosed its risks clearly, including de-pegging, counterparty, and liquidity risks, and Tillerman had prior personal crypto experience and was a sophisticated retiree with an engineering background. Osei conducted three separate review meetings over six weeks, documented her rationale extensively, and specifically connected the recommendation to Tillerman's expressed desire for yield enhancement. Under FINRA guidance on

complex products and the NFA's broader framework for suitability in structured products, documentation of client sophistication and prior relevant experience can weigh in favor of the adviser. The fact that the product underperformed due to a stablecoin de-pegging event, rather than total loss or fraud, suggests the risk disclosures were accurate and the outcome, while disappointing, was within the disclosed risk parameters.

Why Borderline

This scenario sits in genuine gray territory because the adviser made a documented, deliberate effort to select a regulated, lower-risk version of a product category the client explicitly requested, while keeping the allocation small and the client's overall portfolio intact. The violation argument depends heavily on whether a 5% illiquid crypto-linked allocation is categorically incompatible with a 'moderate / capital preservation' profile for a 61-year-old, which is a question reasonable practitioners answer differently. The client's partial liquidity from external income, his prior crypto experience, his explicit request, and the adviser's thorough documentation all provide genuine mitigating weight, yet the combination of illiquidity, speculative yield mechanism, and retirement proximity creates legitimate concern.

Borderline Factors

- Client was 61 and in drawdown phase, but had substantial external fixed income covering roughly half of living expenses, reducing immediate liquidity pressure
- Allocation was only 5% of total portfolio, within typical thresholds for alternative exposure, but represented \$105,000 in absolute dollars for a retiree
- Client explicitly requested yield-enhancing crypto exposure and had prior personal crypto investing experience, raising the question of how much client autonomy can shift adviser responsibility
- Adviser selected a registered fund-wrapped product rather than unregistered platform, reflecting a risk-mitigation choice that cuts in her favor
- Product had a 12-month lock-up, which creates illiquidity risk for a client with documented ongoing portfolio distributions
- Client's stated objective was 'moderate growth with capital preservation,' which is facially in tension with a stablecoin lending product subject to de-pegging and counterparty risk
- Adviser conducted extensive documentation and multi-meeting due diligence, which strengthens her defense but does not by itself make the recommendation appropriate
- Harm was real but limited - yield dropped dramatically but principal was not lost - making it unclear whether the risk materialization reflects an inappropriate recommendation or a disclosed, acceptable risk that simply occurred

Likely Outcome

A regulator would most likely issue a deficiency letter or request for additional information rather than a formal enforcement action, and an arbitration panel would likely find the case genuinely close but lean toward no liability given the 5% allocation, documented client sophistication, use of a registered product, and thorough file documentation. However, if the panel weighed the client's age, the illiquidity feature, and the incongruence between 'capital preservation' objectives and stablecoin lending risk more heavily, a finding of partial liability and reduced damages would not be surprising. The CFTC and SEC would be more likely to scrutinize whether the fund itself was properly registered and whether its disclosures were adequate under the Securities Act and Investment Company Act rather than pursue Osei individually, assuming her documentation held up. The most likely regulatory outcome is no formal action against Osei

individually, but the scenario would likely be flagged in an examination as an area requiring enhanced supervisory attention and potentially a client disclosure review.

Borderline Scenario 21

Topic: *high_fees_unsuitable* | Standard: *Investment Advisers Act of 1940 Section 206(1) and 206(2) (fiduciary duty, anti-fraud, conflict of interest)*

Fact Pattern

In early 2023, Marcus Delgado, a registered investment adviser at a mid-sized wealth management firm in Austin, Texas, began recommending a crypto yield product to select retail clients. The product, offered through a private fintech platform called YieldChain, allowed investors to deposit Bitcoin or Ethereum and receive annualized returns of 7-9%, generated through a combination of lending those assets to institutional borrowers and participating in liquidity pools. YieldChain charged a 2.1% annual platform fee deducted from yield distributions, and Delgado's firm received a 0.85% referral fee per year on assets placed through their affiliate arrangement with YieldChain - a fee structure disclosed in a paragraph on page 14 of a 22-page onboarding document. One of Delgado's clients, Patricia Horne, a 58-year-old retired high school principal from San Antonio, had a \$740,000 investment portfolio with the firm. Her investor profile listed her risk tolerance as 'moderate,' her investment horizon as 10-12 years before full retirement drawdown, and noted she had a stable pension covering approximately 70% of her monthly living expenses. Horne had previously expressed curiosity about crypto after reading news articles, asking Delgado in a 2022 meeting whether she should 'get some Bitcoin.' At the time, Delgado had deferred the conversation. In March 2023, following internal training on YieldChain's product, Delgado recommended Horne allocate \$85,000 - approximately 11.5% of her portfolio - to YieldChain. He described it in an email as 'a way to get yield from the digital asset space without direct price exposure,' and noted it was 'consistent with your interest in crypto.' He provided her a one-page summary prepared by YieldChain, which described the lending mechanics at a high level but did not quantify counterparty concentration risk, and did not disclose that YieldChain had approximately 60% of its loan book with three institutional borrowers, one of which was later revealed to be a crypto hedge fund with significant exposure to illiquid altcoins. Horne deposited \$85,000 in April 2023. By September 2023, YieldChain suspended withdrawals citing 'liquidity constraints,' and by November 2023, Horne had received only \$3,100 in yield distributions while being unable to access her principal. Delgado's internal notes from the recommendation meeting show he flagged the product as 'higher risk than traditional fixed income but appropriate for a small allocation with her timeline and pension backstop.' He also noted that Horne had confirmed she understood the investment was in digital assets and was not FDIC insured. The firm's compliance department had approved YieldChain as a referral partner six months earlier following a due diligence review that examined YieldChain's audited financials but did not independently assess the concentration of its loan book. The combined effective fee drag on Horne's investment - platform fee plus referral fee - was approximately 2.95% annually, compared to a comparable traditional high-yield bond fund charging 0.45-0.65% annually. Delgado had placed seven other clients in YieldChain, with allocations ranging from 5% to 14% of their respective portfolios.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments supporting a violation: The combined fee load of approximately 2.95% annually on a yield product advertising 7-9% returns consumed roughly one-third of the gross yield before accounting for any principal risk, making the net risk-adjusted return substantially inferior to comparable regulated fixed-income alternatives. Critically, Delgado had a direct financial incentive through the 0.85% referral fee to recommend YieldChain over alternatives, and while technically disclosed, the disclosure was buried in a lengthy onboarding document, raising questions about whether it was meaningfully communicated. Under Investment Advisers Act Section 206, advisers owe a fiduciary duty to act in clients' best interests and must fully and fairly disclose all material conflicts of interest. The referral fee arrangement almost certainly constitutes a material conflict that required prominent disclosure, not a paragraph on page 14. The product itself - a crypto lending yield product - bears the hallmarks of a security under the Howey test: investors deposited funds into a common enterprise, expected profits from the managerial efforts of YieldChain and its lending team. The SEC's 2019 Digital Asset Framework and subsequent enforcement actions against BlockFi (settled 2022), Celsius (enforcement 2022), and Gemini Earn/Genesis (2023) all targeted functionally identical yield-bearing crypto deposit products as unregistered securities. If YieldChain's product was an unregistered security, recommending it potentially violated Section 10(b) of the Exchange Act and Reg BI's care obligation requiring advisers to have a reasonable basis for believing the recommendation is in the best interest of the retail customer, including consideration of reasonably available alternatives. The due diligence failure - approving YieldChain without assessing loan book concentration - is particularly relevant. A 60% concentration among three borrowers, one of which held illiquid altcoin-heavy positions, was an identifiable risk that affected whether the product was appropriate for a moderate-risk 58-year-old client even at an 11.5% portfolio allocation. Arguments against a violation or in favor of mitigation: Horne had expressed prior affirmative interest in crypto exposure, her adviser documented she understood the non-FDIC-insured nature of the product, and her financial profile - stable pension covering 70% of living expenses, 10-12 year horizon - gave her measurable capacity to absorb a partial loss on a sub-12% allocation. Delgado's contemporaneous notes reflect genuine analytical reasoning about the 'pension backstop' and timeline, suggesting this was not a reckless or pretextual recommendation. The allocation of 11.5% is below the 15-20% thresholds some practitioners treat as concentration warning flags for alternative assets. The one-page disclosure, while not exhaustive, did alert Horne that digital assets were involved and that the product carried risks distinct from conventional investments. Some practitioners and scholars argue that crypto lending products offered pre-2023 existed in genuine regulatory ambiguity, and advisers could not have been expected with certainty to classify them as unregistered securities prior to the wave of enforcement actions that came later in 2022-2023. Reg BI's care obligation under Exchange Act Rule 15l-1 requires evaluation of 'reasonably available alternatives' but does not mandate recommending the lowest-cost option; it requires that cost differences be justified by commensurate benefits, and Delgado could argue the crypto yield exposure itself was the differentiating benefit. The CFTC has also asserted jurisdiction over certain crypto assets as commodities under the Commodity Exchange Act, further muddying the regulatory picture and arguably undermining the certainty of any securities law characterization at the time of recommendation.

Why Borderline

This scenario is genuinely ambiguous because it involves the intersection of three distinct gray zones simultaneously: (1) whether the underlying product was a security, commodity, or neither at the time of recommendation - a question courts and regulators were actively litigating throughout 2022-2023; (2) whether the fee differential between YieldChain and a comparable traditional product was large enough to

independently constitute a best-interest violation, or whether the unique exposure type justified the premium; and (3) whether the client's documented prior interest in crypto, combined with her pension backstop and documented acknowledgment of risks, sufficiently mitigates the adviser's responsibility for the outcome. Reasonable compliance officers reviewing this file in real time, before YieldChain's collapse, would have faced a genuinely close call rather than an obvious red flag.

Borderline Factors

- Client had affirmatively expressed prior interest in crypto exposure, providing at least partial support for the recommendation's alignment with stated preferences
 - Allocation of 11.5% is below common concentration thresholds but represents \$85,000 of a moderate-risk retiree's capital
 - Combined fee load of 2.95% is materially higher than alternatives but gross yield spread appeared to compensate at the time of recommendation
 - Referral fee disclosed in writing but not prominently - borderline between adequate and inadequate disclosure of conflict
 - Regulatory classification of YieldChain's product as a security versus commodity was genuinely unsettled in early 2023 at time of recommendation
 - Firm's compliance department conducted due diligence and approved the product, providing Delgado a degree of institutional cover
 - Adviser's contemporaneous notes reflect genuine suitability reasoning referencing pension income stability and investment horizon
 - Due diligence gap on loan book concentration was a process failure at the firm level, not necessarily attributable solely to the individual adviser
 - Client signed acknowledgment of digital asset risks and non-FDIC insurance status
 - Post-hoc outcome of loss may be driving analysis rather than the quality of the recommendation at the time it was made

Likely Outcome

A regulator would most likely find a violation, but the enforcement outcome would probably focus on the firm rather than censure or bar of Delgado individually. The referral fee conflict - disclosed on page 14 of a 22-page document - would likely be characterized as inadequate disclosure of a material conflict under Investment Advisers Act Section 206(1) and (2), which prohibit advisers from employing any device or scheme to defraud clients and require full and fair disclosure of all conflicts. The fee differential analysis under Reg BI Rule 15l-1 would further support a finding that the recommendation lacked a sufficient cost-benefit basis when a functionally similar yield objective could have been achieved through regulated high-yield fixed income instruments at roughly one-fifth the fee load. Separately, if YieldChain's product is deemed a security - which is highly probable under a Howey analysis given its pooled-lending structure and reliance on YieldChain's managerial efforts - then recommending an unregistered security without disclosing its unregistered status compounds the violation. The CFTC angle is less likely to drive an enforcement action here because the product's yield component is most analogous to a lending arrangement rather than a derivatives or spot commodity transaction, making the SEC's framing more applicable. The likely resolution would be a firm-level censure, disgorgement of referral fees received, remediation to affected clients, and enhanced supervisory requirements - rather than a finding that Delgado acted with scienter sufficient for a fraud-based charge.

Borderline Scenario 22

Topic: illiquid_investments | Standard: Investment Advisers Act of 1940 §206(1) and §206(2) (fiduciary duty; prohibition on fraudulent

Fact Pattern

In March 2023, Derek Holloway, a 58-year-old semi-retired civil engineer in Scottsdale, Arizona, held a self-directed IRA with approximately \$410,000 in assets and a separate taxable brokerage account worth \$195,000, mostly in diversified index funds. He had no outstanding mortgage, collected modest rental income of about \$2,200 per month from a single-family property, and indicated on his most recent client profile form that he expected to begin drawing from retirement savings 'sometime between age 63 and 67.' He described his risk tolerance as 'moderate to aggressive' and noted in a handwritten addendum that he had been 'following crypto since 2017' and wanted 'meaningful exposure before the next cycle.' His registered investment advisor, Priya Sandhu of Meridian Outlook Advisors, a small RIA firm in Scottsdale, had managed his accounts for three years. In April 2023, following a series of client-initiated conversations about digital assets, Sandhu recommended that Holloway allocate \$85,000—roughly 14% of his total investable assets—into a private tokenized real estate fund called Arbor Digital Realty Token Fund I, LLC, a Delaware-based vehicle that issued blockchain-recorded fractional interests in a portfolio of commercial properties located in secondary markets across the Sun Belt. The fund's offering memorandum described a projected annual yield of 8.2% distributed quarterly, with a mandatory 36-month lock-up period and no secondary market for token transfers. Early redemption was permitted only in cases of documented financial hardship, subject to a 15% penalty and manager approval. Sandhu had been introduced to Arbor Digital through a third-party placement agent and received a one-time referral fee of \$1,700 for introducing Holloway as an investor, a payment she disclosed in a brief email to Holloway two days after he signed the subscription agreement rather than before. The fund itself had been operating for 14 months and had only 23 limited partners at the time of Holloway's investment. Sandhu documented in her internal file that she had reviewed Arbor Digital's audited financials for one partial operating year, verified the fund manager's prior real estate track record, and concluded the investment was appropriate given Holloway's 7-to-9-year runway before anticipated distributions would be needed. She noted that the \$85,000 commitment represented a 'satellite allocation' outside his core retirement portfolio and that he retained \$520,000 in liquid assets across both accounts. Holloway signed all subscription documents, initialed the lock-up and penalty disclosures, and sent Sandhu a follow-up email saying he was 'excited about the opportunity.' By January 2025, two of Arbor Digital's underlying commercial properties had been placed in receivership following tenant defaults, the fund suspended quarterly distributions entirely, and the fund manager disclosed that the net asset value had declined approximately 31% from the original offering price. Holloway, now 60 and facing an unexpected \$47,000 medical bill from a cardiac procedure, contacted Sandhu requesting early redemption. The fund denied the request, citing the hardship provision's requirement of documentation showing inability to meet basic living expenses, a threshold Holloway's rental income and liquid savings technically exceeded. Holloway filed a complaint with the firm alleging that he was never adequately warned about the illiquidity risk in practical terms, that the referral fee created a conflict that was not meaningfully disclosed before his decision, and that a fund with only 14 months of operating history and 23 investors was unsuitable for a pre-retiree regardless of his liquid asset cushion.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Sandhu violated applicable standards: Under Regulation Best Interest (Reg BI), Rule 17 CFR 240.15I-1, a broker-dealer or investment adviser recommending a security to a retail customer must act in the customer's best interest at the time of the recommendation, without placing the financial or other interest of the advisor ahead of the interest of the customer. Although Sandhu is an RIA subject to the Investment Advisers Act of 1940 Section 206 fiduciary duty rather than Reg BI directly, many state-registered RIAs and dual registrants are evaluated under analogous fiduciary principles that demand full and prior disclosure of conflicts. The referral fee of \$1,700 received from Arbor Digital's placement agent creates a textbook conflict of interest under Section 206(1) and 206(2) of the Advisers Act, which prohibit fraudulent, deceptive, or manipulative conduct by advisers, including undisclosed compensation arrangements. The timing of disclosure-after subscription agreement execution-is the core problem: informed consent requires disclosure before the investor commits, not after. The SEC's 2019 Digital Asset Framework and broader digital asset enforcement posture suggest heightened scrutiny when tokenized interests in pooled vehicles offer yield-like features, potentially implicating the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)) and registration requirements. A tokenized real estate fund distributing quarterly yield and restricting transfer could be characterized as an unregistered security, raising questions about whether Sandhu conducted adequate due diligence on the fund's regulatory status. The fund's thin operating history (14 months, 23 LPs) and the 36-month lock-up with a prohibitive 15% early redemption penalty present meaningful liquidity risk for a 58-year-old client whose medical situation-while not foreseeable-illustrates the concrete consequences of illiquidity mismatch. Even if Holloway's current liquid assets theoretically covered the medical expense, a fiduciary must consider reasonably foreseeable liquidity needs, and a pre-retiree within 5-9 years of drawdown warrants conservative treatment of lock-up structures. FINRA Regulatory Notice 10-22 and related guidance on due diligence for private placements, while directed at broker-dealers, reflects industry norms that inform the reasonable standard of care expected of RIAs recommending similar products. Arguments that Sandhu did not violate applicable standards: Holloway was a financially sophisticated, college-educated professional with \$605,000 in liquid and semi-liquid assets remaining after the \$85,000 commitment. The 14% allocation to a single illiquid position, while not trivial, is within ranges many practitioners consider acceptable for a 'satellite' allocation in a diversified portfolio. His 7-to-9-year anticipated drawdown timeline technically exceeds the 36-month lock-up, meaning the investment's structure was not inherently mismatched with his stated time horizon at the time of recommendation. Sandhu documented her diligence process, reviewed audited financials, and assessed the manager's track record-conduct consistent with a reasonable fiduciary process. The subsequent real estate market deterioration and tenant defaults represent post-recommendation market events not attributable to negligent recommendation. Holloway was an active participant in the decision: he initiated the crypto/digital asset conversation, signed all disclosure documents including lock-up terms, and expressed enthusiasm. The referral fee, while disclosed late, was disclosed-and at \$1,700 on an \$85,000 investment it is a modest amount unlikely to have materially influenced the recommendation. Courts and regulators have recognized that small compensation amounts, while still requiring disclosure, may not rise to the level of a material conflict sufficient to invalidate an otherwise sound recommendation. The fund's projected 8.2% yield on a real-asset-backed vehicle was not facially unreasonable given 2023 commercial real estate conditions.

Why Borderline

This scenario sits in genuine gray territory because virtually every element has a legitimate

counterargument. The late conflict disclosure is a procedural violation, but the amount is small and the client signed with full knowledge of the structural terms. The illiquidity risk materialized, but the liquid asset cushion was substantial and the time horizon technically matched. The fund's thin track record was a red flag, but the advisor conducted documented diligence. The client was neither unsophisticated nor elderly in the traditional sense, but his proximity to retirement introduces real vulnerability. Regulators and arbitrators would disagree meaningfully about whether the post-disclosure timing is fatal or merely a technical deficiency, and whether 14% in an illiquid satellite position crosses the line for this particular client profile.

Borderline Factors

- Referral fee disclosed after rather than before subscription execution-timing is problematic but the amount is modest at \$1,700 on an \$85,000 investment
- Client had substantial liquid assets (\$520,000) remaining post-investment but subsequently faced an unforeseeable medical liquidity need
- 36-month lock-up technically fits within client's stated 7-to-9-year drawdown timeline but leaves no buffer for intermediate emergencies
- Fund had only 14 months of operating history and 23 investors-thin track record flagged as a diligence concern but advisor reviewed available audited financials
- 14% allocation to a single illiquid private placement is aggressive but arguably within satellite portfolio norms for a moderate-to-aggressive risk-tolerant client
- Client was an active initiator of the digital asset conversation and signed all lock-up disclosures, creating shared responsibility
- Tokenized structure raises unresolved questions about whether adequate due diligence was performed on the fund's securities registration status
- Post-recommendation commercial real estate deterioration could be characterized as unforeseeable market risk rather than a flaw in the original recommendation
- Advisor documented her diligence process contemporaneously, suggesting a reasonable process even if the outcome was poor

Likely Outcome

A regulator would most likely find a deficiency on the conflict of interest disclosure timing in violation of Investment Advisers Act Section 206(1) and (2), and potentially impose a censure or require remediation, but would stop short of finding the underlying recommendation itself unsuitable given the client's liquid asset profile, stated time horizon, and active participation in the decision. The referral fee timing issue is the most legally exposed element-courts and SEC examination staff have consistently held that fiduciary disclosure must precede the investor's commitment, not follow it, regardless of the fee's magnitude. The illiquidity suitability question would likely be resolved in Sandhu's favor absent evidence that she ignored documented near-term liquidity needs, but the thin fund track record and the absence of pre-recommendation regulatory status diligence on the tokenized structure could draw additional scrutiny. In an arbitration forum, Holloway would likely recover partial damages tied to the conflict disclosure failure rather than the full investment loss, with an arbitration panel likely apportioning some responsibility to Holloway for his informed participation.

Borderline Scenario 23

Fact Pattern

In March 2022, Marcus Delgado, a 58-year-old semi-retired electrical contractor in Tucson, Arizona, opened an account with Pinnacle Wealth Advisors, an independent registered investment advisory firm. Delgado had approximately \$420,000 in a rollover IRA, a paid-off home worth roughly \$310,000, and a small pension that covered his basic monthly expenses. He described himself on his new account intake form as having 'moderate' risk tolerance and indicated he was 'somewhat familiar' with technology investments, having bought and sold shares of Apple and Tesla on his own over the years. He noted a retirement horizon of seven to ten years. During their initial meeting, Delgado told his advisor, Priya Nanthakumar, that he had been 'reading a lot about Bitcoin and Ethereum' and felt he had 'missed out on the big run-up' but believed digital assets were 'the future of money.' He expressed a desire to have 'some exposure' to crypto without specifying an amount. Nanthakumar spent approximately ninety minutes with Delgado across two meetings, reviewing his financial picture. She did not conduct a formal structured questionnaire beyond the standard intake form, which did not include any questions specifically addressing digital asset experience, volatility tolerance for non-traditional assets, or understanding of how yield-bearing crypto products function. In April 2022, Nanthakumar recommended that Delgado allocate \$65,000-roughly 15.5% of his IRA-into a combination of two products: (1) \$40,000 into a Bitcoin-linked exchange-traded product available through a regulated brokerage platform, and (2) \$25,000 into a high-yield crypto lending account offered through a third-party platform that promised annualized yields of 8.5% on stablecoin deposits. Nanthakumar had reviewed marketing materials for the lending platform and noted internally that the yield product's legal structure was unclear to her, but she concluded that because the underlying assets were stablecoins-not volatile cryptocurrencies-the risk was 'more like a high-yield savings account.' She did not investigate whether the lending product was registered with any securities regulator, whether the platform held customer assets in segregated accounts, or whether the platform had any insurance or reserve backing. She disclosed in writing to Delgado that crypto investments were 'speculative and volatile' but did not specifically explain the lending product's counterparty risks or the possibility that customer funds could be commingled and lent to institutional borrowers. Delgado signed a one-page acknowledgment stating he understood crypto was risky. By November 2022, the crypto lending platform had suspended withdrawals and filed for bankruptcy protection, and Delgado's \$25,000 in that account became effectively inaccessible, with recovery prospects uncertain. The Bitcoin-linked product declined approximately 62% from his purchase price, reducing that position to roughly \$15,200. Delgado filed a complaint alleging Nanthakumar never adequately explained what she was putting his retirement money into, particularly regarding the lending product. Nanthakumar maintained that Delgado was an engaged, self-directed investor who had specifically requested crypto exposure, that she disclosed the speculative nature of the investments, and that the 15.5% allocation left 84.5% of his retirement assets in conventional diversified holdings. Colleagues at Pinnacle noted that several other advisors at the firm had recommended similar allocations to clients with comparable profiles during the same period, and that the firm's compliance department had reviewed and approved the product menu that included the third-party lending platform.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Nanthakumar violated applicable standards: Regulation Best Interest under Exchange Act

Rule 15l-1 requires broker-dealers and investment advisers to act in the retail customer's best interest at the time of a recommendation, including exercising reasonable diligence and care to understand the potential risks, rewards, and costs of a recommended product. While Nanthakumar is an investment adviser subject primarily to the Investment Advisers Act of 1940, Section 206, which imposes a fiduciary duty, the analysis under either framework converges on whether she adequately understood and disclosed what she was recommending. The SEC's 2019 Digital Asset Framework establishes a fact-and-circumstances test for whether digital asset instruments-particularly yield-bearing products-constitute securities under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)). A stablecoin lending product offering 8.5% annualized yield to retail customers, pooling funds and deploying them to institutional borrowers, almost certainly satisfies Howey: there is an investment of money, in a common enterprise, with an expectation of profit, derived from the efforts of others. The enforcement actions against BlockFi (SEC settlement February 2022, \$100 million), Celsius, Gemini/Genesis, and others all proceeded on exactly this theory. Nanthakumar's own internal notation that the product's 'legal structure was unclear' to her, combined with her failure to conduct any due diligence on registration status, segregation of assets, or counterparty risk, represents a serious gap under the Investment Advisers Act Section 206(2) prohibition on negligent conduct that operates as a fraud on a client. Her generic crypto risk disclosure did not address the specific and material risks of the lending product-counterparty default, commingling, insolvency-which is distinguishable from general market volatility risk. Under FINRA's know-your-customer obligations (FINRA Rule 2090) and suitability framework (FINRA Rule 2111), if Nanthakumar or Pinnacle were also operating in a broker-dealer capacity, the failure to ask targeted questions about Delgado's understanding of lending products, his liquidity needs from retirement assets, and his experience with credit or counterparty risk would be a gap in customer knowledge. Delgado's self-description as 'somewhat familiar' with technology stocks does not equate to understanding of unsecured crypto lending. His retirement horizon of seven to ten years and reliance on this IRA as a primary retirement vehicle cuts against placing 6% of total retirement assets (\$25,000 of \$420,000) in an effectively illiquid, unregistered, counterparty-exposed lending product. Arguments that Nanthakumar did not violate applicable standards: Delgado was not a naive or vulnerable investor. He was financially literate enough to trade individual equities on his own, had a stable income from his pension covering living expenses, substantial home equity providing a liquidity backstop, and expressly requested cryptocurrency exposure. Courts and regulators have recognized that a client's affirmative request for a specific investment type is a relevant factor in assessing adviser conduct. The 15.5% aggregate crypto allocation, while meaningful, left 84.5% of his IRA in conventional holdings, which represents a level of diversification that many practitioners would consider reasonable for a client who specifically sought speculative upside. The Bitcoin-linked exchange-traded product was a regulated instrument available on a registered brokerage platform-that \$40,000 component raises few concerns. The written disclosure Delgado signed, while not granular enough to address lending-specific risks, did put him on notice that crypto was speculative. Pinnacle's compliance department had reviewed and approved the product menu. The fact that multiple advisors at the firm made similar recommendations during the same period suggests this was a firm-level process failure rather than an individual adviser's idiosyncratic misconduct, which affects how culpability is distributed. Additionally, in early 2022 the crypto lending platform had not yet suspended withdrawals and appeared operationally stable; hindsight cannot be the sole basis for finding a violation. The CFTC's jurisdiction, relevant here if Bitcoin and Ether are treated as commodities under NFA Compliance Rule 2-51's framework and the Commodity Exchange Act, would not necessarily encompass the stablecoin lending product, which further illustrates the genuine regulatory ambiguity Nanthakumar was navigating.

Why Borderline

This scenario is genuinely borderline because the advisor's most serious failure-not investigating the registration status and risk structure of the lending product-is partly mitigated by the fact that regulatory enforcement on exactly these products was only beginning to crystallize in early 2022, the client affirmatively requested crypto exposure, the overall portfolio allocation was not extreme, and the firm's compliance review had approved the product. A regulator must weigh whether the adviser's internal uncertainty notation was a red flag she should have acted on versus a reasonable acknowledgment of novelty in an evolving area. The line between a negligent fiduciary failure and a good-faith recommendation in an area of regulatory ambiguity is genuinely contested here.

Borderline Factors

- Client affirmatively and repeatedly expressed desire for cryptocurrency exposure, potentially shifting some responsibility to him
- 15.5% aggregate allocation left substantial majority of retirement assets in conventional diversified holdings
- Firm compliance department approved the product menu, diffusing individual adviser culpability
- In early 2022, regulatory enforcement on crypto lending products was nascent and adviser was navigating genuine legal ambiguity
- Adviser's internal notation of unclear legal structure could be read as either a red flag ignored or an honest acknowledgment of a novel product landscape
- Delgado's written acknowledgment of speculative risk, while not product-specific, was obtained
- Client had equity cushion (home) and pension income reducing dependence on the IRA for immediate liquidity
- Client described himself as moderately risk-tolerant and technology-familiar, though this did not specifically address credit or counterparty risk
- Generic crypto risk disclosure did not address counterparty, commingling, or insolvency risk specific to lending products
- No structured due diligence on whether lending product was a registered security or held assets in segregated accounts

Likely Outcome

A regulator would most likely find a violation with respect to the \$25,000 lending product recommendation, but frame it as a failure of due diligence and disclosure rather than a wholesale suitability violation of the entire crypto allocation. The adviser's own internal acknowledgment of legal uncertainty, combined with the complete absence of investigation into the product's regulatory status or counterparty protections, would be treated as a breach of fiduciary duty under Investment Advisers Act Section 206(2). Enforcement actions against nearly identical products (BlockFi, Celsius, Gemini/Genesis) were already publicly known or in progress by early 2022, making constructive awareness a plausible argument. The likely outcome would be a censure, required remediation, and possible disgorgement of advisory fees attributable to that recommendation, rather than a finding of intentional fraud. The Bitcoin-linked ETF product would likely not be found problematic given the client profile and explicit request. The firm's compliance approval of the product menu would draw a parallel inquiry into Pinnacle's supervisory systems.

Borderline Scenario 24

Topic: *failure_to_know_customer* | Standard: *Regulation Best Interest, 17 C.F.R. § 240.15l-1 (care obligation, disclosure obligation, c*

Fact Pattern

In March 2022, Dominic Farrell, a 58-year-old high school principal in suburban Columbus, Ohio, opened a self-directed brokerage account with Meridian Wealth Partners, an independent broker-dealer. Farrell completed a new account form indicating a moderate risk tolerance, a primary goal of retirement income, a 7-year investment horizon, and annual household income of approximately \$112,000. He listed his liquid net worth at \$310,000 and total net worth including home equity at approximately \$540,000. The account opening form included a checkbox field for 'investment experience,' and Farrell checked boxes for 'stocks' and 'mutual funds,' leaving unchecked boxes for 'options,' 'futures,' and 'alternative investments.' There was no separate field for cryptocurrency experience. Farrell's assigned advisor, Trevor Hollis, met with Farrell twice in person over March and April 2022. During those meetings, Farrell mentioned that a colleague had made significant gains in Ethereum in 2020 and 2021 and that he had personally purchased approximately \$4,200 in Bitcoin through Coinbase on his own in late 2020, which he still held. He told Hollis he found the technology 'genuinely interesting' and asked whether there were any 'safer ways' to get crypto exposure through a traditional brokerage account. Hollis, relying on that disclosure and Farrell's self-described interest, recommended allocating \$38,000—roughly 12.3% of Farrell's liquid net worth—across three positions: a Bitcoin futures ETF, a publicly traded crypto mining company, and a smaller allocation into a yield-bearing digital asset separately managed account product offered through a third-party sub-adviser that had been marketed to Meridian's advisors as a registered product offering annualized yields of 7-9% derived from lending and staking activities. Hollis documented in his notes that Farrell was 'crypto-curious, self-directed prior buyer, comfortable with volatility in a portion of portfolio.' He did not conduct any follow-up assessment of Farrell's understanding of futures-based ETF roll costs, the operational risks of crypto mining equities, or the mechanics of the yield-bearing account's lending and staking strategy. The yield-bearing product's offering documents, which Hollis provided to Farrell at signing, disclosed in paragraph 14 of a 47-page document that yield was not guaranteed and that the underlying lending counterparties were not federally insured. Farrell signed the subscription agreement. By November 2022, following a broad crypto market downturn, Farrell's total crypto-related positions had declined approximately 61% in value, with the yield account having suspended redemptions in October 2022 amid liquidity concerns at the sub-adviser. Farrell filed a complaint alleging Hollis never explained the risks adequately and that he understood the 'safer way' he asked about to mean something more like a bond or dividend stock, not a product exposed to lending counterparty defaults. Hollis maintained that Farrell's prior Bitcoin purchase, his expressed interest, and his signed disclosures demonstrated informed consent. Meridian's supervisory principal had reviewed and approved the yield product for the firm's platform six months earlier based on the sub-adviser's representation that the product was structured as a registered offering, though independent legal review of that characterization had not been completed at the time of Farrell's enrollment.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Hollis acted reasonably: Farrell was a college-educated professional who had independently purchased Bitcoin, voluntarily raised the topic of crypto exposure, and asked for a 'safer'

brokerage-based alternative to his Coinbase holdings. Hollis documented the client's expressed interest and prior ownership. The total crypto allocation of 12.3% of liquid assets, while meaningful, was not facially disproportionate for a client with a 7-year horizon who had self-identified interest in the asset class. The three products chosen span a spectrum of instruments—an exchange-traded futures product, an equity security, and a registered managed account—that arguably reflect diversification within the theme. Farrell received and signed offering documents that disclosed the yield product's non-guaranteed nature and counterparty risks. Under Regulation Best Interest (17 C.F.R. § 240.15I-1), the care obligation requires the advisor to have a reasonable basis to believe the recommendation is in the retail customer's best interest at the time of the recommendation, which Hollis could argue he satisfied given the documented customer dialogue. Arguments that Hollis fell short: Farrell's new account form showed moderate risk tolerance and a retirement income goal, and his liquid net worth of \$310,000 means the \$38,000 allocation—in highly volatile, speculative instruments—represented a concentration that cut against his stated objectives. The fact that Farrell checked 'no experience' in alternatives and left the futures box unchecked undermines any claim that he understood futures-based ETF structures, including the well-documented performance drag from contango in Bitcoin futures products. More seriously, the yield-bearing managed account product raises significant regulatory complexity: products offering yield derived from lending and staking digital assets have been the subject of major enforcement actions by the SEC and state regulators against providers including BlockFi (settled 2022, \$100 million penalty), Celsius, and Gemini Earn/Genesis, on the theory that such products constitute unregistered securities under the Howey test. See *SEC v. BlockFi Lending LLC* (D.N.J. 2022); SEC Release No. 33-11023. If the yield product offered to Farrell through the sub-adviser shared structural characteristics with these products—pooled lending of customer digital assets, with returns derived from the efforts of the sub-adviser in deploying those assets to counterparties—it may itself have been an unregistered security, meaning Hollis recommended a product of questionable legal standing without independent verification. Reg BI's care obligation under Exchange Act § 15(l) requires consideration of the retail customer's investment profile including financial situation, investment objectives, and investment experience. The Investment Advisers Act § 206 anti-fraud provisions would apply if Hollis or Meridian were acting in an advisory capacity with respect to the managed account component. FINRA Rule 2111 (applicable pre-June 2020 and as a residual standard for non-Reg BI covered accounts) and FINRA Notice to Members 22-08 (January 2022), which specifically warned member firms about crypto asset recommendations and elevated due diligence expectations, further inform the analysis. Critically, Hollis made no documented inquiry into whether Farrell understood the mechanics of any of the three products, and the supervisor approved the yield product platform without completing independent legal review—a potential supervisory failure under FINRA Rule 3110.

Why Borderline

This scenario is genuinely contested because the client was not naive—he had crypto holdings, raised the topic himself, signed disclosures, and asked for brokerage exposure—yet the advisor's knowledge of the client was arguably shallow given the new account form gaps, the absence of product-specific risk conversations, and the murky regulatory status of the yield product. A regulator would need to weigh informed consumer autonomy against the professional's independent duty to understand and explain what he is recommending. The 12.3% allocation is in a range where reasonable practitioners would disagree about concentration, and the yield product's legality adds a layer of analysis separate from suitability.

Borderline Factors

- Client self-initiated the crypto conversation and had a prior independent Bitcoin purchase, suggesting

baseline familiarity

- Allocation of 12.3% of liquid net worth is aggressive but not facially extreme for a client with a 7-year horizon who expressed interest in the asset class
- Client signed offering documents that disclosed yield was not guaranteed and counterparty risk existed, though disclosure depth and placement are disputed
 - Advisor's notes documented client's expressed interest and prior ownership, providing some contemporaneous record of rationale
- New account form had no crypto experience field, leaving actual knowledge level ambiguous and underdocumented
- Yield-bearing digital asset product may itself have been an unregistered security under the Howey test, making the recommendation legally problematic independent of suitability
- Meridian's supervisory principal approved the yield product platform without completing independent legal review, creating a shared responsibility question
- FINRA Notice to Members 22-08 had been issued in January 2022, two months before the account opening, putting the industry on notice of elevated diligence expectations for crypto recommendations
 - Client's stated goal was 'safer ways' to get exposure, which is facially inconsistent with lending counterparty default risk, creating a disconnect between client expectation and product risk profile
- Futures ETF roll cost drag was not discussed, and client had no documented futures experience, raising a product-specific knowledge gap distinct from general crypto familiarity

Likely Outcome

A regulator would most likely find that Hollis satisfied the threshold for the Bitcoin futures ETF and crypto mining equity recommendations given Farrell's self-disclosed interest and prior crypto ownership, but would conclude that the yield-bearing managed account recommendation was problematic on two independent grounds: (1) the advisor failed to conduct sufficient due diligence to understand the product's legal status, structure, and counterparty risks before recommending it to a retirement-focused retail customer, and (2) the firm's supervisory approval of the product without independent legal review created a platform-level failure that compounded the individual recommendation deficiency. The likely enforcement focus would be on the yield product and the adequacy of supervisory review rather than the ETF allocation, with potential findings under Reg BI's care and conflict obligations, Exchange Act § 10(b) if the product was an unregistered security sold through material misrepresentation, and FINRA Rule 3110 supervisory failures against Meridian.

Borderline Scenario 25

Topic: failure_to_know_customer | Standard: Investment Advisers Act of 1940, Section 206(1) and 206(2) (fiduciary duty, anti-fraud),

Fact Pattern

In March 2022, Marcus Tillman, a 58-year-old registered investment adviser operating a small independent advisory firm in Phoenix, Arizona, recommended that his client Dorothy Vasquez allocate \$85,000 - representing approximately 22% of her total investable assets of \$390,000 - into a crypto yield product offered through a third-party platform called HarborYield, which promised annualized returns of 9.2% on deposited stablecoins. Dorothy had been Tillman's client for eleven years. Her original client profile, completed in 2011 and updated in 2018, described her as a 'moderate risk' investor with a primary goal of

preserving capital for retirement at age 65, with a secondary goal of generating income to supplement her part-time nursing income of approximately \$48,000 per year. The 2018 update noted she had a 7-year investment horizon and 'limited tolerance for illiquid positions.' Dorothy had no prior experience with cryptocurrency. When Tillman presented HarborYield to her in February 2022, he described it as a 'stablecoin savings product' and compared it to a high-yield savings account. He did not complete a new or updated risk questionnaire at that time. He did, however, conduct a 45-minute in-person meeting with Dorothy in which he verbally discussed the nature of stablecoins, the concept of smart contract risk, the lack of FDIC insurance, and the fact that withdrawals could take 5 to 10 business days under normal conditions and potentially longer during market stress. Dorothy signed a product disclosure acknowledgment form confirming she had received and reviewed HarborYield's offering materials, which included a 34-page risk disclosure document. In the meeting notes Tillman prepared afterward, he wrote that Dorothy 'expressed enthusiasm about the income opportunity' and 'acknowledged understanding that this product is not a bank deposit.' Tillman had recommended similar yield products to six other clients in the same period. By June 2022, HarborYield suspended withdrawals amid a broader crypto market contraction and liquidity crisis. Dorothy was unable to access her \$85,000 for approximately nine months. When funds were eventually returned, she had lost approximately \$11,200 due to the depreciation of certain collateral assets underlying the yield strategy, which had not been exclusively stablecoin-backed as initially represented. Dorothy later told a state securities examiner that she 'did not fully understand' that her principal was at risk and that she believed the product 'worked like a CD.' Tillman maintained that his verbal disclosures were thorough, that Dorothy was an engaged and educated professional, and that the written acknowledgment form demonstrated her informed consent. His firm's supervisory procedures required updated client profiles every three years, meaning Dorothy's 2018 profile was technically still current as of early 2022. However, an internal email from December 2021 showed Tillman had noted to a colleague that 'Dorothy is really focused on not losing principal - she keeps asking about safe income.' That email was not reflected in any updated client file notation. The HarborYield platform itself was never registered as a securities offering with federal regulators, a fact Tillman acknowledged he was uncertain about at the time of the recommendation but had not independently verified.

Question

Did the financial advisor violate the suitability or best interest of the customer requirements?

Analysis

Arguments that Tillman violated applicable obligations: First, under Regulation Best Interest (Reg BI), Exchange Act Rule 15l-1, Tillman as a registered investment adviser was bound by the fiduciary standard under Investment Advisers Act Section 206, which imposes a duty of care and loyalty requiring that recommendations be in the client's best interest based on a reasonable understanding of the client's financial situation, investment experience, and investment objectives. The client's own documented profile - moderate risk, capital preservation, retirement focus, limited illiquidity tolerance - cuts sharply against an 22% allocation to an unregistered yield product with withdrawal restrictions. Second, Tillman's December 2021 internal email explicitly flagged Dorothy's capital preservation anxiety, yet no updated risk profile was completed and this information was not formally incorporated into the recommendation rationale. Under the Investment Advisers Act Section 206(1) and (2), failure to reasonably know your customer before making a material recommendation can constitute a fraudulent, deceptive, or manipulative act even without specific intent. Third, the SEC's 2019 Digital Asset Framework and subsequent enforcement actions against yield products - including those against BlockFi (settled February 2022 for \$100 million), Celsius, Gemini Earn,

and Genesis - established that unregistered crypto yield products offering promised returns on deposited assets are likely securities under the Howey test (SEC v. W.J. Howey Co., 328 U.S. 293 (1946)), requiring registration under the Securities Act of 1933. Tillman's acknowledged uncertainty about registration status and failure to investigate represents a potential violation of his duty of care. Fourth, FINRA Regulatory Notice 22-08 (January 2022) specifically warned member firms about due diligence obligations before recommending crypto-related assets, emphasizing the need for heightened scrutiny of customer profiles. Fifth, the product did not perform as described - it was not exclusively stablecoin-backed - meaning a material representation made to Dorothy was inaccurate, implicating Exchange Act Section 10(b) and Rule 10b-5 anti-fraud provisions. Arguments that Tillman did not violate applicable obligations: First, Dorothy signed a comprehensive written disclosure acknowledging she had reviewed a 34-page risk document, suggesting informed consent was at least facially present. Courts and regulators have given weight to written acknowledgments in assessing advisor liability. Second, the 45-minute verbal disclosure session, as reflected in contemporaneous meeting notes, appears to have covered key risks including smart contract risk, absence of deposit insurance, and withdrawal timing. Third, Dorothy is a 58-year-old healthcare professional with eleven years of investment experience working with Tillman, suggesting a level of financial sophistication above a naive retail investor. Fourth, a 22% allocation, while significant, is not so concentrated as to be per se unreasonable for an income-seeking investor with a 7-year horizon, particularly if the investor expressed genuine enthusiasm. Fifth, Tillman's firm was technically compliant with its three-year profile update cycle, meaning the 2018 profile was procedurally current. Sixth, the stablecoin market disruption of mid-2022 was broadly characterized as an unprecedented market event, and the recommendation was made in good faith based on information available in early 2022 before the Luna/UST collapse destabilized the sector. Seventh, CFTC jurisdictional questions over certain stablecoin products were unresolved in early 2022, creating genuine regulatory ambiguity about which oversight framework applied.

Why Borderline

This scenario is genuinely borderline because Tillman possessed informal knowledge - his own email - suggesting the recommendation did not align with Dorothy's stated preferences, yet he conducted a substantive in-person disclosure session and obtained written acknowledgment. The core tension is whether informal documented awareness of a client's risk aversion, not formally updated in the client file, is sufficient to trigger a failure-to-know-customer violation when the advisor otherwise performed a reasonable disclosure process. Additionally, the advisor's uncertainty about the registration status of the product creates compounding liability questions without definitively resolving them, since unregistered status alone does not automatically make the recommendation unsuitable, but it does raise due diligence failure concerns. The 22% allocation sits in the uncomfortable middle ground - not a token allocation, not an extreme concentration - making size-based analysis genuinely inconclusive.

Borderline Factors

- Informal email evidence of client's capital preservation focus not formally captured in updated client profile, creating ambiguity about what Tillman 'knew' for regulatory purposes
- Written disclosure acknowledgment signed by Dorothy arguably satisfies informed consent requirements even if her subjective understanding was incomplete
- 22% allocation is substantial but not facially unreasonable for a moderate-risk investor with 7-year horizon seeking income
- Tillman's verbal disclosure session was substantive and contemporaneously documented, cutting

against a pure failure-to-disclose claim

- Unregistered status of HarborYield product was uncertain, not definitively established, at time of recommendation, complicating the duty-of-care analysis
- Dorothy's professional background and 11-year client relationship suggest above-average sophistication relative to typical retail investor
- Firm's three-year profile update cycle was technically compliant, raising questions about whether individualized re-profiling was affirmatively required
- Mid-2022 market dislocation was characterized as an extraordinary and largely unforeseeable event, complicating hindsight-based analysis
- Product misrepresentation regarding stablecoin-only collateral introduces a separate potential violation distinct from the suitability question, muddying the analytical framework
- Dorothy's expressed enthusiasm during the meeting, if genuine, creates a client-initiated exception argument under Reg BI's accommodating treatment of client preferences

Likely Outcome

A regulator would most likely conclude that Tillman committed at least a technical violation of his fiduciary duty under Investment Advisers Act Section 206, specifically the duty of care component, based on the combination of: (1) his documented informal awareness - via the December 2021 email - that Dorothy prioritized capital preservation, which he failed to formally reconcile with the recommendation; (2) his failure to independently verify the registration status of HarborYield before recommending it; and (3) the material inaccuracy in the product description regarding its collateral composition. The regulator would likely not find this to be a willful or fraudulent violation given the disclosure efforts made, but would conclude that the due diligence gap on the product's legal status and the failure to update the client profile in light of known risk preference signals constitutes a negligent breach of the adviser's care obligation. The likely regulatory outcome would be a censure, mandatory remediation of supervisory procedures, and possible disgorgement of advisory fees earned on the HarborYield position, rather than fraud-based charges. Civil liability to Dorothy for the \$11,200 loss would be a realistic outcome in arbitration or litigation given the product misrepresentation, independent of the suitability analysis.